OECD Economic Surveys

Netherlands

ECONOMICS

OECD

Volume 2002/3

© OECD, 2002.

© Software: 1987-1996, Acrobat is a trademark of ADOBE.

All rights reserved. OECD grants you the right to use one copy of this Program for your personal use only. Unauthorised reproduction, lending, hiring, transmission or distribution of any data or software is prohibited. You must treat the Program and associated materials and any elements thereof like any other copyrighted material.

All requests should be made to:

Head of Publications Service,
OECD Publications Service,
2, rue André-Pascal,
75775 Paris Cedex 16, France.

OECD ECONOMIC SURVEYS

2001-2002

Netherlands

OECD

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

Pursuant to Article 1 of the Convention signed in Paris on 14th December 1960, and which came into force on 30th September 1961, the Organisation for Economic Co-operation and Development (OECD) shall promote policies designed:

- to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;
- to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development; and
- to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.

The original Member countries of the OECD are Austria, Belgium, Canada, Denmark, France, Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States. The following countries became Members subsequently through accession at the dates indicated hereafter: Japan (28th April 1964), Finland (28th January 1969), Australia (7th June 1971), New Zealand (29th May 1973), Mexico (18th May 1994), the Czech Republic (21st December 1995), Hungary (7th May 1996), Poland (22nd November 1996), Korea (12th December 1996) and the Slovak Republic (14th December 2000). The Commission of the European Communities takes part in the work of the OECD (Article 13 of the OECD Convention).

Publié également en français.

© OECD 2002

Permission to reproduce a portion of this work for non-commercial purposes or classroom use should be obtained through the Centre français d'exploitation du droit de copie (CFC), 20, rue des Grands-Augustins, 75006 Paris, France, Tel. (33-1) 44 07 47 70, Fax (33-1) 46 34 67 19, for every country except the United States. In the United States permission should be obtained through the Copyright Clearance Center, Customer Service, (508)750-8400, 222 Rosewood Drive, Danvers, MA 01923 USA, or CCC Online: *www.copyright.com*. All other applications for permission to reproduce or translate all or part of this book should be made to OECD Publications, 2, rue André-Pascal, 75775 Paris Cedex 16, France.

Table of contents

Assessment and recommendations 9

I. A major change in the conjunctural situation 21

A marked deterioration of the macroeconomic performance and outlook… 21
… with sharply slower growth… 21
… but a still tight labour market… 24
… and stronger inflationary pressures… 28
… all developments reminiscent of the situation at the end of the previous business cycle… 31
… and pointing to a highly uncertain and rather gloomy outlook 33

II. Macroeconomic policies 35

Monetary conditions 35
Fiscal policy 37

III. Productivity growth and the new economy 49

Trends in productivity growth 49
The impact of ICT on productivity 51
Factors inhibiting diffusion of ICT 58
The need for an integrated productivity growth strategy 63
Concluding remarks 63

IV. Structural reform 65

An historical overview of the labour market: from the Dutch model to the Dutch paradox 66
Structural reform in general 69
The labour market 76
Product markets 93
Financial markets 103
The health care system 106
Assessment and scope for further action 109

V. Coping with population ageing 115

The scale of the demographic problem 115
Institutional arrangements for supporting the elderly 120
Economic consequences of population ageing 122
Policy implications 133
Concluding remarks 144

© OECD 2002

Notes 146
List of acronyms 160
Bibliography 162

Annexes

I. Retirement income arrangements 166
II. Calendar of main economic events 173

●●●●●

List of Boxes

1. The medium-term budgetary framework 39
2. The new tax system 46
3. An international comparison of ICT investment 53
4. Follow-up of previous recommendations for structural reform and recommendations for further action 70
5. The "Back-to-Work Report" (or IBO) 77
6. The Establishment Law 101
7. The government plan for a new health care system 110
8. Global capital market implications of population ageing 131

List of Tables

1. Macroeconomic performance at a glance 22
2. Overview of the labour market 26
3. Contributions to the private consumption deflator 28
4. Short-term projections 34
5. Appropriation account for general government 38
6. Development of the EMU debt 43
7. Additional spending during the cabinet period 1999-2002 44
8. Productivity growth 50
9. ICT capital deepening contribution to labour productivity growth 52
10. An international comparison of ICT investments 54
11. Sources of multi-factor productivity growth 55
12. Implementation of new work practices and use of ICT 62
13. Macroeconomic performance 1983-2000 66
14. Dependency ratios 69
15. Unemployment benefit replacement rates at the lower end of the labour market 80
16. Population growth by age group 118
17. Aged dependency ratios internationally 119
18. Decomposition of the change in the labour force participation (age 20 to 64) 123
19. Budget projections based on unchanged policies 125
20. Sensitivity analyses 129
21. Education attainment by age group (Panels A and B) 143-144

Annexes

A1. Population aged 55-64 by source of income 170
A2. Disability benefits claimants by age group 170

List of Figures

1. Unemployment and vacancies 25
2. Unemployment rate: an international comparison 25

© OECD 2002

3. Benefit recipients not in employment 27
4. Inflation developments 29
5. Comparison of two business cycles 32
6. Overview of monetary conditions 36
7. The output gap and the structural budget balance 40
8. Net lending and government debt 42
9. Improvement of the budget balance 1994-2001 42
10. Marginal income tax rates under the old and new tax regimes 46
11. Decomposition of trend growth in labour productivity 50
12. Productivity growth 51
13. Contribution of ICT using sector to total labour productivity growth 56
14. Labour productivity contributions by selected service industries 57
15. The price of ICT investment 59
16. The cost of leased lines, August 2000 60
17. Internet access costs 61
18. Development of electronic commerce 61
19. Part-time employment: an international comparison 68
20. Unemployment benefit replacement rates 78
21. Tax rates on labour income: an international comparison 79
22. Employment rates: an international comparison 81
23. Incidence of long-term unemployment 84
24. Average tax wedge on labour: an international comparison 88
25. Public spending on labour market measures in the Netherlands 90
26. Public spending on labour market measures in 2000: an international perspective 91
27. Employment protection legislation 92
28. International comparison of product-market regulation 94
29. Telephone charges in selected countries 97
30. Electricity prices in selected OECD countries 99
31. Expenditure on R&D in OECD countries 103
32. Private venture capital investment in early stages and expansion 106
33. An ageing population structure 116
34. Total fertility rate 117
35. Life expectancy at birth 117
36. Aged dependency ratios 118
37. Employment aged dependency ratio 120
38. Growth in employment, population and GDP per capita 123
39. Contributions of labour productivity and employment to GDP growth in OECD countries 124
40. Budget balance and primary balance under current policies 126
41. Government debt and net government wealth under current policies 126
42. Budget balance and primary balance under a sustainable policy 127
43. Government debt and net government wealth under a sustainable policy 128
44. Labour force participation rates for persons aged 55 to 64 136
45. Estimates of the average age of withdrawal from the labour force 138
46. Career or job related training by age, 2000 141

Annexes

A1. Aggregate replacement rates for persons aged 65-74 168
A2. Composition of disposable income of persons aged over 65 years 168

© OECD 2002

BASIC STATISTICS OF THE NETHERLANDS (2000)

THE LAND

Area (1 000 km^2):	
Total	42
Agricultural land	24
Woodland	3

Major cities, 1st January (thousand inhabitants):	
Amsterdam	731
Rotterdam	593
The Hague	441

THE PEOPLE

Population (thousands)	15 864
Number of inhabitants per km^2 of land	474
Net natural increase (thousands)	57

Employment (thousands, full-time equivalents):	
Total	6 469
Agriculture, fishing and forestry	240
Industry	1 023
Construction	472
Other activities	4 734

PRODUCTION

Gross domestic product (billion guilder)	884
GDP per head (EUR)	25 277
Gross fixed investment:	
Per cent of GDP	23
Per head (EUR)	5 736

Origin of GDP (%):	
Agriculture, fishing and forestry	2
Industry	19
Construction	5
Other	74

THE PUBLIC SECTOR

Per cent of GDP:	
Public consumption	23
Current receipts	44
Current disbursements	42

Composition of Parliament (number of seats):	
Labour party	45
Liberals (VVD)	38
Christian democratic appeal	29
Liberals (D'66)	14
Green/Left	11
Other	13
Total	150
Last general election	May 1998

FOREIGN TRADE

Exports of goods and services (% of GDP)	67
Main exports, 1999 (% of total merchandise exports):	
Food, beverages and tobacco	16
Energy	6
Chemicals	15
Machinery and transport equipment	34

Imports of goods and services (% of GDP)	62
Main imports, 1999 (% of total merchandise imports):	
Food, beverages and tobacco	10
Energy	7
Chemicals	11
Machinery and transport equipment	40

THE CURRENCY

Monetary unit	Guilder
Currency units per euro, 1st January 1999	2.20371

Currency units per US$, average of daily figures:	
Year 2000	2.39
November 2001	2.48

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of Member countries.

•

The economic situation and policies of the Netherlands were reviewed by the Committee on 26 November 2001. The draft report was then revised in the light of the discussions and given final approval as the agreed report by the whole Committee on 20 December 2001.

•

The Secretariat's draft report was prepared for the Committee by Bixio Barenco, David Carey and Gerrit van den Dool under the supervision of Andreas Wörgötter.

•

The previous Survey of the Netherlands was issued in March 2000.

Assessment and recommendations

Growth has slowed sharply and inflation has accelerated

After several years of rapid economic expansion with relatively little inflationary pressure, the performance of the Dutch economy has deteriorated markedly since early 2000. Real GDP growth is expected to fall to around 1½ per cent in 2001, compared with nearly 4 per cent on average over the 1997-2000 period. The downturn appears to have been primarily due to external factors, as is typically the case in the Netherlands. But the way it gathered momentum early 2001 suggests that the abrupt slowdown of the US economy and the fall in global stock markets may have directly affected the Dutch economy through household and business confidence. These negative effects have more than offset the impact of the introduction at the beginning of the year of a major income tax reform, which included a shift from direct to indirect taxes and entailed a sizeable one-off boost to disposable income. As measured by the harmonised index of consumer prices (HICP), inflation started rising rapidly in 2000 and further accelerated at the beginning of 2001 due to the increase in the VAT rate and environmental taxes in the tax reform. HICP inflation seems to have passed its peak, but at 5.0 per cent (year-on-year) in October 2001, it still remained among the highest in the euro area, and also very high by Dutch standards. Core inflation (excluding food, energy, government levies and indirect taxes) has increased less strongly but it has nonetheless trended up to nearly 4 per cent in the course of 2001, reflecting the pass-through of rapidly rising labour costs.

© OECD 2002

The labour market is still very tight and growth in labour costs has picked up markedly

The slowdown of the economy is still not fully reflected in labour market conditions. Owing to strong job creation, the unemployment rate has fallen to around 2 per cent. This is virtually the lowest rate in the OECD area and is well below the structural rate (NAIRU) estimated by the OECD Secretariat at some 4 per cent. With vacancies at a historically high level and shortages in many sectors of the labour market, the increase in contractual wages and compensation per employee has picked up markedly and the latter is expected to be of the order of 5 per cent in 2001. This is a disappointing departure from wage moderation, especially since wage claims seem to have largely disregarded not only the projected deceleration of the economy but also the increase in purchasing power brought about by the tax reform. As a result, in terms of unit labour costs, the competitive position *vis-à-vis* the euro area and all trading partners – which had admittedly reached unsustainably high levels – is expected to deteriorate markedly in 2001.

The outlook is highly uncertain with growth projected to recover only slowly and wages expected to grow strongly

Currently the outlook is rather gloomy and the high degree of uncertainty is reason for further worries. The driving force is likely to remain the international environment but the recent deterioration of competitiveness also plays a role. Under these conditions a central scenario would seem to entail a progressive stabilisation of the economy, followed by a hesitant recovery beginning only in the second half of 2002, lagging the pickup in other OECD economies and international trade. Real GDP growth is thus projected to rise moderately to around 2½ per cent in 2003, somewhat below potential growth. Hence, the positive output gap, which had prevailed for several years, is expected to be largely erased in 2001, and turn negative over the projection period. With one-off factors, such as the increase in indirect taxes and the impact of foot and mouth disease, out of the way and with lower oil prices, HICP inflation is likely to decrease significantly, and core inflation will also decline but more moderately. A slower pace of job creation and a rise in unemployment combined with lower profit margins can be expected to curb progressively the backward looking increase in wages and unit labour costs recorded in 2001. Nonetheless, the labour income share is likely to rise even further.

© OECD 2002

The current focus on the international situation should not divert attention from the domestic risk of excessive wage increases

While at the moment the focus is on external risks and uncertainties, on the domestic side the recent departure from wage moderation is worrisome. Up to now, the increase in wages and labour costs *vis-à-vis* the euro area and, more recently, *vis-à-vis* all trading partners may have largely represented the normal adjustment process, entailing the reversal of earlier trends and a decrease in the Dutch competitive position to more sustainable levels. However, a lesser degree of wage restraint than incorporated in these projections could result in an overshooting of the adjustment process, entailing an excessive loss of competitiveness and an additional increase in unemployment. Given the rigidities in the Dutch labour market and social security system, this might again prove difficult to reverse.

Automatic stabilisers can be allowed to work

Since 1995, fiscal policy has been based on cautious growth assumptions for the medium term, with ceilings for the volume of public expenditure and a firewall between windfalls in revenues and expenditure. This policy has turned out to be very successful in turning a large budget deficit into a small surplus, mainly through exploiting large revenue windfalls, which were only partly distributed via tax measures aiming at increasing labour supply. From 1998 to 2001, the general government budget balance improved by 1.4 percentage points, moving to a surplus of 0.6 per cent of GDP, despite the economic slowdown, implying that the structural balance improved even more. A minor further improvement in the structural surplus can be expected on the basis of the budget for 2002, the last year the present cabinet will be in office, keeping fiscal policy on the track needed to pre-fund ageing related expenditure increases. During the next cabinet period, spending should continue to be kept in check but, given the improvement in the budget balance, expenditure ceilings can be based on trend growth with a smaller safety margin. This would open up the possibility of letting the automatic stabilisers work fully on the revenue side and reduce tensions between fixed expenditure ceilings on the one hand and large revenue windfalls on the other. Structural expenditure windfalls can continue to be used for necessary increases in spending. However, a smaller safety margin also calls for (larger) amounts to be reserved below the expenditure ceiling, in order to maintain

© OECD 2002

both a smooth budgeting process as well as and the priorities set for the medium term in the coalition agreement.

Population ageing requires pre-funding future expenditure increases,...

Population ageing will reduce economic growth and increase resource transfers to the elderly. This will put pressure on the retirement-income- and healthcare insurance systems. The Netherlands is better placed than most OECD countries to meet these pressures because it has a large, funded occupational pension system. Even so, the government budget balance is projected to deteriorate when the baby boom generation passes into retirement. The government should adopt the policy of pre-funding these outlays that it is considering. This would entail maintaining a budget surplus of 1¼-1½ per cent of GDP over the next quarter century, by which time government debt would be eliminated. As demographic developments cause expenditures to rise from 2010 onwards, it would be preferable to do some front-loading of debt reduction over the coming decade. On this basis, a surplus of 1¼ to 1¾ per cent of GDP should be targeted in the next government period.

... careful monitoring of capital market risks...

One of the uncertainties surrounding the scale of advance funding required, both for the government and for pension funds, concerns capital market returns. The Netherlands Bureau for Economic Policy Analysis (CPB) made its projections on the basis of historical averages over the past century. However, it could be argued that population ageing may reduce returns for the baby boom generation. Lifecycle models of savings behaviour in an ageing society, when applied to the OECD area as a whole, would suggest that returns on accumulated savings for the current baby boom generation may be low relative to historical averages, because, in some sense, baby boomers are in a position of having to buy assets high and sell low. However the empirical support for such models remains relatively weak. Also other factors – especially diffusion of ICT – could well increase returns. While there is considerable uncertainty about the relative magnitudes of these effects, current asset prices do not appear to be compatible with historical rates of return. If current below-average returns were to be maintained, this would have significant implications for the amount of pre-funding required by pension

© OECD 2002

funds and the government. For the time being, it is too early to conclude that future rates of return are unlikely to match historical rates. However, if it does become clear that this is likely to be so, action should be considered early, entailing increasing funding and/or reducing pension entitlements, amongst other things, so as to minimise the impact on labour costs and/or give people time to adjust to possible changes in pension entitlements.

… and reforms to work longer and making older workers more attractive to employers

Coping with population ageing also requires increasing labour force participation in general and of older persons in particular. With the first of the baby boom generation now entering their 50s, the returns from removing incentives for early retirement and barriers to working beyond the normal retirement age will be particularly high over the next two decades. To enhance the employment rate of older people, which is close to the low EU average, the phasing out of fiscal provisions favouring early retirement should be accelerated and pay-as-you-go early retirement schemes arranged by the social partners should be converted as fast as possible into actuarially neutral fully-funded pre-pension schemes. The government could accelerate this process directly, in its role as an employer, and indirectly, by refusing to extend clauses in collective agreements relating to such pay-as-you-go schemes to the rest of the respective industrial sector. In addition, the duration of unemployment and higher first-stage disability benefits for older persons should be brought more into line with those of the rest of the population. Government measures to increase demand for older workers, like cutting employers' social security contributions for them – with the size of the cuts possibly increasing with the age of the worker – may be acceptable as a second best policy only to the extent that inflexible seniority based wage scales cause a problem. To complement the measures to enhance longer working lives, older workers must become more attractive to employers. Ideally, this calls for wage scales being less dependent on seniority and greater scope for flexible employment contracts beyond the normal retirement age. To be acceptable, this would require modifying the close dependence of pension entitlements on the last wage that characterises most of the present defined benefit pension plans. In addition, older

© OECD 2002

workers will need to make greater efforts to improve their productivity, notably through increased participation in job-related training, which again requires longer working lives increasing the expected period during which training investments can be amortised. These changes, together with the reforms to reduce incentives for early retirement would give a considerable boost to the employment of older workers.

The income tax reform has reduced unemployment and poverty traps, but incentives to work need to be strengthened further…

Quite aside from the longer-term importance of increasing participation of older age cohorts with a view towards the ageing of the population, improving the functioning of the labour market should remain a high short and medium term priority. In this respect the large pool of "inactives" – working-age benefit recipients not seeking a job – remains a weak point of the Netherlands economy. A sustained increase in the overall employment rate in full-time equivalents would also provide some offset to the reduction in the trend growth of per capita GDP that population ageing will cause. The personal income tax reform, which was introduced at the beginning of 2001, was a step in the right direction since it included a general tax credit for working persons (or earned income tax credit) with no phasing out income range. This, combined with other features of the reform, notably lower marginal tax rates, reduced both unemployment and poverty traps by lowering replacement rates, while not raising the tax wedge on labour further up the wage scale. There is, however, a trade-off between avoiding such distortions by not targeting, and the strength of the incentives that can be provided within given budget room. In particular, incentives to work, especially for older age groups and at the lower end of the labour market, need to be strengthened further.

… and vigorous measures need to be taken to prevent working-age persons from leaving the labour force prematurely…

A new and very detailed eligibility requirement system for screening new disability claimants aimed at reducing the inflow into this scheme is to be phased in progressively. However, given the many disappointments with past initiatives in this area, a more stringent approach may well be necessary. An independent commission appointed by the government (the Donner Commission) has recently made a number of suggestions centred around the idea of restricting the disability scheme to totally and permanently disabled

© OECD 2002

persons, with permanently but only partially disabled persons being covered by a private employers' insurance. Another suggestion of the Commission is to require both employers and sick employees to take all the necessary measures to prevent, as much as possible, the latter from reaching the point of applying for a disability status. While the Donner Commission may not have provided a full and entirely viable answer to the problem of disability, some of its suggestions will no doubt be included in future policy initiatives. However, if the introduction of a private scheme for partially disabled persons is proposed, it will be important, especially if this new scheme is to be co-managed by the social partners, to prevent a relaxation of eligibility criteria and the topping-up of benefits with an administrative extension of these provisions to whole sectors – lest this scheme becomes the new route into the welfare system. (At the same time, the existing practice of topping-up benefits in the first year of sickness, which reduces incentives to work, should be discouraged.) Also measures have to be considered to avoid that the requirement that employers take all the necessary measures to prevent the transition of sick workers into the disability scheme is circumvented by hiring through temporary work agencies. Ideally, this loophole should be closed by requiring temporary work agencies, like normal employers, to take the necessary measures to enhance the reintegration of sick workers without, however, changing the nature of these agencies as suppliers of flexible labour.

… but the real challenge is to return at least some of the inactives to the labour market

Although the emphasis should be on stemming the flow into inactivity – especially through stricter eligibility criteria and more appropriate incentives – measures taken in this respect should be extended to the "stock aspect" of the inactivity problem, *i.e.* the return of at least some of the inactives to the labour force. This may seem a daunting task since a large proportion of these persons is over 50 and, having been away from the labour market for several years, their "employability" is probably rather low. Nonetheless, given that tensions in the labour market are expected to persist, despite the slowdown of the economy, and that the effects of population ageing are beginning to be felt, there could hardly be more favourable conditions for tackling the

© OECD 2002

stock aspect of reintegration. The authorities have estimated at 375 000 the number of unemployed and partially disabled persons (some 5 per cent of the labour force) deemed capable of returning to the active labour force within one year, provided they are assisted by an appropriate reintegration programme. It would thus seem imperative to try a wide-ranging approach which, supported by specific programmes of counselling and retraining, would rely essentially on financial incentives but also on some penalties. As regards incentives, the government should consider correcting them through a major reduction in unemployment and poverty traps to be achieved by replacing various income-related subsidies which increase the purchasing power of inactives with a strengthening of the recently introduced earned income tax credit – a measure which would help correct both the stock and flow aspects of inactivity. Penalties could include reinstating normal job search requirements for unemployed 57½ and older and better enforcing these requirements also for certain categories of persons on social assistance, and introducing a re-examination process for all "disabled" already in the scheme.

A number of other labour market measures needs to be implemented

Other promising labour market measures already on the agenda of the authorities and which should be pursued vigorously include: increasing the role of private placement agencies in the activation process; beginning reintegration efforts already during the first year of sick leave before a person can apply for a disability status; creating adequate childcare facilities; and progressively reforming the educational and vocational system and introducing life-long learning programmes to improve the quality of the labour force and to minimise labour mismatches. Moreover, especially if labour market conditions were to ease somewhat, opportunities should not be missed to lower bottom pay scales towards the legal minimum wage, and to effectively use them as well as "opening clauses". But in the near future, given the pressing need to reduce the risk of overshooting wage adjustment, the authorities and the social partners should consider relying more on measures with an immediate impact, such as relaxing working time legislation and related provisions in collective wage agreements. Furthermore, measures to reduce the effective entry barriers for

© OECD 2002

foreign workers with specific skills, in particular from countries outside the EU, should be considered.

Increasing productivity growth is the key for long-term growth, and raising productivity would also ease the burden of population ageing

As a result of population ageing, productivity growth is set to become by far the most important source of economic growth. Already in the coming cabinet period, economic growth will be more dependent on productivity growth than on employment growth. This makes fostering higher productivity growth the key to sustained improvement in living standards. Higher productivity will also make it easier to cope with population ageing in so far as it would facilitate de-coupling of government expenditure from GDP growth, as has occurred over the past two decades. Moreover, it could ease pressures on defined benefit pension schemes as it would increase contributions without necessarily raising pensions – boards of pension funds can decide partially or fully to suspend indexation (usually to wages) for a specific period of time if necessary. It will thus be important to continue to implement the comprehensive productivity growth strategy currently followed by the government– including the diffusion of ICT – based on a combination of actions aimed at strengthening economic and social fundamentals, improving the functioning of markets, fostering innovation, investing more in human capital and stimulating firm creation.

Competition is key for the introduction of productivity increasing technologies…

Nevertheless, the Netherlands has not experienced a "new economy" surge in productivity growth, in contrast to the United States, or within Europe, to Ireland or Finland: labour productivity growth in the Netherlands only recovered slightly in the late 1990s. Compared to the United States, this difference mainly reflects a much smaller increase in information and communication technology (ICT) capital intensity. Incentives to make such investments appear to have been weaker in the Netherlands because ICT prices are higher, product market competition is less intense and restrictive labour market legislation limits the scope for firms to reorganise to use ICT profitably. As discussed below, a range of product market reforms in the context of the Single Market programme is increasing competition and hence incentives to invest in ICT. However, these will need to be complemented by reforms to prohibit practices by ICT-hardware producers to segment markets if

© OECD 2002

significant progress is to be made in reducing prices towards levels in the United States. In addition, it will be important to ensure that the recent reform opening the local loop of the telecommunications network to competition is effective, as this will have an important bearing on the costs of using ICT. Moreover, some easing in employment protection regulation could also make it easier for firms to re-organise their activities to take advantage of ICT.

... requiring the implementation of reforms in the goods and services markets to be stepped up

Structural reform, which has been one of the success stories of the Netherlands and an integral part of the Dutch model, seems to have lost momentum. However, to reap all possible synergies, corrective efforts in the labour market need to be accompanied by stepped-up policies to make the whole economy more efficient and dynamic. Rapid progress in tackling issues, which are important to the consumers and explaining the concrete benefits that can be expected from these measures, may impart a new momentum to the Market Forces Deregulation and Legislative Quality Project (MDW) which seems to suffer from reform fatigue. The phasing out of the Establishment Law looks like a promising initiative, since, according to a recent evaluation by the government, it is not an efficient and essential instrument in fostering the quality of entrepreneurship and, by setting minimum qualifications and other regulations for the creation of new enterprises, especially small ones, it acts as a barrier to entry with a potentially harmful restraint of competition. Other barriers to entry should also be dismantled, for instance by reforming the bankruptcy law, and reducing impediments for innovative entrepreneurs, such as lack of support during the start-up phase, lack of access to research facilities and limited venture capital. As regards network sectors, a lot remains to be done, for instance in the market for water services and in the energy sector, and other countries' experience has shown that, if carried out in an appropriate framework of supervision and regulation, liberalisation typically brings significant gains in efficiency, as well as lower prices. Hence, the government should confirm its intention of accelerating the liberalisation process in the electricity sector.

© OECD 2002

Transport infrastructure needs to be improved and used in a more efficient way

The liberalisation process in the public transport sector has been especially slow and the current and prospective levels of congestion in rail and road traffic may increasingly become a threat to productivity and economic growth. Part of the answer lies in a more efficient use of the existing infrastructure. Hence, once appropriate regulatory and supervisory rules are in place, more market forces should be injected in the rail sector, and the authorities should convince public opinion to accept some forms of "road pricing". At the same time, additional investment in the infrastructure is urgently needed, particularly in the rail sector to improve commuting and domestic lines which, in recent years, have been somewhat neglected as a result of the concentration of investment in the high speed international rail line.

Planned reforms in financial markets should be implemented rapidly

In the context of rapidly-changing technologies, venture capital and the financial system in general may have an especially important role to play in the growth process by enhancing the emergence of new, innovative enterprises. Hence, it is essential to press ahead with several initiatives which are already in the pipeline and aim at strengthening financial markets by: making corporate governance more transparent with strengthened shareholders' rights; providing distressed firms with better instruments for restructuring via appropriate modifications to the bankruptcy law; and further developing venture capital. Moreover, the financial supervisory authorities should continue to closely monitor mortgage debt used to finance consumption which, given its rapid growth over the past few years, could have a destabilising impact on the financial system and the economy if there were a major downward correction in house prices.

Further health sector reform is required, in particular to tackle the problem of waiting lists

In the health sector, a full overhaul of the system is again in the forefront of public discussion, which may reflect a widespread desire to see a substantial improvement in the performance of the system, and notably a rapid correction of the problem of waiting lists. According to the authorities, there is a large consensus in the country to transform the present centralised and supply-driven system into a decentralised and demand-driven system. Although some major elements are still subject to political controversy, the

© OECD 2002

general approach, as outlined in the plan recently submitted by the government to Parliament, looks promising and should be pursued vigorously, taking care to strike an appropriate balance between considerations of performance and efficiency and the principle of equity or equality of treatment which is especially important in the Netherlands. Meanwhile, the current gradual approach needs to be continued and accelerated. Specific areas where further progress is required include: an increase in the supply of medical staff (to be achieved mainly by removing obstacles to education, training and setting up practices); the definition of standard procedures and treatment in health care; the reliance on a therapy-based payment system for in-patients; and benchmarking health care institutions on a regular basis.

Summing up

These are undoubtedly testing times for the Netherlands, with the economy moving away from sustained non-inflationary growth, which had been the hallmark of the Dutch model for nearly two decades. While the highly uncertain outlook is currently dominated by external considerations, domestic economic policy in co-operation with the social partners should be directed at preventing an overshooting of wage adjustment. Given the sound fiscal position, the automatic stabilisers can be allowed to work. To curb wage-price inflation as much as possible and pave the way for a much-needed return to wage moderation, the authorities need to do their utmost to step up structural reforms. In the labour market there is a pressing need to improve further incentives to work and strengthen reintegration efforts in order to: *i*) boost the participation rate of certain groups, such as benefit recipients, women and especially elderly people, *ii*) to lengthen working lives and hence *iii*) to raise the overall employment rate in full-time equivalents. Moreover, it is essential to create the right economic environment to boost productivity growth. Such reforms, together with the large amount of advance funding, would make the Netherlands better prepared to cope with the economic consequences of population ageing. It is essential for the Dutch authorities to back up these policies with a deepening of the reform process in product and financial markets in order to make the whole economy more competitive and dynamic, thereby steering the economy back to sustained non-inflationary growth.

© OECD 2002

I. A major change in the conjunctural situation

A marked deterioration of the macroeconomic performance and outlook…

The macroeconomic performance of the Dutch economy has deteriorated markedly over the past few quarters. Real GDP growth, which had already decelerated sharply before the September attacks, is expected to fall to 1.4 per cent in 2001 – compared with an annual average of nearly 4 per cent in 1997-2000. At the same time, HICP inflation has accelerated strongly, owing to external and one-off factors, but also to labour costs increases. While inflation seems to have passed its peak according to this measure, it remains the highest in the euro area, and core inflation – *i.e.* excluding food, energy, government levies and indirect taxes – has also increased significantly. Moreover, reflecting a long period of very tight labour market conditions, wages and labour costs have surged and the competitive position of the Netherlands *vis-à-vis* the euro area and its partner countries as a whole is expected to deteriorate markedly in 2001. The outlook is highly uncertain and rather gloomy at the moment. A plausible central scenario would seem to entail a period of a few quarters of slow growth with relatively high wage-price inflation and rising unemployment, followed by no more than a weak recovery beginning in the second half of 2002. The key domestic risk is that labour costs increases may remain too high.

… with sharply slower growth…

The Dutch economy was well past its cyclical peak when it was hit by the September 2001 shock. After reaching a peak of 4.6 per cent (year-on-year) in the first quarter of 2000, real GDP growth had continuously slowed standing at only 1.5 per cent by the second quarter of 2001. While the cyclical turnaround was essentially export-led, the acceleration of the downturn in the first part of 2001 reflected a weakening of private consumption and business-fixed investment. For a small open economy like the Netherlands, it is not unusual for its economic cycle to be driven by exports, but the weakness of private consumption and the rapid decline in consumer confidence already before 11 September, seems to suggest that in this episode the international transmission mechanism may have been stronger and quicker than the normal one through exports. As discussed

© OECD 2002

below, one effect of globalisation may be that, at least in rather extreme cases and for small outward-looking countries like the Netherlands, the transmission mechanism also works through expectations and confidence, with a direct impact on private consumption and business investment.

The few available indicators covering the period after 11 September point to a broad continuation of the above trends, implying a near stagnation of the economy in the last months of 2001. Hence, real GDP growth is expected to fall to 1.4 per cent in 2001 as a whole, compared with 3.5 per cent in 2000 (Table 1).[1] The year-on-year deceleration of the economy remains very rapid even if the GDP figures are adjusted for the effect of the foot and mouth disease (an estimated loss of ¼ per cent of GDP) and the shift of private consumption from early 2001 to late 2000 in anticipation of the VAT rate hike on 1 January 2001 (see below). With the exception of government consumption, all components of total demand are expected to show lower growth rates than in 2000. As a result, the large positive output gap that had prevailed for several years is likely to be nearly erased in 2001. This relaxation in pressure on resources utilisation is still not fully reflected in available indicators: capacity utilisation in industry in July – at 84.8 per

Table 1. **Macroeconomic performance at a glance**

	1997	1998	1999	2000	2001[3]	Average[2] 1997-2000	EU[1] Average[2] 1997-2000
	Year-on-year percentage changes						
Real total domestic demand	3.9	4.8	4.2	3.1	1.3	4.0	3.1
Net exports[4]	0.2	–0.2	–0.2	0.6	0.0	0.1	–0.2
Real GDP	3.8	4.3	3.7	3.5	1.4	3.8	2.9
Inflation[5]	2.0	1.7	1.9	2.8	4.6	2.1	1.7
Total employment (persons)	3.4	3.3	3.0	2.3	1.8	3.0	1.6
	Per cent						
Employment rate[6] (persons)	68.1	69.8	71.3	72.1	..	70.3	62.7
Unemployment rate[7]	5.2	4.0	3.4	2.9	2.4[8]	3.9	9.5
General government balance – actual[9]	–1.1	–0.8	0.4	2.2	1.1	0.2	–1.1
General government balance – cyclically adjusted[10]	–1.6	–1.6	–0.7	0.3	0.9	–0.5	–0.9

1. Except for the total employment, weighted average using the method described in the *Economic Outlook*.
2. Arithmetic average. For net exports, average of contributions to GDP growth.
3. Estimates.
4. Contribution to GDP growth.
5. Private consumption deflator.
6. As a percentage of working-age population.
7. Standardised unemployment rate.
8. Average of first three quarters.
9. As a percentage of GDP. UMTS receipts representing 0.7 per cent of GDP are included in 2000.
10. As a percentage of potential GDP.

Source: OECD – ADB, *Main Economic Indicators* and *Employment Outlook*.

© OECD 2002

cent – was broadly the same as a year earlier; and unfilled vacancies as a percentage of the labour force merely levelled off in the first quarter of 2001, remaining at an historically high level.

The weakness of *private consumption* early this year was not that surprising given the surge in spending on durable goods in general, and on cars in particular, in December 2000, ahead of the increase in the VAT rate on 1 January 2001, from 17.5 to 19 per cent.[2] However, the persistence of this weakness in the following months is more puzzling, given the sizeable one-off increase in disposable income (estimated at some 5¼ per cent) brought about by the 2001 income tax reform. Household spending behaviour seems to have been greatly affected by the sharp fall in confidence to the lowest level in five years. This in turn may have reflected well-advertised domestic and international developments, including: the stronger-than-expected slowdown in the US economy (particularly in the high tech sector); the sharp fall in global equity markets; the large layoffs announced by many international companies; and the problems of most telecommunications companies in Europe.

Private consumption may also have been hampered by the fact that, for the first time in more than a decade, the ratio between net household wealth and disposable income is expected to decline in 2001, reflecting primarily the slump in share prices and the levelling off in real asset prices. In the first quarter of 2001, house prices were little changed compared with the fourth quarter of 2000, although they were still some 13 per cent higher than a year earlier. However, as consumer price inflation has surged, the rise in the price of houses in real terms has decelerated significantly more than in nominal terms. Hence, the dwindling positive impact on private consumption is essentially the lagged effect of the strong increase in house prices which has taken place in previous years. Also, borrowing to finance consumption has become more expensive for households since interest payments on consumer credit are no longer tax deductible. All considered, the growth in private consumption is expected to drop from 3.8 per cent in 2000 to 1.2 in 2001, and the saving ratio to rise from 7.6 to 10.7 per cent – the highest level since 1998. This rebound in the saving ratio may represent the end of a downward trend which started in 1995 when consumption growth began to exceed growth in disposable income, as a result of the impact of the good macroeconomic performance of the economy on consumer confidence, and sizeable wealth gains stemming from the surge in house prices and, later, equity prices.

Another major factor contributing to the slowdown of the economy is the apparent end of the long investment boom. After averaging an annual rate of growth of 7 per cent in the 1995-2000 period and reaching an historically high level of nearly 20 per cent of GDP in 2000, *business fixed investment* is expected to actually decline in 2001 (–2 per cent). Part of the reason for the weakness in investment is the sharp drop in profit margins,[3] which started already in 2000 and is the mirror image of the significant rise in the income share of labour and in energy prices.

© OECD 2002

Other negative factors have been the drop in orders and a weaker and much more uncertain outlook. On the other hand, rising labour costs and the current and prospective persistence of labour shortages in certain sectors have continued to prompt firms to substitute capital for labour and increase the capital intensity of their production. As for a possible impact on investment of the appearance of excess-supply conditions in certain sectors, such as the high tech one, the Dutch authorities have found no clear evidence supporting this hypothesis. Similarly, they have no evidence of any impact on investment of the fall in Dutch and international stock prices, and in any case, for Dutch firms, share issue typically provides only a small proportion of the financing of investment.

The reasons for the weakness in *residential investment* which, after having stagnated in 2000, is expected to show an actual decline in 2001, is more structural than cyclical. The average duration of procedures to obtain a building permit has lengthened, as a result of the growing complexity of the procedure and the increasing number of complaints raised by the public.[4] Also, the labour market for construction workers is especially tight and puts a ceiling on the number of construction projects that can be undertaken. Finally, until recently, owing to the boom in company building, construction companies found it profitable to switch their limited resources from residential to business investment.

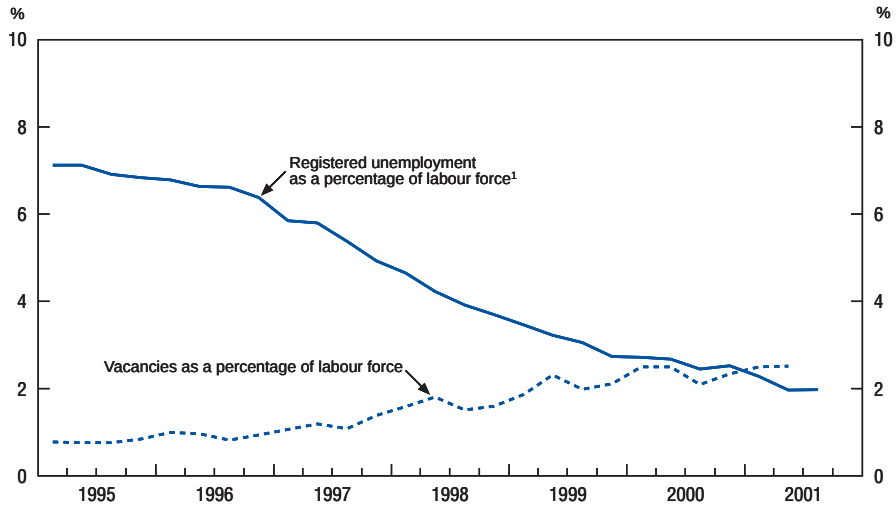
The rate of growth of *exports* (goods and services in volume) is expected to fall steeply from an historically high 9.5 per cent in 2000 to 2.7 per cent in 2001, reflecting the strong deceleration in (trade-weighted) export market growth. Market shares may not have changed significantly as, until recently, the rise in wage-price inflation relative to trading partners, has been more than offset by the depreciation of the euro in effective terms. Moreover, as a result of the large import content of Dutch exports and total domestic demand in general, the rate of growth of imports has also decelerated markedly so that, *ex post* (*i.e.* after the export-led adjustment of economic activity to a lower level) the net contribution of the foreign balance to growth may remain slightly positive in 2001.[5]

… but a still tight labour market…

Labour market conditions seems to have begun to level off, but they were still very tight in the first half of 2001. For instance, while the number of unfilled vacancies (as a percentage of the labour force) remained at around 2½ per cent, it exceeded the unemployment rate for the first time in more than a decade (Figure 1).[6] The standardised unemployment rate has continued to fall, reaching 2.2 per cent in September 2001, the lowest rate in the OECD area (Figure 2). The unemployment rate on national definitions[7] is expected to decline to 2.5 per cent in 2001 as a whole – the lowest level since the late 1960s and well below the structural unemployment rate estimated by the OECD Secretariat at around 4 per cent. Showing the typical lagged response to changes in economic activity, employment

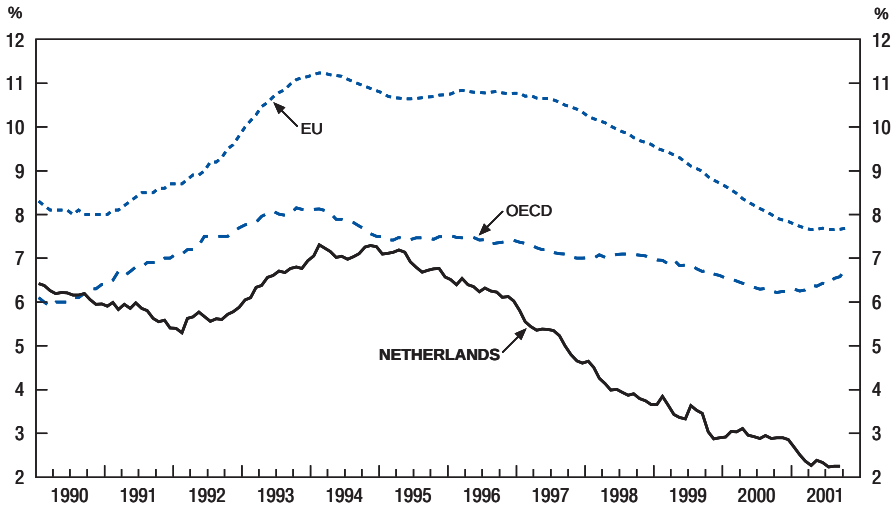
© OECD 2002

Figure 1. **Unemployment and vacancies**



1. National definition.
Source: OECD, *Main Economic Indicators*; Statistics Netherlands.

Figure 2. **Unemployment rate:[1] an international comparison**



1. Standardised rate, seasonally adjusted, based on civilian labour force.
Source: OECD, *Main Economic Indicators.*

© OECD 2002

Table 2. **Overview of the labour market**[1]

In full-time equivalents, thousands

	1970	1975	1980	1985	1990	1995	1996	1997	1998	1999	2000
1. Working-age population	8 156	8 728	9 262	9 922	10 305	10 569	10 604	10 642	10 687	10 740	10 798
2. Employment	6 058	5 009	5 174	4 978	5 203	5 663	5 808	5 991	6 173	6 352	6 509
of which:											
Sickness	269	334	370	310	409	352	334	347	380	409	420
Subsidised employment schemes[2]	44	56	74	80	93	132	151	165	169	173	176
As a percentage of working-age population (employment rate)	62	57	55	50	50	54	55	56	58	59	60
3. Benefit recipients not in employment[3]	468	774	1 123	1 701	1 692	1 800	1 758	1 698	1 595	1 513	1 468
of which:											
Unemployment schemes[4]	58	197	235	652	539	693	347[5]	311	261	217	187
Social assistance	63	105	112	180	176	164	484[5]	463	424	381	348
Early retirement	–	–	11	21	39	51	51	52	53	53	53
Disability	196	310	608	698	790	752	740	742	763	772	794
Surviving relatives insurance	151	162	168	171	187	191	187	182	147	143	139
As a percentage of adjusted labour force[6]	8	13	18	25	25	24	23	22	21	19	18
Memorandum items											
4. Registered unemployed seeking a job[7]	44	195	217	511	358	464	440	375	287	221	188
As a percentage of labour force (unemployment rate)[8]	1	4	4	9	6	7	7	6	4	3	3

1. These data, kindly provided by the Ministry of Social Affairs and Employment, have been collected from several different sources and hence may not be fully consistent (even when they are in full-time equivalents).
2. WIW jobs + WSW jobs + ID jobs.
3. Benefit recipients not in employment are people of working age who receive social security benefits.
4. Unemployment insurance (WW) and Social Assistance Schemes RWW, IOAW and IOAZ. Due to the integration of the RWW into the social assistance scheme ABW in 1996, the number of claimants of unemployment benefits after 1995 has been partially estimated by the OECD Secretariat.
5. Due to the new Social Assistance Act a part of the participants in the unemployment schemes (RWW) were moved to the social assistance scheme on 1 January 1996.
6. Adjusted labour force is employment plus benefit recipients not in employment.
7. In persons, thousands.
8. National definition.

Source: Ministry of Social Affairs and Employment.

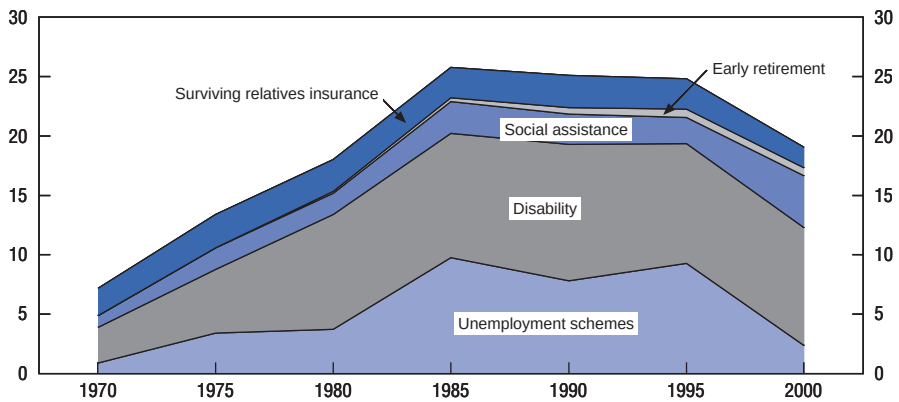
© OECD 2002

growth both in persons and in full-time equivalents is expected to remain robust in 2001 (1.8 and 1.7 per cent, respectively), so that labour productivity will actually decline, albeit moderately (–0.3 per cent in the business sector). This decline in productivity, among other factors, seems to reflect a degree of labour hoarding which, after a long period of tight labour market conditions, may be stronger than is typically the case during a slowdown of the economy, and which may raise further the labour income share with a potentially negative impact on future employment.

Another very positive result of the past few years of strong economic growth has been the progressive rise of the employment rate (in full-time equivalents) to levels not seen since the beginning of the 1970s, *i.e.* 60 per cent of the working age population in 2000, compared with 62 per cent in 1970 and a low point of around 50 per cent in the second half of the 1980s (Table 2). However, the number of hours worked per employee remains low by international standards, not only as a result of the large number of part-time workers but also because of the relatively limited number of hours worked per full-time employee. At the same time, the number of working age benefit recipients not in employment, as a percentage of the adjusted labour force,[8] has declined from a peak of around 25 per cent in the 1985-1995 period to 18 per cent in 2000 (Figure 3). In addition to the strong economy this decline has undoubtedly also reflected policy measures to activate these people (see Chapter IV). Nonetheless, the number of benefit recipients not in employment is still very high compared with 1970 when it represented only

Figure 3. **Benefit recipients not in employment**

Full-time equivalents
Per cent of adjusted labour force[1]



1. Adjusted labour force is employment plus benefit recipients not in employment. Refer to Table 2 for definition of concepts.

Source: Ministry of Social Affairs and Employment.

© OECD 2002

8 per cent of the adjusted labour force.[9] Of this large pool of untapped labour, only a small proportion is actually seeking a job; the large majority can be considered "inactives", *i.e.* benefit recipient not seeking a job.[10] Most inactives are in the disability scheme and in the social assistance scheme. While the number of disabled (in full-time equivalents) declined in the first half of the 1990s following the introduction of a new, tighter definition of "disability" and the obligation for persons already in the scheme to be re-examined on the basis of the new definition, this trend was soon reversed and the number of disabled has been rising again since 1997 despite growing labour shortages.[11] On the other hand, the number of benefit recipients in social assistance has declined significantly over the past few years, probably reflecting, among other factors, a progressive tightening of eligibility conditions in this scheme. As discussed in Chapter IV, the magnitude of the inactivity problem stresses the scope for further activation policies, even though this is obviously not an easy task, with most conventional and broadly acceptable measures having already been taken.

... and stronger inflationary pressures...

After having been limited for several years to asset markets, in particular housing, strong inflationary tensions have spread to virtually the entire economy. These tensions, which are basically a reflection of tight labour markets and continuing pressures on resource utilisation, have been compounded by one-off factors both of internal and external origins. Partly as a result of the weakness of the euro and the steep increase in the price of oil, price inflation began to rise rapidly in 2000 (Table 3 and Figure 4), and was boosted further by the hike in the VAT rate and the environmental energy tax on 1 January 2001, as the income tax reform included a shift from direct to indirect taxes.[12] Temporary high food prices, partly due to the foot and mouth disease, also fuelled inflation. While on a monthly basis HICP inflation seems to have passed its peak, in October 2001, at 5.2 per cent (year-on-year), it was still the highest in the euro area and very high by past Dutch

Table 3. **Contributions to the private consumption deflator**

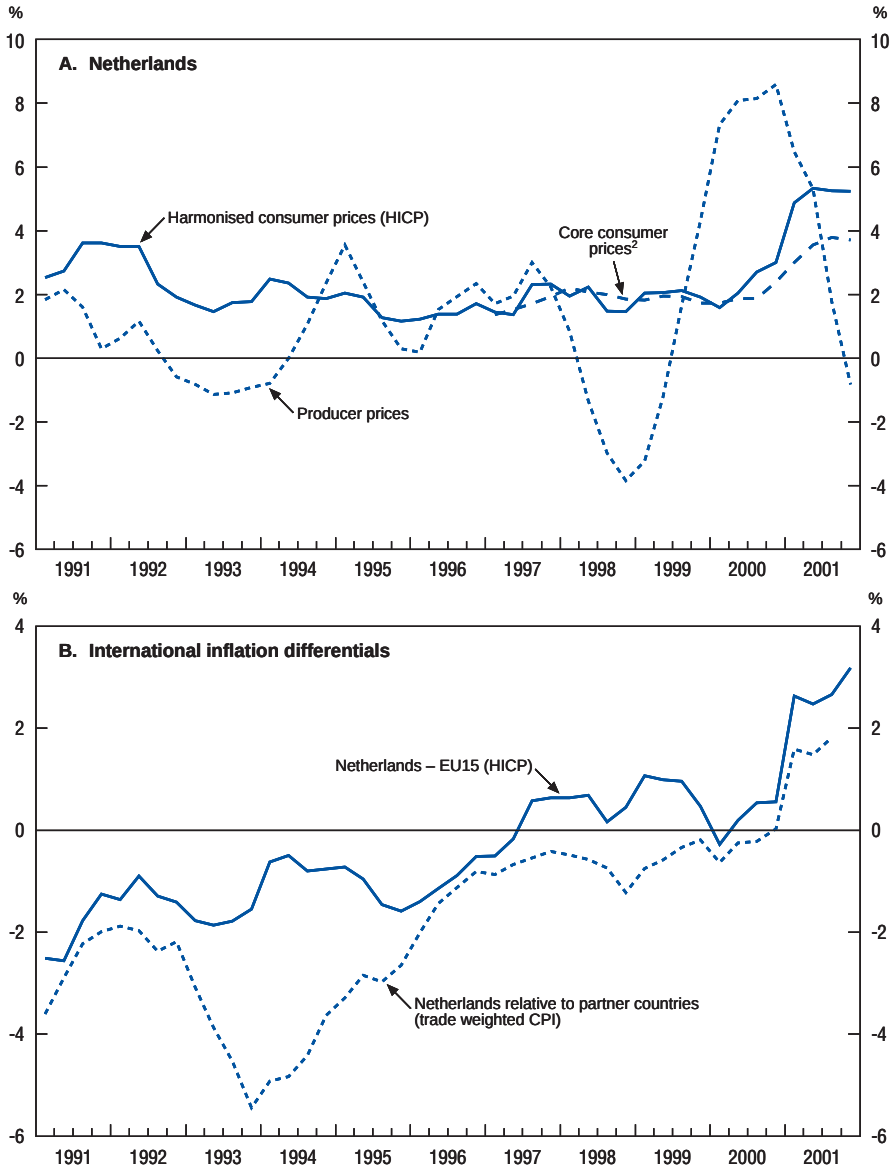
	Weight	1997	1998	1999	2000	2001[1]
		Contributions in percentages				
Imports	36	0.8	–0.3	0.5	2.3	¾
Indirect taxes and non-market sector	20	1.1	0.6	0.8	1.1	1¾
Labour costs	44	0.4	0.9	0.8	1.6	2
Gross margins[2]		–0.3	0.5	–0.2	–2.6	0
Private consumption deflator	100	2.0	1.7	1.9	2.8	4½

1. Estimate.
2. Including depreciation and interest.
Source: Netherlands Bureau for Economic Analysis (CPB).

© OECD 2002

Figure 4. **Inflation developments**

Change from corresponding quarter of previous year[1]



1. 2001 Q4 is an estimate based on months available.
2. As defined by the Dutch authorities, *i.e.* CPI excluding vegetables, fruit, energy, government services and indirect and consumption related taxes.

Source: Statistics Netherlands; OECD, *Main Economic Indicators* and OECD Secretariat.

© OECD 2002

standards. Core inflation[13] which, by excluding the effect of erratic food and energy prices and government measures concerning indirect taxes, may be regarded as a more appropriate indicator of inflationary tensions, has risen less rapidly but nonetheless was 3.7 per cent in October. For 2001 as a whole, HICP and core inflation are expected to average 4.5 and 3.3 per cent, respectively – compared with 2.3 and 2 per cent, respectively, in 2000.

Several years of tight labour market conditions and, until recently, high profits, seems to have been the primary reason for the acceleration in wages. But the steep rise in consumer price inflation has been an important additional factor which, although largely due to one-off events, has clearly increased the risk of a dangerous interaction between increases in wages and prices, especially since wages have accelerated despite the large boost in disposable income brought about by the income tax reform.[14] While according to the authorities, a wage-price spiral is not yet visible, the government has expressed concern about the present level of wage increases that it considers to be too high. On the basis of the collective wage agreements which have already been concluded (85 per cent of the total covering about two-thirds of the working population), 2001's average increase in contractual wages is 4.4 per cent,[15] with little or no increase in the wage drift. While agreements for 2001 concluded in 2000 averaged a wage increase of 4.0 per cent, agreements concluded in 2001 averaged an increase of 4.8 per cent. Hence, the wage rate and compensation per employee for the entire private sector are expected to rise by 5.1 and 4.9 per cent, respectively in 2001, compared with 3.6 and 4.9 per cent, respectively, in 2000.[16] Combined with an actual decline in productivity, the result is an expected acceleration of the rise in unit labour costs from 3.6 per cent in 2000 to a much more serious 5.2 per cent in 2001. As unit labour costs are expected to increase only by 2.3 per cent on average in the euro area, on the basis of this indicator, the progressive deterioration of the competitive position of the Netherlands *vis-à-vis* the other euro countries which has been in evidence for a number of years will continue and accelerate in 2001. Moreover, with the euro in effective terms reversing somewhat its previous trend depreciation, the competitive position of the Netherlands *vis-à-vis* all its trading partners, after improving somewhat in 1999-2000, is expected to deteriorate markedly in 2001.

As the current high level of wage-price inflation is to a considerable extent cyclical, up to a point, it can be seen as part of the normal adjustment process within a common currency area which, through different inflation rates, rechannels demand pressures from one country to another according to relative conjunctural positions. On a more structural level, the recent loss of competitiveness *vis-à-vis* not only the other euro countries but all trading partners, represents a reversal of trends which prevailed from 1983 to the late 1990s when, due to wage moderation and the firm link of the guilder with the Deutschemark, the Netherlands markedly improved its international competitive position and the current account surplus widened to 6¾ per cent of GDP in 1997. While an unwinding of these largely

© OECD 2002

unsustainable positions is inevitable and even appropriate, there is a danger that the adjustment process might overshoot, with the real exchange rate swinging from under-valuation to over-valuation and thereby causing an unnecessary increase in unemployment.

... all developments reminiscent of the situation at the end of the previous business cycle...

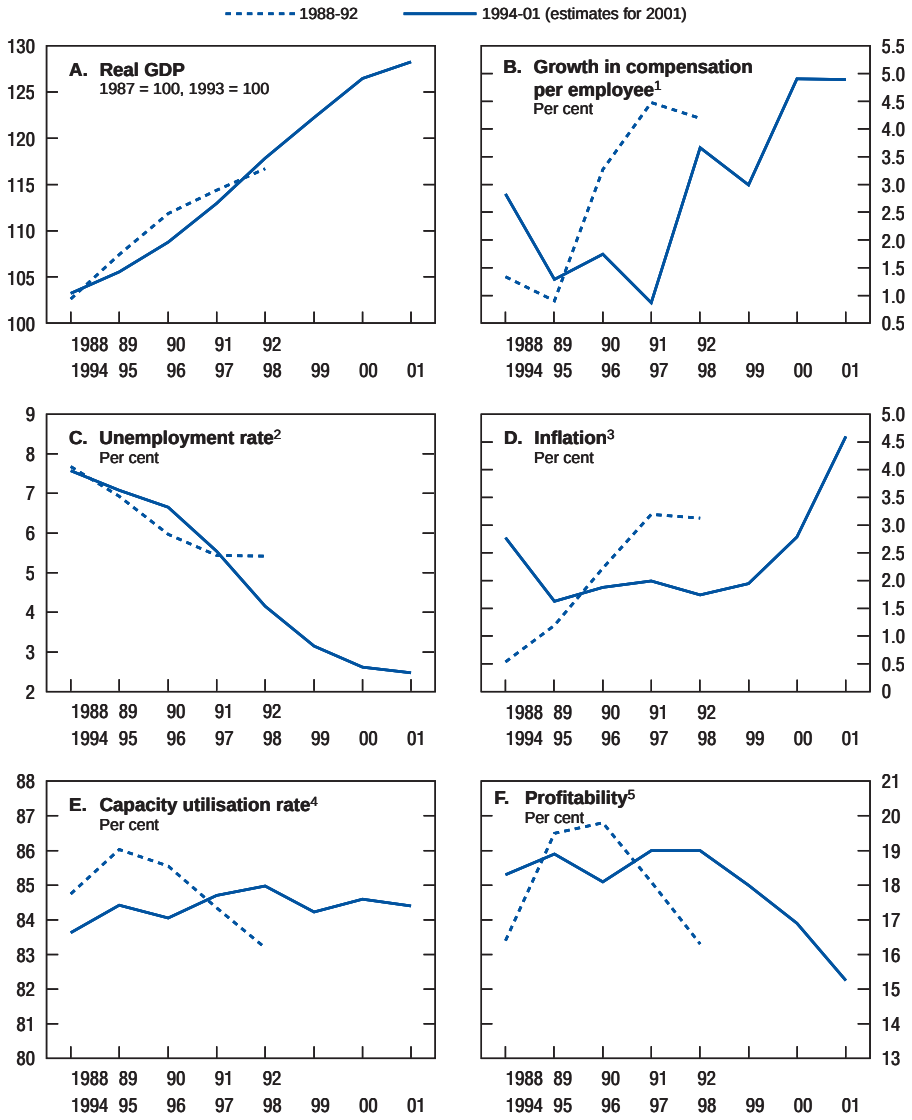
Before discussing the short-term outlook, it might be useful to briefly consider the current macroeconomic situation and cycle in a somewhat longer time perspective. The present combination of a rapidly slowing economy and rising inflation is reminiscent of the early 1990s, when a period of strong economic growth was followed, with a lag, by a partial relapse into wage escalation, high inflation and a recession in 1993.[17] The previous *Survey*, in comparing the situation then existing with the 1988-92 cycle, noted that one of the key differences was an apparent improvement in the unemployment/inflation trade-off which, it was postulated, might have reflected various factors including: a renewed commitment to wage moderation, after a partial departure from it in the early 1990s was followed by the end of the expansion; comprehensive structural and regulatory reforms in virtually all sectors of the economy; the increased use of flexible labour contracts, especially in the services sector where the pressure of demand had been particularly strong; and a boom in capacity expanding investment which had contributed to avoiding major bottlenecks.

Two years later, the comparison seems less flattering for the current cycle. While this expansion has lasted significantly longer than the previous one and the unemployment rate is now much lower than in 1992, inflation, in terms of both the private consumption deflator and compensation per employee has surged well past the previous peak in the early 1990s, and business profitability is lower than its previous trough, which does not bode well for a future recovery (Figure 5). In both episodes, external shocks have played an important, if not overwhelming, role, especially concerning the timing and severity of the downturn: in the earlier episode, the ERM crisis in the autumn of 1992 and the subsequent appreciation of the guilder in effective terms, largely contributed to the reversal of the cycle and the recession which followed; and in the current episode, the sharp deceleration of the US economy and world trade combined with the burst of the technology bubble and the steep fall in global stock markets had apparently set in motion a major downturn even before the September events.

In sum, over the past couple of years, various internal and external shocks, some of them of a one-off character, have hit the economy at a time when, owing to the maturing expansion and growing pressures on wage moderation, it was already in a precarious equilibrium. Hence, the global economic slowdown and the highly uncertain international environment have weighed heavily on

© OECD 2002

Figure 5. **Comparison of two business cycles**



1. Business sector.
2. National definition.
3. Private consumption deflator.
4. Manufacturing.
5. Share of capital in business GDP (excluding mining and housing).

Source: CPB Netherlands Bureau for Economic Policy Analysis, Macro Economische Verkenning 2001, OECD, *Main Economic Indicators* and OECD Secretariat.

© OECD 2002

domestic growth, while the income tax reform has contributed to inflation but, for the time being, consumers have not fully spent the related increase in disposable income and wage agreements do not seem to have taken these tax cuts into account. As a result, the economy seems to have been tilted towards a period of low growth with high wage increases and rising unemployment.

... and pointing to a highly uncertain and rather gloomy outlook

At the moment the outlook is rather gloomy, and the high degree of uncertainty is reason for further worries. Following the September 2001 events the driving force will remain the international environment. At the economic level, macroeconomic conditions in the United States and in the other major economies, combined with the evolution of world stock markets, are likely to determine the future course of the Dutch economy, with the transmission mechanism probably remaining unusually strong and quick. Concerning economic policies, the stance of monetary policy in the euro area can be expected to be sufficiently accommodating. On the domestic side, given the comfortable budgetary position, with a small structural surplus, the automatic stabilisers can be allowed to work. Household spending and wage settlements are among the acting forces which could play a positive role. Households, having largely saved rather than spent the additional disposable income provided by the income tax reform, have limited the deterioration of their financial balances caused by the fall in stock prices, and may be less inclined to increase their saving ratio much further. They could even resume a more relaxed spending behaviour relatively quickly once the global situation improves. Also, easing labour market conditions and declining inflation combined with sharply falling business profits can be expected next year to result in significantly lower wage claims and even lower contractual wage increases – paving the way to a progressive return to wage moderation and curbing further losses in international competitiveness.

Under these conditions, a central scenario would seem to entail a progressive stabilisation of the economy, followed by a hesitant recovery starting only in the second half of 2002, as the erosion of competitiveness will prevent Dutch firms from fully benefiting from the expected rebound in international trade. Real GDP growth is thus projected to barely edge up to a little over 1½ per cent in 2002 and to around 2½ per cent in 2003, somewhat below potential growth (Table 4). Hence, the positive output gap, which had prevailed for several years, is expected to turn negative over the projection period. With one-off factors out of the way, inflation is projected to decline rapidly, to less than 2 per cent in 2003 on the basis of both the private consumption deflator and the HCPI. This, combined with a significant decline in profit margins, a slower pace of job creation and a rise in unemployment,[18] can be expected to curb the increase in the wage rate and compensation per employee in the private sector to 3¾ in 2003, thereby limiting the

© OECD 2002

Table 4. **Short-term projections**

	Estimates 2001	Projections 2002	Projections 2003
	Percentage change		
Demand and output (volume)			
Private consumption	1.2	2.0	3.1
Government consumption	3.0	2.4	2.5
Gross fixed capital formation	–0.6	0.1	1.8
Private sector non-residential	–2.0	0.0	2.2
Private sector residential	–0.7	0.5	1.0
Public sector	5.5	0.0	1.6
Final domestic demand	1.2	1.7	2.7
Change in stockbuilding[1]	0.2	0.0	0.0
Total domestic demand	1.3	1.7	2.7
Exports of goods and services	2.5	3.4	7.5
Imports of goods and services	2.4	3.7	8.0
Change in net exports[1]	0.1	0.0	0.1
GDP at market prices	1.4	1.6	2.6
Inflation			
GDP deflator	5.3	3.3	2.4
Private consumption deflator	4.6	2.4	1.9
	Per cent		
Others			
General government balance (per cent of GDP)	1.1	0.6	0.7
Unemployment rate[2]	2.5	2.8	3.1
Household savings ratio[3]	10.3	12.2	12.7
Current account balance (per cent of GDP)	3.6	3.8	4.0
Short-term interest rates	4.2	3.0	3.8
Long-term interest rates	4.9	4.7	5.1

1. Contribution to GDP growth.
2. National definition (registered unemployment as percentage of labour force).
3. Including net contributions (actual or imputed) to life insurance and pension schemes.

Source: OECD Secretariat.

rise in unit labour costs to around 2 per cent. While at the moment external risks and uncertainties seem overwhelming, they should not divert attention from the domestic risks. A lesser degree of wage restraint than incorporated in these projections would result in a further loss of competitiveness which could go well beyond that required by the normal adjustment process. The result could be an unnecessary increase in unemployment which, given the rigidities in the Dutch labour market and social security system, might prove difficult to reverse. Hence, failure to rapidly move back towards wage moderation would risk prolonging the period of slow growth, high wage increases and rising unemployment which looms ahead.

© OECD 2002

II. Macroeconomic policies

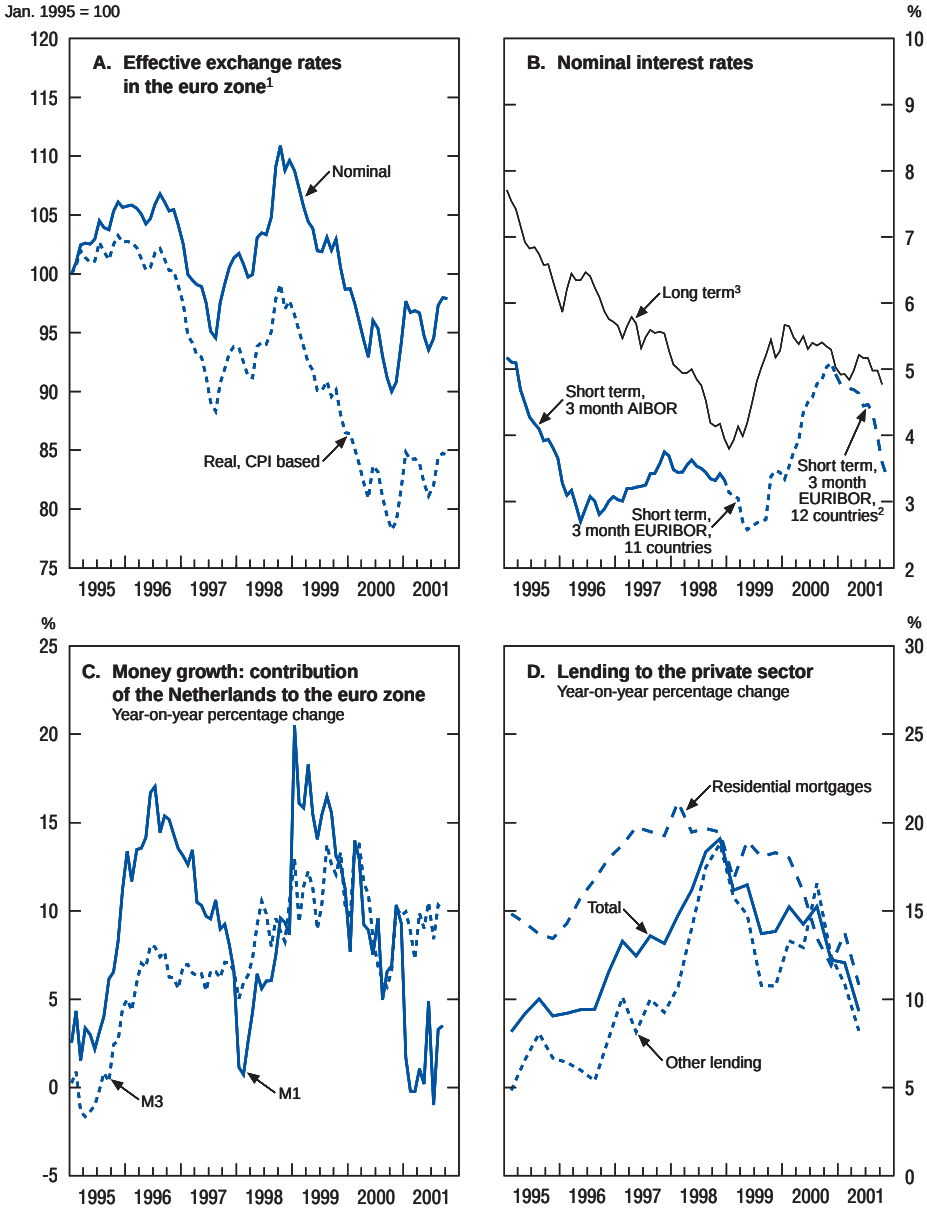
The good performance of the Netherlands economy over the latest business cycle was also made possible by a sound medium term framework for macroeconomic policy. Monetary policy has been aimed at price stability and fiscal policy has successfully put public finances on a sustainable long-term path, taking into account budget pressures associated with population ageing. The short-term challenge in the current conjunctural situation arises from the combination of a sharply slowing economy, a tight labour market and a benefit system that generates hysteresis effects. With monetary policy anchored in the euro area and fiscal policy abstaining from activism, it will be crucial to avoid an overshooting adjustment process triggered by backward looking wage claims. In this respect, fiscal policy should let the automatic stabilisers work and rely on the incentive effects of the tax reform.

Monetary conditions

In 2000 and 2001, monetary conditions in the Netherlands have been relatively easy, in view of the acceleration in inflation to a persistently high level and the tightness of the labour market. Credit expansion to the private sector declined but remained robust (Figure 6). Hence, the increase in the repo rate by the European Central Bank, by 175 basis points to 4.75 per cent in 2000, had been a welcome tightening for the Netherlands. In the second half of 2000 the economy slowed down somewhat, but inflation continued to rise. In the Netherlands, an increase in the VAT rate and environmental taxes, on 1 January 2001, caused a further acceleration in inflation. In the course of 2001, as inflationary risks in the euro area diminished, monetary policy was eased by four rate cuts to 3.25 per cent. This implied relatively loose monetary conditions in the Netherlands, although the cyclical slowdown in the second half of 2001 had a moderating effect. The unemployment rate continued to fall and reached a record low, while inflation and wage growth increased to over 5 per cent. The contribution of the Netherlands to M3 continued to increase by about 10 per cent for the third consecutive year, significantly above M3 growth in the euro area, and the expansion of lending by Netherlands banks to the private sector remained strong. In 2000, the latter was mainly driven by an acceleration of growth in corporate lending, which might

© OECD 2002

Figure 6. **Overview of monetary conditions**



1. For effective exchange rate indices, an increase indicates an appreciation.
2. Greece is in the euro zone from 2001.
3. Yield on latest 10 year Dutch central government bonds.

Source: OECD Secretariat; OECD, *Main Economic Indicators;* Netherlands Bank.

© OECD 2002

reflect the decrease in profitability over recent years and the deterioration in the climate for issuing securities. Bank credits may also have been largely used for the financing of mergers, acquisitions and UMTS auctions. Foreign takeovers by Dutch enterprises increased by about 60 per cent. In 2001, bank lending decelerated. Growth in mortgage lending fell from 18 per cent in 1999 to around 10 per cent, reflecting past increases in mortgage interest rates and the worsening of economic prospects. Also, the relaxation of lending terms by banks in recent years, by taking into account the second income of two-wage earners, has probably ceased to affect the growth in mortgage lending.

Fiscal policy

In 2001, the sustained improvement in the budget balance since the early nineties has been interrupted as a result of the economic slowdown. After the budget had turned into surplus in 1999 and had increased to 1.5 per cent in 2000 (excluding UMTS-receipts of 0.7 per cent of GDP), the surplus fell back to 1.1 per cent in 2001 (Table 5). The cyclically-adjusted surplus increased to 0.9 per cent. The evolution of the budget balance in 2002, the last year of the present cabinet, and in the coming cabinet period, will not only depend on the timing and strength of the expected economic recovery but also on the successful continuation of the medium-term oriented budgetary policy, which has proved to be a successful instrument to bring public finance in the Netherlands back on a sustainable track (Box 1).

The rest of this section first discusses the fiscal stance, next the role of windfalls in recent developments and the prospects for 2002 (on the basis of the 2002 Budget and projections by the Secretariat). It ends by a short overview of some recent and future structural changes (the tax reform in 2001 and changes in the budget system, proposed by the so-called Study Group on the "budget margin").

The fiscal stance

After adjustment for favourable cyclical conditions, the budget balance (excluding UMTS receipts) has improved substantially. In 2000, for the first time since the early seventies, the cyclically adjusted (or structural) balance showed a small surplus of 0.3 per cent of GDP, reflecting a sustained tightening in fiscal policy. In 2001, the structural surplus increased to 0.9 per cent of GDP. A substantial tax relief took place, amounting to 0.8 per cent of GDP, in the context of an overhaul of the tax system, but its effect on the budget balance was largely compensated by restraints on expenditure, which had already been decided upon in the Coalition Agreement in 1998. In addition, taxes on the transfer of houses and dividend taxes were much higher than expected, although it is not yet clear to which extent this improvement is structural. As a result, the cyclically-adjusted primary surplus decreased only marginally from 3.6 to 3.4 per cent. In 2001, the economy slowed down, nearly eliminating the output gap, which had been rather high in 2000.

© OECD 2002

Table 5. **Appropriation account for general government**

	Average 1990-1994	1995	1996	1997	1998	1999	2000	2001[1]	2002[1]	2003[1]
Current receipts	41.1	39.2	39.5	39.3	39.1	40.4	40.4	39.2	39.0	38.9
Total direct taxes	15.1	12.4	12.9	12.4	12.2	12.2	12.1	12.4	12.4	12.4
On households	11.7	9.1	8.8	7.8	7.6	7.6	7.6	7.8	8.0	8.0
On business	3.2	3.2	4.0	4.4	4.4	4.2	4.2	4.4	4.2	4.1
Social security contributions	15.4	16.0	15.5	15.5	15.3	16.0	16.1	14.4	14.1	14.1
Indirect taxes	10.6	10.7	11.2	11.4	11.6	12.2	12.2	12.4	12.4	12.4
Current disbursements	46.0	43.0	41.6	40.7	39.8	39.7	38.3	37.6	37.8	37.7
Government consumption	24.4	24.0	23.1	22.9	22.7	23.0	22.7	22.8	23.0	23.2
Wages and salaries	10.9	10.8	10.4	10.2	10.1	10.2	10.0	10.0	10.1	10.3
Non-wage expenditure	13.5	13.3	12.7	12.7	12.6	12.7	12.7	12.8	12.9	12.9
Subsidies	1.7	1.1	1.2	1.5	1.5	1.6	1.5	1.5	1.5	1.5
Interest payments (net)	2.7	3.0	2.9	2.7	2.8	2.7	2.0	1.3	0.9	0.4
Current transfers (net)	17.1	14.9	14.4	13.6	12.8	12.5	12.1	12.0	12.4	12.6
Net capital outlays	–0.6	0.3	–0.3	–0.2	0.0	0.3	–0.1	0.5	0.5	0.5
of which: Gross investment	2.6	2.4	2.4	2.3	2.2[3]	2.6	2.1	2.9	2.9	2.9
Net lending[2]	–4.2	–4.2	–1.8	–1.1	–0.8	0.4	2.2	1.1	0.6	0.7
Memorandum items:										
Net primary balance	0.1	0.6	2.9	3.3	3.4	4.3	5.4	3.5	2.7	2.3
Cyclically-adjusted net primary balance[3]	–0.8	0.4	2.6	2.9	2.6	3.2	3.6	3.4	3.2	2.8
Cyclically-adjusted net lending[3]	–5.2	–4.4	–2.1	–1.6	–1.6	–0.7	0.3	0.9	1.1	1.1
Gross debt[4]	..	..	75.2	69.9	66.8	63.1	56.1	53.9	50.9	48.4

1. Projections.
2. Net lending in 2000 includes UMTS receipts of 0.7 per cent of GDP.
3. As a percentage of potential GDP.
4. General government gross public debt (Maastricht definition).

Source: OECD Secretariat.

© OECD 2002

Box 1. The medium-term budgetary framework

The present budget system is characterised by the following features:

– *Cautious projections of economic growth* at the beginning of a cabinet period.[1] Up to 1994, when the current budget system was adopted, forecasts of economic growth had been too optimistic. Under the current regime the room for manoeuvre (the "budget margin") for a new cabinet is calculated by the Netherlands Bureau for Economic Policy Analysis (the CPB).[2] It is based on cautious growth rates, which are determined by subtracting an annual safety margin of about ½ per cent from growth figures which close the output gap at the end of the cabinet period. Assuming unchanged policies, which are currently still directed towards improving public finance, budgeting on the basis of the cautious growth rate should result in an improvement of the balance. This margin may then be used to lower the tax burden, to increase spending or reduce government debt.

– Next, *expenditure ceilings* are determined for each year in real terms, using projections of the GDP-deflator. During the cabinet period these are indexed by the actual deflators. It is the nominal ceiling that a cabinet is not allowed to exceed, irrespective of higher-than-expected increases in government wages, for instance, or windfalls in revenues. The strict separation of windfalls on the revenue and expenditure side of the budget has turned out to be one of the main elements contributing to the improvement in the budget balance. In the past, when no ceilings existed yet, expenditure threatened to get out of control, in particular because of systematically underestimated spending on so-called open-ended schemes for housing subsidies, student grants, and business investment subsidies. This necessitated continuous adjustments of policy during the budgetary year.[3]

– Under the new regime, budgetary policy is adjusted *only once a year*, in spring, to factor in any windfalls or shortfalls.

– On the *expenditure side* shortfalls in one area have to be compensated by lower expenditure elsewhere. Windfalls may be used for additional spending, which is what has happened over the last couple of years, when growth was much higher, while unemployment outlays and interest payments were much lower than projected.

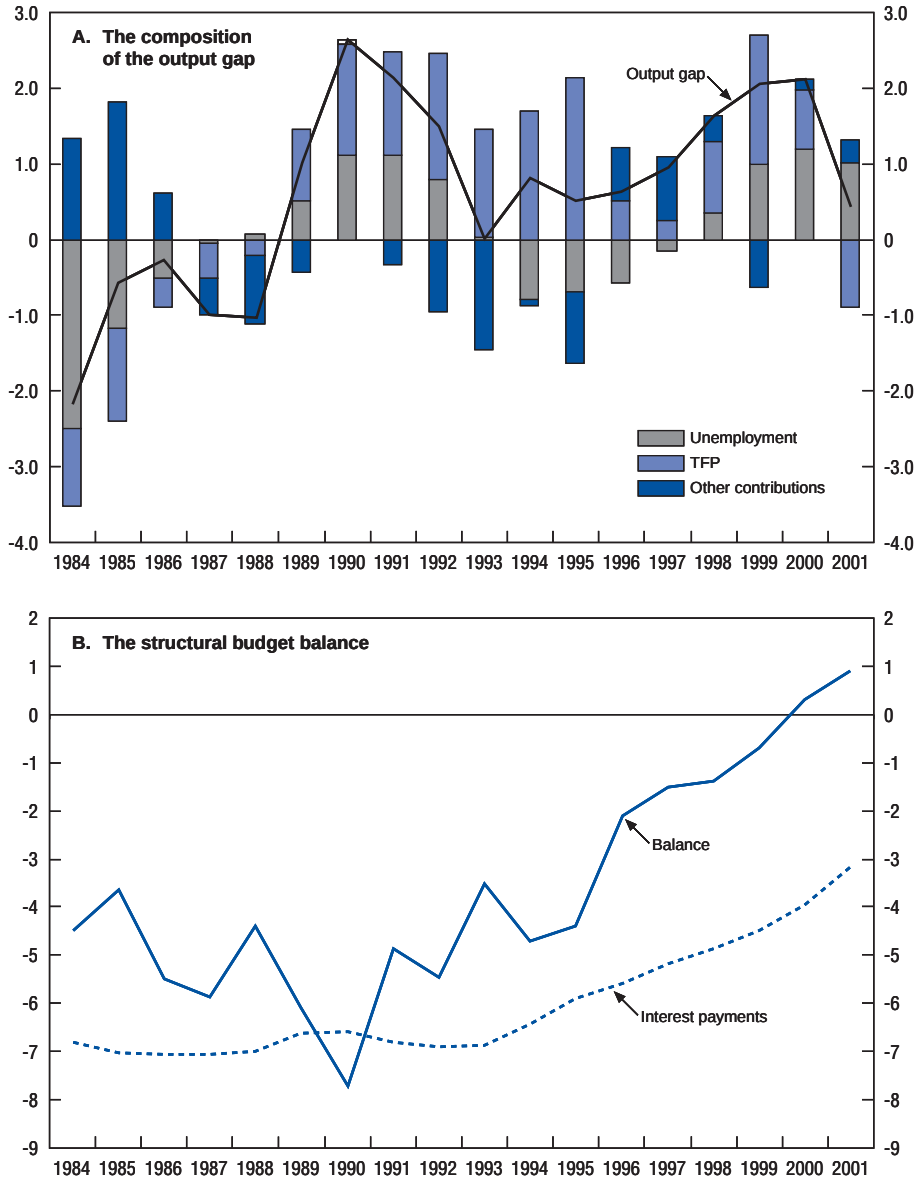
– On the *revenue side*, windfalls or setbacks relative to reference amounts, which are indexed in the same way as expenditure ceilings, are supposed to be allocated on a fifty-fifty basis to the tax burden and debt reduction. During the last cabinet period, however, only a quarter of the windfalls has been used for tax reliefs, to limit an additional budgetary stimulus in an overheating economy, on top of a substantial tax relief which was already planned in the context of an overhaul of the tax system.

1. In the 1998 Coalition Agreement, GDP was projected to grow by 3 per cent in 1999 and by 2 per cent in the three years after.
2. For the next cabinet period, 2003-06, the CPB has estimated the budget margin at 0.8 per cent of GDP [Jansen *et al.* (2001)].
3. In 1991, for instance, corrective measures amounted to as much as 7 per cent of total government expenditure.

© OECD 2002

Figure 7. **The output gap and the structural budget balance**

Per cent of GDP



Source: OECD.

© OECD 2002

Although the small output gap in 2001 suggests that the cyclical component in the budget balance was also rather small, about ¼ per cent of GDP, it should be noted that unemployment still includes a large favourable cyclical component (Figure 7). In 2001, the unemployment rate in the Netherlands fell to 2.5 per cent, a level far below the NAIRU (4 per cent).[19] This would suggest that unemployment outlays are also still much further below trend than the output gap suggests. In 2001, actual unemployment outlays decreased to a record low of about 1¼ per cent of GDP. Assuming equal gaps for the unemployment rate and unemployment outlays, the structural expenditure level in 2001 can be estimated at 2 per cent of GDP, implying that some ¾ per cent of the total budget surplus in 2001 (1.1 per cent of GDP) was related to temporarily low unemployment outlays.

Apart from uncertainties inherent to the calculation of the output gap and the structural budget balance, the question remains, in view of the need to further improve the budget surplus, whether using *all* windfalls in unemployment outlays for additional spending in other areas was appropriate, given the possibly temporary nature of the tightness in the labour market. Windfalls in unemployment outlays have been measured relative to high, above trend levels of outlays, based on the cautious growth projections in the Coalition Agreement. Alternatively, windfalls would have been smaller if a lower level of outlays (the trend itself), had been taken as a reference point. Although for 2002 an increase in unemployment outlays had already been assumed in the Coalition Agreement, a higher increase would necessitate cuts in spending on other categories to respect expenditure ceilings.[20]

Recent developments

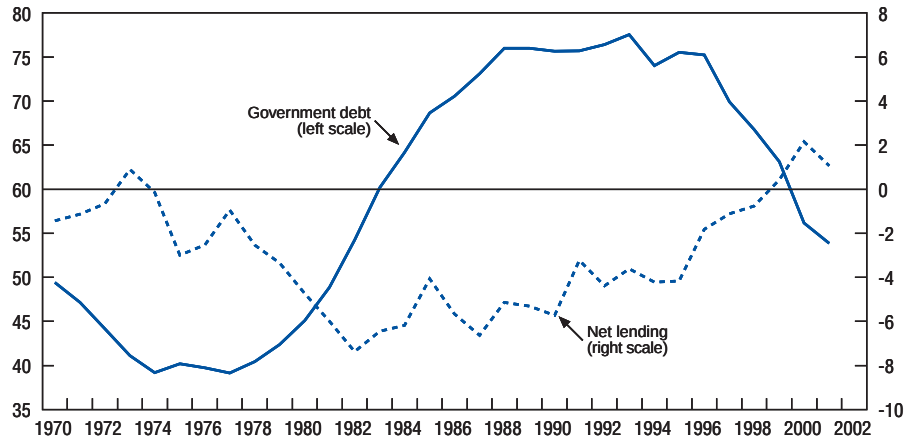
Due to a tight fiscal stance and rapid economic growth, the budget balance over the first two years of the present cabinet (1999-2000) improved much more than expected (Figure 8). Even though the surplus declined to around ½ per cent of GDP in 2001, the Coalition Agreement of 1998 had projected a *deficit* of 1¼ per cent.

Surpluses had not been registered since the early seventies, so the improvement in the budget balance is substantial from a historical perspective. But it is rather modest in comparison with some other countries who started to consolidate their public finances, around 1994, to qualify for EMU. However, the Netherlands had a less negative starting position (Figure 9). With its current surplus and debt ratio of about 50 per cent, the Netherlands occupies an average position in the European Union. In a report on the present budget system in the Netherlands, the Study Group on the budget margin emphasises that in the Netherlands the improvement in the budget surplus was accompanied by substantial tax reliefs with favourable effects on employment growth.[21]

© OECD 2002

Figure 8. **Net lending and government debt**[1]

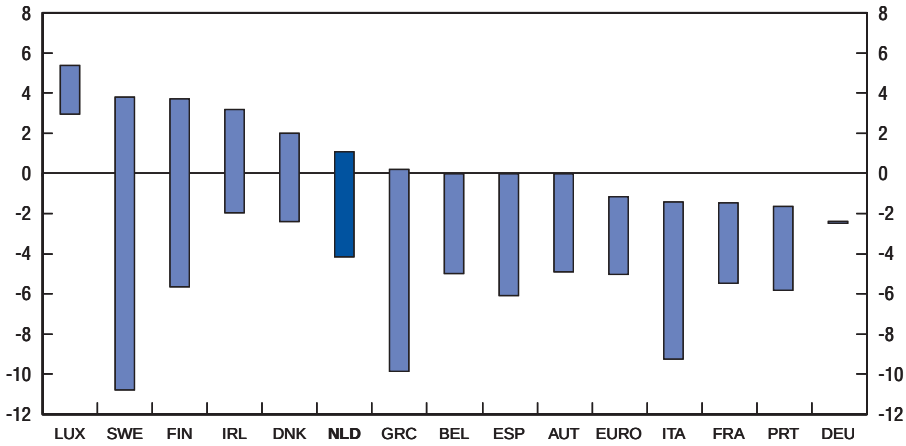
Per cent of GDP



1. For 2000, net lending includes UMTS receipts (0.7 per cent of GDP).
Source: OECD.

Figure 9. **Improvement of the budget balance 1994-2001**

Per cent of GDP



Source: OECD.

© OECD 2002

Revenue windfalls contributed significantly to the improvement in the budget balance. This was due to higher than expected economic growth, and to "composition effects", as reflected, for instance, by the increased consumption of durables, which are subject to a higher VAT rate.[22] Taxes on wealth were also higher than had been assumed in the Coalition agreement and transfer taxes soared because of house price rises. An increase in the labour income share, due to higher employment and wage growth, resulted in additional wage taxes. The other side of the coin, a lower profit share, has not yet been fully reflected in a decrease in cash receipts of corporate taxes, because they usually respond with a lag to changes in the tax base. Finally, income from natural gas increased more strongly, due to a higher exchange rate of the dollar and a higher oil price.

The expenditure side also showed substantial windfalls, in particular in interest payments and unemployment outlays (some 1½ per cent of GDP in 1999-2001). The Netherlands could have made more progress, by using all these windfalls for an improvement in the budget surplus, but the timing would have been less appropriate in view of the economic slowdown. Moreover, most of the expenditure windfalls so far have been used for additional spending on healthcare, safety measures and education, which had been subject to restraints under the previous cabinet. All in all, expenditure ceilings have proven to be helpful in improving public finance. The share of total expenditure in GDP has decreased from 45 to 40 per cent since 1995. Simultaneously, the composition of expenditure has improved substantially by a shift from transfers in favour of government consumption and investment.

Owing to the stronger than expected improvement in the budget balance, the reduction of the debt to GDP ratio also accelerated. In 2000, the ratio had fallen to a level just below the 60 per cent ceiling in the Maastricht Treaty compared with 80 per cent only a few years ago. It should be noted that the fall in the ratio in recent years was mainly due to a large denominator effect, due to the strong increase in real GDP and the GDP deflator (Table 6). Measured in euros the debt is now also declining.

Table 6. **Development of the EMU debt**
In per cent of GDP

	1995	1996	1997	1998	1999	2000
EMU-debt	79	75.2	69.9	66.8	63.1	56.1
Denominator effects		–6.6	–4.2	–4.0	–3.5	–4.3
EMU-balance		+1.8	+1.1	+0.8	–0.4	–2.2
Financial transactions and other		1.0	–2.2	0.1	0.3	–0.5
Total debt reduction		–3.8	–5.3	–3.2	–3.6	–7.0

Source: Ministry of Finance.

© OECD 2002

The 2002 *budget*

The 2002 Budget Memorandum is based on economic growth rates of 2 per cent in 2001 and 2002, whereas the previous Budget Memorandum, from September 2000, still assumed a growth rate of 4.5 per cent for 2001. Hence, the growth assumptions represented a substantial adjustment, partly reflecting the economic downturn. However, the events in September, which took place one week before the presentation of the budget to Parliament, have not yet been taken into account. The budget surplus, estimated by the cabinet at 1.2 and 0.9 per cent of GDP in 2001 and 2002 respectively, is therefore likely to be lower in both years. OECD Secretariat projections imply a surplus of 1.1 and 0.6 per cent in 2001 and 2002, on the basis of a 1 per cent lower (cumulated) growth in GDP. The Budget Memorandum does not pay attention to the structural budget balance, but estimates by the Secretariat point to a small improvement in the structural balance, to 1.1 per cent of GDP.

Expenditure is expected to develop according to the ceilings already set in the Coalition Agreement, implying an increase in real terms by 1.5 per cent a year. Additional amounts (0.8 per cent of GDP) will be spent on healthcare, education and safety and social benefits (Table 7). About half of the additional means will be used to raise government wages. In the healthcare sector, however, the increase (catching up) in wages would imply a reduction in output, if no additional means are provided after 2002. That would have detrimental effects on the pressure of work in a sector which already accounts for one-fifth of the annual inflow into the disability scheme (WAO).

Social security outlays, on a downward trend since 1994, are expected to stabilise in 2002. Since 1994, the increase in the number of pensioners and disabled was more than compensated by the decline in the number of unemployed and recipients of social assistance. In 2002, however, unemployment is set to rise and the benefit level is also projected to increase, reflecting a lagged response to increases in wages in the private sector. Government receipts will increase somewhat

Table 7. **Additional spending during the cabinet period 1999-2002**

	Additional spending during the cabinet period 1999-2002 (bn guilders)					
	1999	2000	2001	2002	Coalition agreement	Total
Additional spending	0.7	8.8	12.4	13.1	9.3	22.4
Healthcare	0.2	1.4	4.0	4.7	2.2	6.9
Education	0.0	1.8	2.8	3.3	1.8	5.1
Safety	0.0	0.3	1.4	1.8	0.8	2.6
Infrastructure	0.0	0.2	0.7	0.7	2.0	2.7
Other	0.5	5.1	3.5	2.6	2.5	5.1

Source: Ministry of Finance.

© OECD 2002

less than expenditure. The increase is limited by the use of half of the revenue windfall in 2001 for an additional tax relief aimed at improving the supply of labour (in the 2002 Budget Memorandum, the windfall was still estimated at about 0.6 per cent of GDP). This tax relief entails increases in tax credits and lower social security contributions for employers who hire older workers. Measures are also taken to promote the reintegration of unemployed and disabled workers and to combat the poverty trap. A small amount has been reserved for lowering the corporate tax rate from 35 to 34.5 per cent, which should contribute to an improvement of the business climate in the Netherlands, where profitability in recent years has fallen substantially.

The ending of the tax deductibility of certain outlays, in the context of the tax reform of 2001, will lead to a lagged increase in taxes in 2002. Similarly, taxes on imputed income on wealth will fully show up in revenues for the first time in 2002. Taxes on labour income are projected to increase also as a result of the rising share of labour income. The concomitant decline in the profit share will have a negative effect on cash receipts of corporate taxes, but this will only become visible after 2002.

In the Budget Memorandum for 2002, the government has expressed its intention to set further steps on the way towards an outcome-focused budget system. The present system of budgeting is viewed as providing insufficient information on government activities and their true costs. In 2001 the cabinet already considered a reform to make the budget more transparent as regards the link between policy, performance and resources. The reform would also entail, among other things, a changeover to accrual accounting to replace the current cash basis. Expenditure norms would have to be adjusted accordingly. In the future, capital outlays should be allocated to the years over which investments are productive. The 2002 Budget Memorandum mentions policy objectives, without quantifying them. However, an assessment of budgetary policies and performance measurement on the basis of clear quantitative indicators remains an improvement that a new cabinet should continue to strive for.

The tax reform

In 2001, a far-reaching overhaul of the tax system has taken place, the details of which have already been described in the last *Survey* on the Netherlands. Since the latest tax reform, in 1990, the income tax base had been steadily eroded by an increased use of tax exemptions, in particular for life insurance schemes and interest payments on consumer credits. The erosion required sustained high tax rates. These rates had a negative effect on participation in a rapidly tightening labour market. The need was also felt for an increased use of economic instruments to promote an environmentally sustainable development.[23] The tax reform therefore entailed a shift from direct to indirect taxes, the removal and reduction of tax exemptions and a decrease in the replacement rate (Box 2).

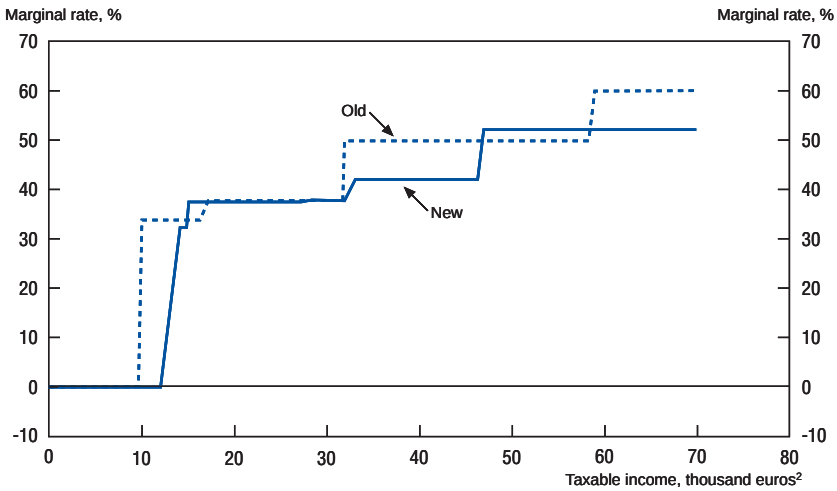
© OECD 2002

Box 2. The new tax system[1]

The main elements of the new tax system are:

- Classification of income into three boxes (in the old situation different types of income were summed into one taxable income category): 1) income from work and home ownership (imputed rental income form the main residence minus mortgage payments) and social benefits 2) revenues from a substantial business interest (meaning a share holding of more than 5 per cent); 3) income from wealth.
- Income in Box 1 is taxed against rates which have been lowered relative to the old income tax system, implying a reduction in marginal rates over a broad range of income (Figure 10). The highest rate has fallen from 60 to 52 per cent, the lowest rate from 34 to 32 per cent. Income in Box 2, which was already subject to a special rate, will be taxed at an unchanged flat rate of 25 per cent. A rate of 30 per cent will be applied to an imputed 4 per cent yield on financial and real assets, which produce income in Box 3.

Figure 10. **Marginal income tax rates under the old and new tax regimes**[1]



1. For a couple with one wage earner. The marginal rate is defined here relative to taxable income.
2. Before subtraction of taxfree income of employed persons (under the old system).

Source: OECD.

© OECD 2002

Box 2. **The new tax system**[1] (*cont.*)

– Tax allowances per household have been replaced by tax credits for individuals to increase the participation of women. Under the old regime, up to a certain amount, additional income earned by a partner reduced the tax allowance of the main wage earner, meaning that the additional income was subject to the highest marginal tax rate. Under the new regime, the main wage earner gets a tax credit and a non-working partner gets the same amount of money.[2] Additional labour income of the partner is taxed only to the extent it exceeds the income level corresponding with the tax credit. It is now taxed at the lowest marginal rate. The allowance for individuals with income from current employment has been replaced by a tax credit. Whereas the allowance resulted in a higher benefit for individuals with a high marginal tax rate, the tax credit is a fixed amount (above the statutory minimum wage level) and is not phased out as earnings rise. The aim of the tax credit is to increase incentives for people to look for work by lowering the replacement rate. In 2001 the ratio of the minimum social benefit and the minimum wage has fallen from 97.4 to 92.8 per cent.[3] The ending of the deductibility of interest payments on second house mortgages and consumer credit and the limitation of the deductibility of pension and life insurance premiums to an amount needed to guarantee a normal pension (70 per cent of final income).

– An increase of the VAT rate from 17.5 to 19 per cent and a gradual further increase in environmental levies.

1. Based mainly on Ministry of Finance (2001).
2. This is the case up to the extent the main wage earner actually pays income taxes.
3. CPB (2001*a*).

Direct taxes on labour have been lowered by 2 per cent of GDP, mainly through decreases in social security contributions. By contrast, indirect taxes and environmental taxes have been raised by 0.5 and 0.2 per cent of GDP respectively. In addition, a new system for a tax on income from wealth has been introduced, amounting to 0.5 per cent of GDP.

One of the main innovations in the new tax system is the change over from a combination of taxes on income and wealth to a tax on imputed income from wealth. The new system is neutral between dividends which are paid out or retained. Under the old regime, taxes could be avoided by retaining dividends, as capital gains were not taxed. Several saving programs had been conceived to benefit from this way of avoiding taxation on income from wealth. This kind of tax arbitrage has now been eliminated and may already have resulted in significant

© OECD 2002

changes in dividend policies of enterprises. In 2001, a substantially higher amount of dividend withholding tax was collected, exceeding the expectations of the government which therefore decided to review the different factors that play a part. In the first month of 2001, dividend taxes – an advance levy, deductible from the tax on imputed income – rose by 0.3 per cent of GDP.[24]

Fiscal policy in the medium term

In 2001, the so-called Study Group on the "budget margin" – consisting of representatives of ministries, the Netherlands Bank and the CPB – prepared an advice for the next cabinet.[25] According to the Study Group, the present budget system, used by the latest two cabinets, has been very successful: since 1990, a budget deficit of 5 per cent has turned into a small surplus, while at the same time the tax burden has been lowered by 4 per cent of GDP. Nonetheless, the group saw room for improvement. First, a new cabinet should continue to use a cautious growth assumption, but base it on a lower safety margin of ¼ per cent of GDP. Very large revenue windfalls might create pressure on the present budget system, since they are not allowed to be used for increases in expenditure, irrespective of an urgent need to do so. Secondly, the Study Group proposed to let the automatic stabilisers work fully on the revenue side, rather than only half, as the present rules indicate. A more or less automatic translation of half of the revenue windfalls in one year into a tax relief in the year after could indeed have pro-cyclical effects. At the same time, expenditure ceilings should be maintained, despite the pro-cyclical effect this might have. The budget balance should thus be allowed to fluctuate between a surplus of zero and three per cent of GDP, and the cabinet should only intervene if these limits threaten to be exceeded. Furthermore, the next cabinet should strive for a surplus, on average, of between 1¼ and 2¼ per cent of GDP, so that the government debt can be paid off in 25 years. A rapid increase in the surplus is desirable, while the effects of ageing are still modest. A fourth, rather technical but not trivial recommendation of the Study Group is to use the (less volatile) deflator for total domestic demand to index the expenditure ceilings, rather than the GDP deflator, which can fluctuate as a result of exchange rate gains or losses. The recommendations of the Study Group imply indeed a better working of the automatic stabilisers. However, a smaller safety margin also calls for (larger) amounts to be reserved below the expenditure ceiling, in order to maintain a smooth budgeting process as well as priorities set for the medium term in the coalition agreement.

© OECD 2002

III. Productivity growth and the new economy

Productivity growth, along with employment, is the motor that drives higher living standards. Indeed, for the coming century, this probably will be the only factor contributing to rising living standards as demographic factors mean that labour force is likely to be stable (see Chapter V). This makes it particularly important to ensure that policies support high productivity growth, including through the diffusion of information and communications technology (ICT). Such policies should be part of a comprehensive productivity growth strategy, as described in the OECD Growth Project, including action aimed at promoting entrepreneurship, making capital markets more flexible and increasing the availability of human capital. This chapter reviews recent developments in productivity growth and focuses on one aspect of increasing productivity growth – diffusion of ICT. The chapter assesses the extent to which the "new economy" is already apparent in the data and concludes with suggestions for reforms – drawn from the OECD Growth Project – most likely to facilitate an increase in productivity growth.

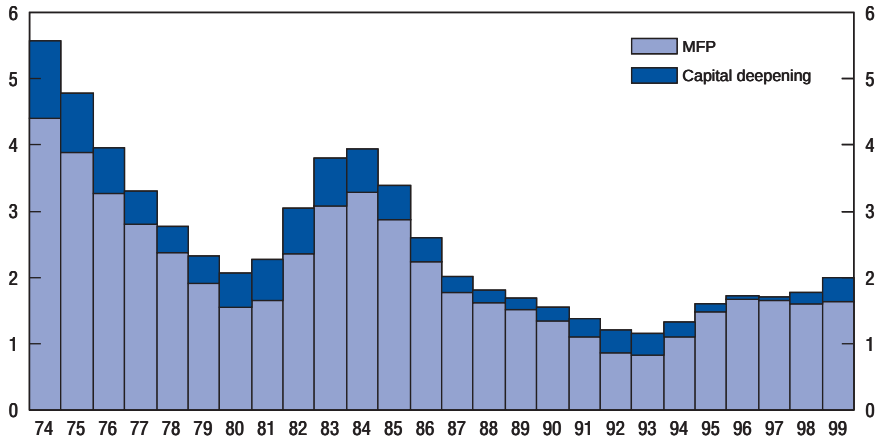
Trends in productivity growth

Hourly labour productivity growth in the market sector[26] fell sharply from the mid-1970s until the early 1990s but has since picked up slightly (Figure 11). This mainly reflects trends in multi-factor productivity (MFP) growth[27], which fell in each productivity cycle[28] up to the 1991-95 cycle but strengthened in the most recent cycle (Table 8, Figure 12). Despite the rise in MFP growth in recent years, it remains below the long-run average (1.9 per cent since 1975). The contribution of capital deepening[29] to labour productivity growth has also fallen sharply since the mid-1970s. The step drop from 0.6 per cent in 1975-85 to around 0.2 per cent subsequently followed the Wassenaar agreement in 1982, which ushered in a period of wage moderation that has lasted until recently; this has encouraged firms to substitute labour for capital in production.

© OECD 2002

Figure 11. **Decomposition of trend growth in labour productivity**[1]

Per cent



1. Trend calculated using a Hodrick-Prescott filter (lambda = 3).
Source: CPB Netherlands Bureau for Economic Policy Analysis and OECD.

Table 8. **Productivity growth**[1]

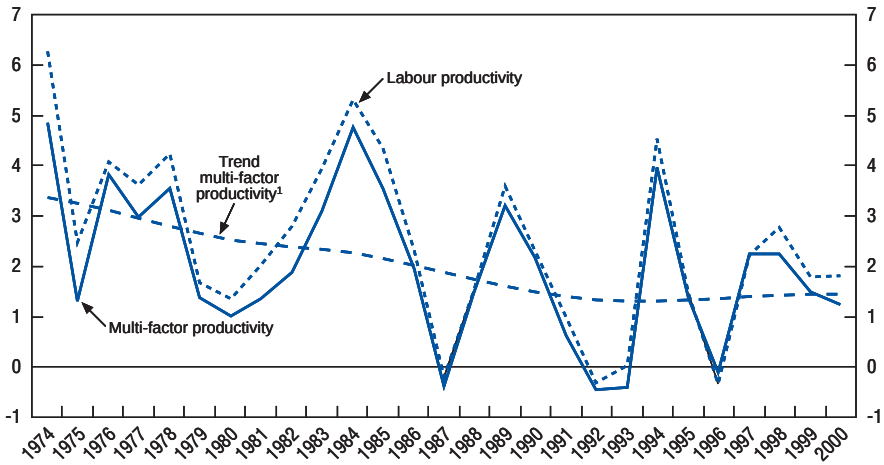
Average annual growth rate

Productivity cycles	Labour productivity	Capital productivity	Multi-factor productivity	Capital labour ratio	Contribution of capital deepening to labour productivity	Value added, volume
1975-78	3.6	0.2	2.9	3.4	0.7	2.2
1979-85	3.1	0.2	2.4	2.8	0.6	1.6
1986-90	1.9	1.0	1.7	0.8	0.2	4.0
1991-95	1.3	0.2	1.0	1.1	0.3	2.2
1996-00	1.6	0.9	1.4	0.7	0.2	4.4
Longer term						
1975-85	3.3	0.2	2.6	3.0	0.6	1.8
1986-00	1.6	0.7	1.4	0.9	0.2	3.5
1975-00	2.3	0.5	1.9	1.8	0.4	2.8

1. Market sector. Labour input is measured in hours.
Source: CPB Netherlands Bureau for Economic Policy Analysis and OECD.

© OECD 2002

Figure 12. **Productivity growth**
Per cent



1. Trend calculated using a Hodrick-Prescott filter (lambda = 100).
Source: CPB Netherlands Bureau for Economic Policy Analysis and OECD.

The impact of ICT on productivity

Investment in ICT

The rise in labour productivity growth in the Netherlands in the late 1990s was much smaller than in the United States (Table 9).[30] This difference is almost entirely explained by diverging trends in the contribution of capital deepening to labour productivity growth – MFP growth was remarkably similar in the two countries throughout the 1990s.[31] This contribution rose markedly in the United States but actually fell in the Netherlands. Most of the increase in the contribution of capital deepening in the United States is attributable to ICT capital,[32] for which growth in inputs per hour of labour (capital deepening) more than doubled to 18.2 per cent in 1996-99.[33] By contrast, the rate of ICT capital deepening in the Netherlands remained more or less stable at around the same rate as in the United States in the early 1990s. Other capital deepening in the Netherlands was also weaker than in the United States, but the difference is not nearly so marked. Indeed, growth in ICT capital relative to other capital only rose modestly in the Netherlands to 7.1 per cent in 1996-99, whereas it soared in the United States to 16.5 per cent. Unfortunately, it is not possible to make a wider international comparison over recent years owing to

© OECD 2002

Table 9. **ICT capital deepening contribution to labour productivity growth**[1]

	Netherlands		United States	
	1991-95	1996-99	1991-95	1996-99
Labour productivity	1.3	1.6	1.5	2.6
Contribution of capital deepening[2]	0.3	0.1	0.6	1.1
of which:				
ICT[2]	0.2	0.2	0.3	0.7
Other capital	0.1	–0.1	0.3	0.4
MFP[3]	1.0	1.5	0.9	1.5
ICT share in labour productivity growth	15	13	20	27
Memorandum:				
Income shares				
Labour	72.7	74.5	67.9	66.9
ICT capital[4]	2.8	2.9	3.3	3.8
Other capital	24.5	22.6	28.8	29.3
Growth rate of inputs				
Labour	0.8	2.8	1.2	2.2
Capital	2.0	3.2	2.4	4.6
ICT	8.0	9.8	9.7	20.5
Other	1.4	2.5	1.5	2.6
Growth in input ratios				
ICT capital[4]/labour	7.1	6.8	8.5	18.2
Other capital/labour	0.5	–0.3	1.2	1.4
Total capital/labour	1.1	0.4	2.0	2.1
ICT capital/other capital	6.6	7.1	7.2	16.5

1. Labour input in hours. Market sector for the Netherlands, non-farm business sector for the United States.
2. Excluding software, for which data are unavailable in the Netherlands. This means that the software contribution in the United States, which was 0.2 percentage point in 1991-95 and 0.3 percentage point in 1996-99, is included in MFP.
3. Includes the contributions of software capital deepening and changes in the quality of labour. The value of these contributions is unknown in the Netherlands. For the United States, changes in the quality of labour contributed 0.4 percentage point to labour productivity growth in 1991-95 and 0.3 percentage point in 1996-99. For the contribution of software to capital deepening in the United States see footnote 2.
4. Excluding software. This income share has been calculated for the Netherlands assuming that the ICT share of capital income is the same as in the United States (10.3 per cent in 1991-95 and 11.5 per cent in 1996-99).

Source: For the United States, Oliner and Sichel (2000); for the Netherlands, van den Wiel (2000) and (2001*a*), CPB Netherlands Bureau for Economic Policy Analysis and OECD..

the lack of data. However, there is evidence that IT investment in the Netherlands up until 1996 was higher than in most European countries for which data are available (Box 3).

ICT *producing sector*

Another channel by which ICT can affect productivity growth is through improvements in the efficiency with which ICT goods and services are produced. Technical progress is very rapid in this sector, with the price of computing power

© OECD 2002

Box 3. An international comparison of ICT investment

While growth in ICT capital deepening in the Netherlands has lagged behind that in the United States, it compares favourably with other European countries for which data are available (Table 10). IT investment (using a harmonised deflator) in 1990-95 (1990-96 for the Netherlands) grew more quickly than in all of these countries except the United Kingdom; however, such growth was lower than in the United States, Canada and Australia. By 1996, IT represented a larger share of investment in the Netherlands than in all the countries for which data are available except the United States, the United Kingdom and Australia. By contrast, growth in communication investments seems to have been low by international comparison over this period.

halving every 18 months since the 1960s, following Moore's Law (Moore, 1965). The move from a three- to a two-year life cycle for semiconductors from 1996 sharply increased the rate at which the price of computing power fell in the late 1990s (Jorgensen, 2001). This suggests a substantial increase in MFP in the semi-conductor business: otherwise, all the firms in this business would have gone bust. There is evidence for the United States that a significant proportion of the acceleration in MFP growth in the late 1990s is attributable to the production of computers, despite this sector accounting for only a very small share of value added (Table 11). Data are not available to make the same calculations for the Netherlands. However, van der Wiel (2000, p. 20) calculates that MFP growth in the ICT services sector accelerated from an annual rate of ¼ per cent in 1991-95 to 6 per cent in 1996-99. This would account for about one-half of the acceleration in MFP growth in the late 1990s.

ICT *using sectors*

The other main channel by which ICT could affect productivity growth is through benefits over and above those accruing to investors, for example through network externalities. Such benefits would show up in higher rates of growth in MFP in the non-ICT sector. As noted above, there seems to have been an acceleration in MFP growth in the non-ICT producing sector in the late 1990s, as in the United States.[34] In both cases, however, this could have been caused by other factors.

Cross-country correlation between indicators of ICT use – such as the numbers of secure servers, Internet host density, PC density and internet access costs – and the pick-up in MFP growth in the 1990s show a strong positive

© OECD 2002

Table 10. **An international comparison of ICT investments**

	Netherlands	Australia	Canada	Finland	France	Germany	Italy	Japan	United Kingdom	United States
	In per cent									
IT share in nominal investments[1]										
1980[2]	6	2.2	3.9	2.0	2.5	4.6	4.1	3.3	2.9	5.1
1990	8½	5.5	4.5	3.6	3.5	5.5	4.2	3.8	6.0	7.0
1995[3]	8	8.4	5.7	4.0	3.9	4.6	3.5	4.6	8.6	8.7
2000		7.2	7.9	2.9	4.4	6.1	4.2	5.2	8.4	8.3
	Annual percentage changes									
Volume growth rate of IT investments[4]										
1980-90[5]	22	30.2	19.3	25.4	22.5	20.1	18.4	24.8	28.2	18.9
1990-2000		23.0	30.1	15.1	23.5	22.9	20.1	20.1	25.4	27.5
1990-95[6]	17½	23.9	21.2	9.4	15.4	14.6	11.5	16.6	22.8	22.5
1995-2000		22.0	38.9	22.3	31.6	31.2	30.9	24.4	28.0	32.4
Volume growth rate of communication investments[4]										
1980-90[5]	9½	7.1	6.6	8.6	7.3	7.4	8.6	12.0	9.9	3.9
1990-2000		9.7	8.2	18.4	7.9	5.6	8.3	8.1	13.4	11.2
1990-95[6]	1	8.7	3.7	12.2	4.3	2.4	5.5	5.5	14.9	6.2
1995-2000		10.7	12.7	26.2	11.4	8.7	11.7	11.3	11.9	16.2

1. Excluding residential and software investments.
2. 1985 for the Netherlands.
3. 1996 for the Netherlands.
4. Based on harmonised ICT deflators (see Colecchia and Schreyer 2001).
5. 1985-90 for the Netherlands.
6. 1990-96 for the Netherlands.

Source: Van der Wiel (2000) for the Netherlands; Colecchia and Schreyer (2001) for the other countries.

© OECD 2002

Table 11. **Sources of multi-factor productivity growth**[1]

	1991-95	1996-99	Change
UNITED STATES			
Oliner and Sichel (2000)		**Annual percentage changes**	
MFP	0.48	1.16	0.68
		Percentage point contribution	
MFP_{ICT}	0.28	0.65	0.37
$MFP_{non\text{-}ICT}$	0.20	0.51	0.31
		Per cent	
ICT output share	1.2	1.3	0.1
Jorgenson (2001)		**Annual percentage changes**	
MFP	0.24	0.75	0.51
		Percentage point contribution	
MFP_{ICT}	0.25	0.50	0.25
$MFP_{non\text{-}ICT}$	–0.01	0.25	0.26
		Per cent	
ICT output's share	3.46	4.26	0.80
NETHERLANDS			
Van der Wiel (2001)[2]		**Annual percentage changes**	
MFP	1.0	1.5	0.5
		Percentage point contribution	
MFP_{ICT}	0.0	0.3	0.3
$MFP_{non\text{-}ICT}$	1.0	1.2	0.2
		Per cent	
ICT output share[3]	3.7	5.6	1.9

1. Rates of productivity growth in these studies are affected to different degrees by adjustments made for labour and capital input quality. Jorgenson (2001) adjusts for both of these factors, Oliner and Sichel (2000) for labour quality alone and van der Wiel for neither factor. This means that changes in MFP growth rates are more comparable than the rates themselves.
2. ICT producing sector is defined as ICT services.
3. These shares were calculated from the shares implicit in van der Wiel (2000, p. 20).

Source: As cited and OECD.

correlation,[35] suggesting that ICT use has contributed to MFP growth (Pilat and Lee, 2001, Figures 5, A2 and A3). Countries that have experienced a substantial increase in MFP growth typically have had a more rapid diffusion of ICT technologies as well as lower cost of ICT technologies. On most of these scores, ICT use in the Netherlands is around the average for OECD countries, as is the change in MFP growth.

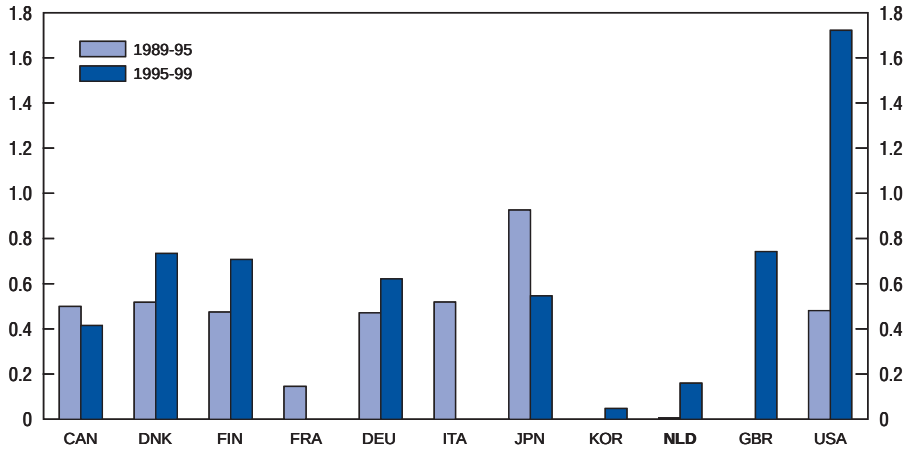
© OECD 2002

Labour productivity growth in ICT-*intensive sectors*

Another way of looking at the contribution of ICT to labour productivity growth is to see how the share contributed by ICT-intensive sectors evolved. In the Netherlands, the "finance and insurance", "paper and printing" and "wholesale and retail trade" sectors are by far the heaviest users of ICT, with ICT investment relative to value added more than double the national average (Pilat and Lee, 2001, Figure 16). These industries are also intensive ICT users in the other countries for which data are available. Focusing on service sectors that are intensive ICT users, the contribution of these sectors to labour productivity growth in the Netherlands increased in the late 1990s, as in most of the other countries for which data are available (Figure 13). Even so, the increase in the Netherlands (and the other countries) was very small in relation to that in the United States. This reflects the fact that the Netherlands had much less success than the United States in raising the contribution to labour productivity growth of the "wholesale and retail trade" and "finance and insurance" sectors (Figure 14).

Figure 13. **Contribution of ICT using sector to total labour productivity growth**[1]

Per cent



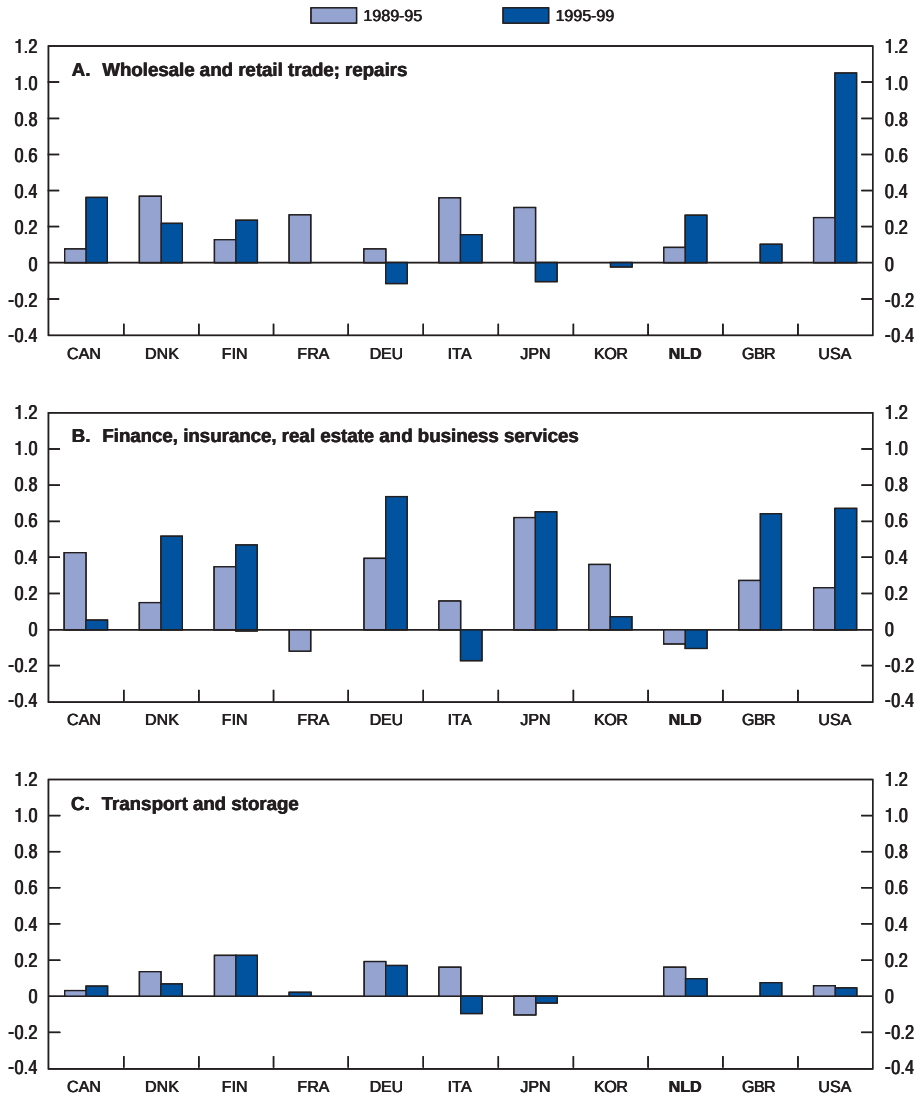
1. 1991-95 and 1995-97 for Germany; 1995-98 for Japan. Gaps indicate no data, not zero per cent. Employment based labour productivity growth is used for the United States since hours worked are not available for ICT-using industries.

Source: Pilat and Lee (2001, page 18 and Annex Tables 8 and 9; calculations are on the basis of the OECD STAN database).

© OECD 2002

Figure 14. **Labour productivity contributions by selected service industries**[1, 2]

Per cent



1. 1991-95 and 1995-97 for Germany; 1995-98 for Japan. Gaps indicate no data, not zero per cent.
2. Contribution to value added per person employed except in Canada and Finland, where the contribution is to value added per hour worked.

Source: Pilat and Lee (2001, page 19 and Annex Table 9; calculations are on the basis of the OECD STAN database).

© OECD 2002

Factors inhibiting diffusion of ICT

The much lower rate of ICT capital deepening in the Netherlands than in the United States suggests that the expected returns from ICT diffusion have been lower in the Netherlands than in the United States. Possible reasons for this expectation include: higher costs of buying and operating ICT; less competitive product markets, which reduce the pressure on incumbents to adopt the most efficient production techniques; and less flexible labour markets, reducing firms' scope to re-organise activities to exploit ICT. Each of these factors is discussed in this section. Another possibility is that firms and investors in the United States developed unrealistic expectations in the late 1990s about the potential profitability of ICT investments. Developments in corporate profitability, the stock market and ICT investment in the past year suggest that this factor also partly explains the boom in ICT capital deepening in the United States in recent years. Nevertheless, it seems unlikely that this factor entirely explains the difference in ICT capital deepening between the two countries given that ICT capital deepening was greater in the United States even before the "technology bubble" developed and that the bubble also affected the Netherlands.

High ICT *prices*[36]

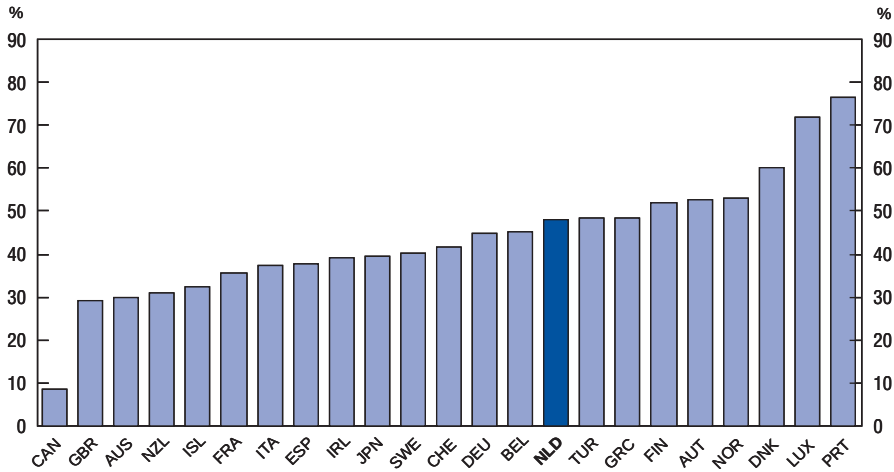
High ICT prices in the Netherlands have made ICT capital deepening less attractive than in the United States. Office and data processing machinery in the mid-1990s was almost 50 per cent more expensive (based on detailed purchasing power parities in 1993 and 1996, including value-added taxation) than in the United States (Figure 15), although the difference is declining; ICT prices were also high in many other continental European countries. As there are few external barriers to trade in these goods in the Netherlands, this price difference must be attributable to internal barriers to competition in ICT markets.[37] In particular, ICT hardware producers seem to be able to segment markets, extracting much higher prices in the Netherlands and other Continental European countries than in the United States. Removing this power is likely to entail ensuring that vertically-integrated producers are not able to control distribution channels by restricting access to after-sales services; a similar issue is being confronted with the automobile industry in Europe. Preventing market segmentation would allow ICT hardware prices to fall quickly towards levels in the United States, reinforcing the trend evident between 1993 and 1996.

The costs of using ICT equipment once it is connected to a network are also considerably higher in the Netherlands than in the United States, although product market liberalisation is narrowing these price differences. The costs of leased lines, which are used to transport large volumes of information between firms and provide the building blocks for B2B electronic commerce, are 37 per cent higher than in the United States; many European countries have even higher

© OECD 2002

Figure 15. **The price of ICT investment**

Price differentials with the United States, average of estimates for 1993 and 1996



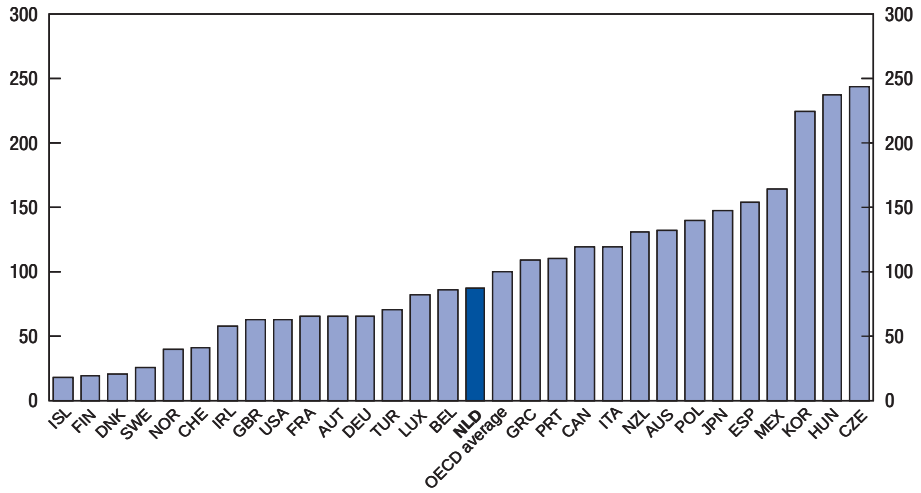
Note: Relative price differences in office and data processing machinery (here, on the basis of detailed purchasing power parities) help explain some of the discrepancy in ICT use between OECD countries. US prices were the lowest by far in the mid-1990s, while prices in Japan and Germany were some 40 per cent higher than in the United States. But prices were higher still in Finland, which is nonetheless sometimes considered as a "new economy" country. Differences in value-added taxation play some role, but other factors also come into play.

Source: OECD (2001), *The New Economy; Beyond the Hype.*

costs (Figure 16). Another factor restricting the development of e-commerce, as well as restricting diffusion of the Internet, is high Internet access costs (Figure 17). This mainly reflects a high telephone usage charge. Such a pricing structure is particularly inimical to the development of e-commerce because it discourages users from taking the time to shop around on line. Based on the number of secure servers per million inhabitants (such servers are necessary to make transactions online secure), e-commerce is less developed in the Netherlands than in the United States and many other OECD counties (Figure 18). Moreover, it is expanding more slowly than in countries where e-commerce is already more developed. Experience in other countries has shown that the best way of achieving low, non-metered Internet access charges is to open the local telecommunications loop (the last mile) to competition. While EU countries have been required to do this since the beginning of 2001, making this reform effective will require further regulatory reform and better enforcement of competition law (see Chapter IV).

© OECD 2002

Figure 16. **The cost of leased lines, August 2000**
Charges for a basket of national leased lines of 2 Megabits per second, OECD average = 100



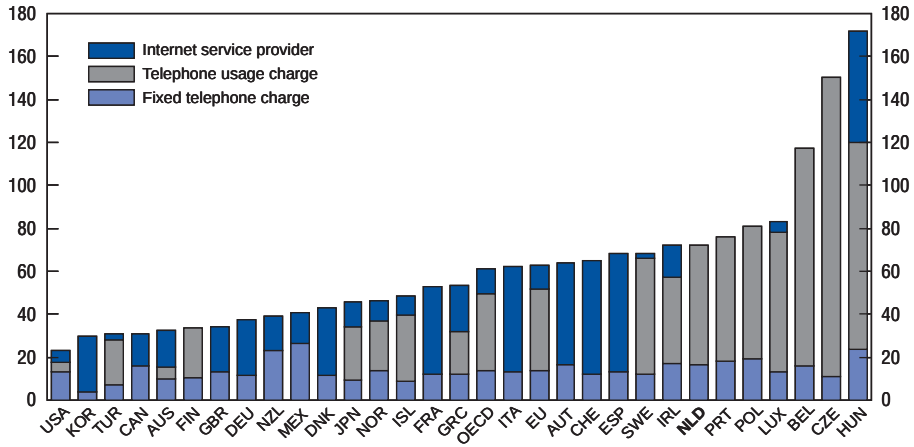
Note: The graph shows the total charges (excluding taxes) within each country for a basket of national leased lines that can carry two megabytes of information per second. It shows that the Nordic countries have the lowest charges for such lines. Hungary and the Czech Republic have the highest charges.
Source: OECD Communications Outlook 2001.

Lack of competition in product markets

Intense competition in product markets forces firms to adopt new more efficient production techniques quickly if they are to survive. While reforms in recent years have undoubtedly increased competition in product markets, notably through the implementation of the Single Market Programme, regulation nevertheless still tends to restrict competition more in the Netherlands than it does in the United States. A recent OECD study (Nicoletti *et al.*, 1999, p. 35) grouped the Netherlands in an intermediate cluster of OECD countries that had relatively liberal outward-oriented policies and a range of more interventionist and restrictive inward-oriented policies; this group also included most other continental European countries. By contrast, the United States was classified in a group (along with the United Kingdom, Ireland, Australia and New Zealand) characterised by relatively liberal inward- and outward-oriented regulatory policies. In a follow-up study on regulation in four competitive industries and three network industries, the Netherlands was again classified in the middle cluster of countries with mostly liberal regimes while the United States was in the very liberal category (Nicoletti, 2001, p. 9). In one of the sectors that is an intensive

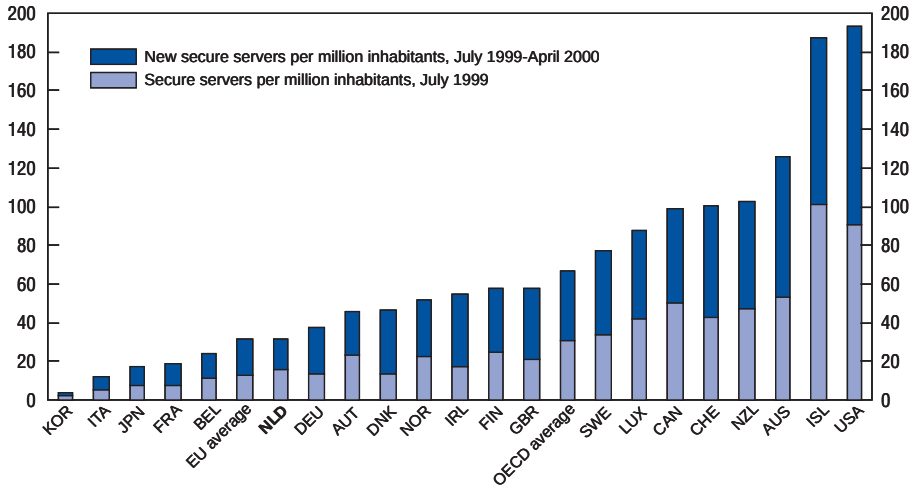
© OECD 2002

Figure 17. **Internet access costs**
Costs for 40 hours of Internet use at peak times, August 2001, in USD PPP



Note: Internet access costs differ substantially between OECD countries, primarily due to differences in variable telephone charges and the costs of Internet service providers. Previous OECD studies show that these differences are primarily due to the state of competition in different Member countries.
Source: OECD – DSTI.

Figure 18. **Development of electronic commerce**



Note: Countries with the highest rate of diffusion of secure servers in July 1999 have also seen more new secure servers added since than countries that had a low penetration rate in July 1999. Countries with unmetered access (Australia, Canada, New Zealand and the United States) are among the countries with the highest penetration of secure servers, implying a greater diffusion of electronic commerce.
Source: OECD and Netcraft (*www.netcraft.com*).

© OECD 2002

ICT user in both countries, wholesale and retail trade, average mark-ups are considerably higher (1.45) than in the United States (1.25) (Oliveira-Martins *et al.*, 1996).

Labour market barriers

Another possible brake on the diffusion of ICT in the Netherlands is that restrictive labour market legislation hampers firms in making the organisational changes required to reap the potential gains from using ICT. These changes include multi-tasking and work rotation, which are central in the new type of work organisation,[38] decentralised decision-making responsibility, usually to a team, and improved flow of information between workers and management. In addition, performance-related pay is often implemented as part of work re-organisation. The link between these work practices[39] and the diffusion of ICT can be seen in their greater incidence in firms using ICT (Table 12).[40] An impediment to implementing these new work practices in the Netherlands is strict EPR (see Figure 27), which constrains firms' scope to adjust the composition and size of their workforces to maximise the benefits of increased ICT use (or other investments, for that matter, Bertola, 1992; Boeri *et al.*, 2000).

Table 12. **Implementation of new work practices and use of ICT**[1]
Percentage of firms which use ICT[2]

	Among firms that implement new practices	Among firms that do not implement new practices
Australia (1995)	**24**	**14**
European Union (EPOC survey, 1994-96)	**49**	**34**
Denmark	50	45
France	42	27
Germany	41	26
Ireland	59	46
Italy	54	43
Netherlands	**25**	**16**
Portugal	42	30
Spain	45	33
Sweden	55	41
United Kingdom	63	46
Finland (1996)	**62**	**52**
France (REPONSE survey 1998)	**46**	**29**
United States (1996)	**58**	**49**

1. Figures correspond to averages of estimates carried out for each individual work practice (see Annex D of Arnal *et al.*, 2001 for details on these calculations). Data are not comparable between surveys.
2. Figures for the United States refer to the percentage of non-supervisory workers using computers.

Source: Secretariat estimates based on various surveys.

© OECD 2002

The need for an integrated productivity growth strategy

Sight should not be lost of the fact that reducing barriers to the diffusion of ICT is just one – though important – way to facilitate an increase in productivity growth. The OECD Growth Study shows that a lot of other policies can contribute to increasing productivity growth. A comprehensive growth strategy should be based on a combination of actions – including those aimed at facilitating ICT diffusion – aimed at strengthening economic and social fundamentals, fostering innovation, investing in human capital and stimulating firm creation. Substantial progress could still be made on many of these issues in the Netherlands. For example, the share of high-tech investments in total venture capital investments is quite low in comparison with the EU and especially the United States. Also, the number of newly-created firms lags that in the United States.

More generally, the fact that productivity growth depends on many other elements of the business environment, as is implicit in the OECD Growth Study, can be illustrated by a recent study from the McKinsey Global Institute (*www.mckinsey.com*). This study concludes that a large part of the increase in productivity growth in the United States in the late 1990s is not attributable to ICT *per se*. In the six sectors that accounted for almost all of the total rise in productivity growth, a number of factors were responsible for the improvement – of which ICT was just one. For example, in wholesale and retail trade, which accounted for a significant proportion of the improvement (see Figure 14), the availability of suitable locations, low labour costs and new logistics methods were at least as important as the improvements due to ICT. This suggests that high labour costs, strict regulation on land use and bottlenecks in physical infrastructure may have prevented this sector in the Netherlands from enjoying the same improvements in productivity.

Concluding remarks

Labour productivity growth recovered slightly in the late 1990s, but nowhere near as much as in the United States. This difference mainly reflects a much greater increase in ICT capital intensity in the United States than in the Netherlands. Expected profits from ICT investment have undoubtedly been much higher in the United States. While this partly reflected a bubble in the ICT sector, there are a number of factors in the Netherlands that reduce profits from such investments (compared with the United States). These include high ICT prices, a lack of competition in non-ICT product markets and restrictive labour market legislation. A range of product market reforms in the context of the Single Market Programme (see Chapter IV) is increasing competition and hence pressure to invest in ICT. However, these will need to be complemented by reforms that prohibit practices by ICT-hardware producers that enable them to segment markets if significant progress is to be made in reducing prices towards levels in the United States. In addition, it will be important to ensure that the recent reform opening

© OECD 2002

the local loop of the telecommunications network to competition is effective, as this will have an important bearing on the costs of using ICT. Furthermore, some relaxation of strict EPR would give firms greater scope to reorganise their activities to take advantage of ICT.

More generally, increasing productivity growth calls for an integrated strategy – as is being pursued in the Netherlands – to put in place a supportive economic and social framework. Diffusion of ICT is but one of the ways that this strategy will translate into higher productivity growth. Indeed, ICT usually needs to be combined with other changes in business organisation to boost productivity growth, as graphically illustrated by the McKinsey study, and the ability to make these changes often depends on the regulatory environment. The failure of the wholesale and retail sectors in the Netherlands to match the productivity gains of these sectors in the United States in the late 1990s underlines the importance of following a comprehensive strategy to ensure that the regulatory and economic environment is conducive to increasing productivity.

© OECD 2002

IV. Structural reform

Until the recent deterioration in its macroeconomic situation, the Dutch economy had recorded a period of nearly two decades of virtually uninterrupted rapid growth with relatively few tensions. This good performance has undoubtedly reflected persistent and wide-ranging efforts of structural reform in the labour, product and financial markets, as well as in the social security system[41] which have interacted with appropriate macroeconomic policies and wage moderation.[42] As a result, output growth and job creation have exceeded the EU averages, without – until recently – any major inflationary pressures (Table 13). Also, the unemployment rate has fallen to around 2 per cent, one of the lowest among Member countries (see Chapter I). At the same time, however, the Netherlands continues to have a very large number of "inactives" – *i.e.* jobless people not seeking a job and on welfare. Hence, total working-age "benefit recipients not in employment" (inactives plus unemployed seeking a job) are still close to 1.5 million (in full-time equivalents), or nearly 20 per cent of the corresponding labour force. This largely explains why the participation rate and the employment rate (also in full-time equivalents) are still below the levels of the early 1970s, before the so-called "Dutch disease" set in. In other words, the socio-economic framework which was introduced in the early 1980s, and which is often referred to as the "Dutch model", has led to a remarkable recovery of the economy in general but, as yet, not to a commensurate decrease in the number of "inactives".

With the effects of population ageing beginning to be felt (see Chapter V), strong non-inflationary growth and a further rise in per capita GDP will be possible only if major structural reforms will lead to a greater use of the potentially available manpower and/or a more rapid increase in the productivity of both labour and capital (*i.e.* multi-factor productivity). Before discussing recent structural measures and formulating a new set of recommendations, it may be useful to briefly review some aspects of the Dutch model. This will help explain the seemingly paradoxical situation that the country with one of the lowest unemployment rates in the OECD area has its major structural problems in the labour market, with a particularly high level of inactivity.

© OECD 2002

Table 13. **Macroeconomic performance 1983-2000**[1]

	Netherlands		EU		OECD[2]	
	Average of year-on-year percentage changes[3]					
Real total domestic demand	2.7		2.5		3.2	
Net exports[4]	0.3		0.0		–0.1	
Real GDP	2.9		2.5		3.1	
Real GDP per capita	2.3		1.9		1.9	
Inflation[5]	1.9		4.1		5.6	
Total employment (persons)	1.8		1.0		1.8	
	1983	2000	1983	2000	1983	2000
	Per cent					
Employment rate[6] (persons)	50.6	72.1	60.1	64.2	61.2	64.1
Unemployment rate[7]	9.7	2.9	..	8.2	..	6.4
General government balance-actual[8]	–6.4	2.2	–5.1	0.6	–4.7	0.2
General government balance-cyclically adjusted	–3.2	0.3	–4.4	–0.3	–3.9	–0.5

1. Refer to the Statistical Annex of the *Economic Outlook* for details of changes in methodology. For example, the Netherlands National Accounts are according to the ESA95 methodology only from 1995 onwards.
2. Data for 1983 excludes the Czech Republic, Hungary, Poland and the Slovak Republic.
3. Arithmetic average. For net exports, average of contribution to GDP growth. Except for the total employment, averages for the EU and the OECD are weighted averages using the method described in the *Economic Outlook*.
4. Contribution to GDP growth.
5. Private consumption deflator.
6. As a percentage of working-age population.
7. Standardised unemployment rate.
8. As a percentage of GDP. UMTS receipts representing 0.7 per cent of GDP are included in 2000.
9. As a percentage of potential GDP.

Source: OECD (ADB); OECD *Main Economic Indicators* and *Employment Outlook*.

An historical overview of the labour market: from the Dutch model to the Dutch paradox

In a nutshell, current problems in the labour market and the large number of inactives largely reflect various age-related features of the social security system and, ultimately, choices made in the spirit of the Dutch model, which seeks to avoid confrontation and rely on consensus. These institutional rigidities, which are especially favourable for the elderly but impose a fiscal burden on working people, are an enduring legacy of the Dutch disease – the period in the 1970s and early 1980s – when, as a result of the two oil shocks, misguided demand-supporting macroeconomic policies and the belief that a rapid expansion of the welfare system could be financed through growing gas revenues, the economy performed dismally and significantly worse than other European economies.

© OECD 2002

This created a large margin of unused capacity, severe imbalances and growing pressures for a major policy change. The reorientation of economic policy, which was initiated in 1982, represented a move away from demand management towards a more medium-term, supply-oriented approach, stressing fiscal consolidation – with the emphasis on control of public spending, followed by tax cuts – a progressive overhaul of the social security system, and regulatory reform. A key element of the new economic strategy was a path-breaking agreement between employers and trade unions (the so-called "Wassenaar agreement") on wage moderation combined with a reduction in working time, later followed by provisions which removed the discrimination between part-time and full-time jobs,[43] as well as a number of other measures entailing a progressive increase in the differentiation of terms and conditions of employment and, hence, greater labour market flexibility.

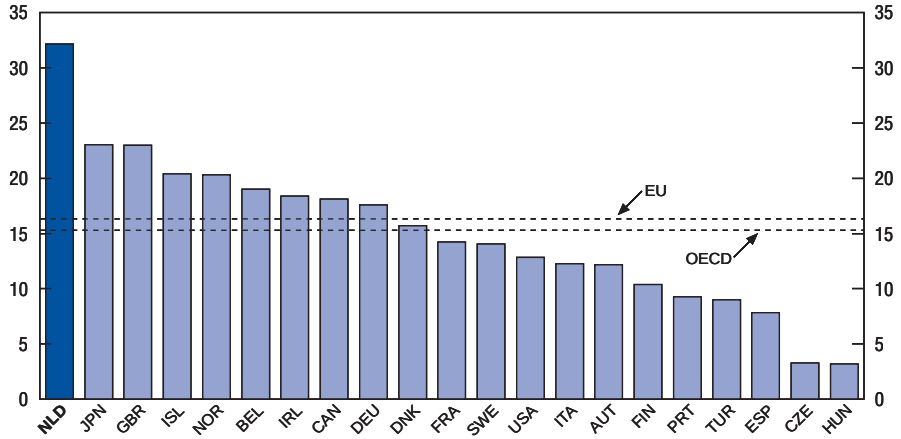
Partly as a result of the 1982 Wassenaar agreement and broadly similar subsequent agreements between the social partners, part-time work expanded extremely rapidly, so much so that over two-thirds of new jobs created since 1982 have been on a part-time basis; and part-time work, which seems to be mostly voluntary,[44] now accounts for around one-third of total employment – by far the highest percentage in the OECD area (Figure 19). However, a large proportion of part-time jobs were created in the rapidly expanding services sector and were filled essentially by women entering the labour market for the first time, rather than by workers laid off in the industrial sector. A large proportion of laid-off workers, rather than becoming registered unemployed seeking a job, were allowed to join various welfare schemes, mainly the disability scheme, but also social assistance, the early retirement scheme, and the scheme for elderly unemployed (57½ and over) who are no longer required to seek a job. Hence, these workers left the labour force, reducing unemployment while at the same time increasing "inactivity". The unemployment rate, nonetheless, rose to nearly 10 per cent of the labour force by 1983, and total benefit recipients not in employment (mostly representing low-skilled inactives) surged to some 25 per cent of the adjusted labour force,[45] remaining around this level from the mid-1980s to the mid-1990s. Only in the second half of the 1990s did this percentage start to decline significantly (see Table 2 and Figure 3 in Chapter I).

This evolution in inactivity has been accompanied by a broadly similar evolution in the rate of growth of productivity (labour as well as multi-factor productivity), which increased from the mid-1980s to the mid-1990s and decreased in the more recent period, as low-wage low-productivity workers first left, and then progressively returned, to the active labour market (see the analysis on productivity in Chapter III). Nonetheless, due, among other factors, to the increased use of labour and capital, growth of real GDP per capita was more rapid in the recent period than in the earlier period.[46]

© OECD 2002

Figure 19. **Part-time employment:[1] an international comparison**

As a per cent of total employment, 2000



1. Part-time employment refers to persons who usually work less than 30 hours per week in their main job. For Japan less than 35 hours per week. Data include only persons declaring usual hours except for Finland and Japan where data are based on actual hours worked. For the United States, data are for wage and salary earners only.

Source: OECD Employment Outlook 2001.

The vast pool of inactives is often mentioned as the major shortcoming of the Dutch model. However, it must be viewed in a relative and historical perspective. The long-term increase in inactives is a feature that the Netherlands shares with many other continental European countries, and the Dutch dependency ratio – the ratio of persons of working age on social benefits to the total number of working persons – although higher than in Japan and especially in the United States, is low compared with other EU countries (Table 14).[47] Also, in view of the trend increase in Dutch per capita GDP over the past two decades or so, it may be argued that inactivity has not represented an unsustainable burden.[48] Moreover, by preventing labour unrest and a major increase in poverty and social exclusion, the acceptance of inactivity has probably enhanced the restructuring of the economy and the shedding of labour that was required in response first, to the two oil shocks, and then, to the process of European integration, globalisation, and the accelerated introduction of new technologies. Hence, the extended use of the disability scheme[49] and of the welfare system in general may have been an integral component of the Dutch model, especially in its early stages;[50] and given the high degree of tolerance and permissiveness in Dutch society, its subsequent correction has

© OECD 2002

Table 14. **Dependency ratios**[1]

	1980	1990	1993	1996
United States	0.255	0.215	0.240	0.220
Japan	n.a.	0.286	0.305	0.333
Netherlands	**0.318**	**0.426**	**0.433**	**0.394**
Sweden	0.262	0.280	0.433	0.401
Denmark	0.333	0.383	0.438	0.402
United Kingdom	0.265	0.319	0.433	0.422
Germany	0.315	0.360	0.399	0.425
France	0.295	0.441	0.500	0.502
Austria	0.541	0.558	0.609	0.593
Belgium	0.417	0.590	0.675	0.665

1. Ratios of persons of working age on welfare to the total number of working persons (excluding maternity and sickness).
Source: Netherlands Economic Institute, 1999.

proved extremely difficult. These considerations may help explain the apparent paradox of a very low unemployment rate co-existing with a high level of inactivity. Turning to the future, with population ageing expected to increasingly constrain the supply of labour, this vast pool of inactives and the relative ease with which until recently this status could be acquired, may be seen as a potential source of future manpower, provided appropriate policies succeed in returning a significant proportion of inactives[51] to the labour market and, more realistically perhaps, in drastically cutting the inflow of new benefit claimants into the welfare system.

Structural reform in general[52]

The Netherlands has been engaged in a process of structural reform since the early 1980s when, as noted, overall economic policy changed course. Structural reform, which has been an integral part of the Dutch model with strong public and political support, has progressively evolved over the years: at first, the aims were to consolidate public finance, make the social security system more cost effective, and support wage moderation through tax relief; in the 1990s, the aims were enlarged to include a more flexible labour market, regulatory reform and competition policy. Throughout the period the motivation and underlying philosophy of structural reform has remained unchanged – the creation of a more open, competitive and market-based economy backed up by a strong social safety net. In line with the Dutch "consensus approach", structural reform has been a rather slow process which, however, has taken place with a minimum of disruption and without jeopardising social cohesion.

© OECD 2002

Box 4. Follow-up of previous recommendations for structural reform and recommendations for further action

A. Previous recommendations	B. Action taken	C. Recommendations for further structural reform
	The Netherlands has continued to pursue structural reform on a very wide range with an impressive number of measures and initiatives – so much so, that in this table it will be impossible to mention all of them. However, the speed of implementation seems to have slowed over the past couple of years, and there have been no major achievements.	There is an urgent need for a reacceleration of the whole process of structural reform with a view first, to help curb current rapid wage increases and, second, to ensure a timely adjustment of the economy to the challenge of population ageing.
The labour market		
Make further progress towards increased wage and labour cost flexibility through greater use of bottom wage scales in collective labour agreements and "opening clauses".	No major initiatives have been taken over the past couple of years concerning greater use of bottom wage scales in collective agreements and "opening clauses". According to the authorities, most collective labour agreements contain "opening clauses" and in quite a number of collective labour agreements the minimum wage is at the bottom of the scales. However, it is not known the extent to which employers actually use "opening clauses" and bottom wage scales	*General recommendations*: Given that tight labour market conditions are expected to persist, keep focusing on policies which increase the supply of labour, essentially by sharply reducing the flow of workers into various social security schemes which entail a premature exit from the labour force, and by encouraging the outflow or "activation" of persons already in these schemes. In addition, reorient the use of specific labour market measures in line with the findings of the recent "Back-to-Work Report" (or IBO).
Strengthen the financial attractiveness of work relative to welfare status, for instance by making job search controls and the application of benefit sanctions more effective.	The financial attractiveness of work relative to welfare status has been strengthened by the introduction of several measures including: a labour tax credit under the 2001 Income Tax Reform; and a uniform tax-free bonus of €1 815, paid by the local authorities to long-term unemployed leaving the benefit system. The authorities are considering additional measures to reduce further unemployment and poverty traps. The full reintegration system is under reconsideration and may be tightened sharply as a result of the SUWI-Act.	*Specific recommendations*: Speed up the process of phasing out fiscal incentives for early retirement and converting early retirement schemes into actuarially neutral pre-pension schemes. Cuts in employers' social security contributions for older workers may be acceptable as a second best policy only to the extent that inflexible seniority-based wage scales cause a problem. It would be more appropriate to enhance the demand for older workers by increasing their productivity through retraining and lifelong education as well as by making wage scales less dependent on seniority.

© OECD 2002

Box 4. Follow-up of previous recommendations for structural reform and recommendations for further action (*cont.*)

A. Previous recommendations	B. Action taken	C. Recommendations for further structural reform
Consider refusing or, at least, limiting the administrative extension of future insurance provisions in sectoral wage agreements which offset reforms to employees' social security schemes.	While employers and employees are primarily responsible for agreements concerning the topping up of sickness and disability benefits, the government thinks that the level of sickness and disability could be significantly reduced if the funds used for this purpose were partly shifted to prevention and reintegration measures.	Implement, as soon as possible, the new system of screening disability claims and stand ready, if necessary, to introduce new drastic measures along the lines of the recent suggestions of the Donner Commission. (At the same time, the existing practice of topping-up benefits in the first year of sickness, which reduces incentives to work, should be discouraged.)
Enhance the employability of older workers through: life-long learning schemes; a formal ban on age discrimination; removing perverse incentives embodied in complementary pension schemes for those who accept lower paying jobs; and tightening eligibility rules by raising the age threshold above which unemployed persons are no longer required to seek a job (as laid down in the coalition agreement) and disabled persons are no longer subject to medical re-examinations to determine their status.	Several measures have been taken to improve education and lifelong learning in general including: training agreements with the social partners; the extension of the existing training tax allowance to training for basic qualifications and Dutch as a second language; the introduction on 1 January 2001 of a national EVC knowledge centre for validating vocational skills; and the introduction of a steering group which is developing a plan to give unemployed people who enter the labour market with no basic qualifications a chance to gain these qualifications through a combination of working and learning. A law prohibiting age discrimination with respect to employment already exists. A new Pension Law will include the right to retain built-up pension rights if the wage drops because of accepting a lower-paid job or a reduction in working hours. The possibility of extending the job search requirement to unemployed aged 57½ and above is being considered. The whole system of disability benefits is under reconsideration. The Donner Report which has just been published proposes a new approach to the disability system and the government is now considering which measures are appropriate to deal with this important issue.	Try to close the loophole in the transition from work to disability represented by temporary work agencies. Ideally, this should be done by requiring temporary work agencies, like normal employers, to take the necessary measures to enhance the reintegration of sick workers without, however, changing the nature of these agencies as suppliers of flexible labour. Provide stronger financial incentives for inactives to return to the active labour force through a major reduction in unemployment and poverty traps to be achieved by replacing various income-related subsidies which increase the purchasing power of inactives with a strengthening of the recently introduced earned income tax credits. Further reduce inactivity by: reinstating normal job search requirements and the application of benefit sanctions for unemployed 57½ and older; better enforcing these requirements also for certain categories of persons on social assistance; and introducing a new re-examination process for all "disabled" already in the scheme, based on the more stringent requirements suggested by the Donner Commission for new applicants. Combine these measures with appropriate active labour market policies to ensure reintegration (possibly a "comprehensive approach" especially designed for these persons).

© OECD 2002

Box 4. Follow-up of previous recommendations for structural reform and recommendations for further action (*cont.*)

A. Previous recommendations	B. Action taken	C. Recommendations for further structural reform
Ensure that subsidised work and low-paid jobs created in the public sector are better attuned to the needs of the market and limit the period that people can participate in them.	The "Back-to-Work Report" (IBO) has suggested to make most subsidised jobs regular jobs in the public sector and to abolish the rest to increase the employment budgets of local authorities.	Pursue efforts to: – Increase the role of private placement agencies in the activation process. – Begin reintegration already during the first year of sick leave. – Create adequate childcare facilities. – Continue to reform the education and vocational system to make it more deman-oriented, thereby improving the quality of the labour force and minimising labour mismatches. – Seize any opportunities to lower bottom pay scales toward the legal minimum wage and to effectively use them, as well as "opening" clauses.
Goods, services and financial markets		
The new Competition Authority (NMa), which is at the moment dependent on the Ministry of Economic Affairs, should be completely autonomous. In the overall evaluation of the NMa (scheduled for 2001), it should be considered whether the turnover threshold for notification for mergers should be raised.	A draft Act amending the Competition Act and making the Competition Authority (NMa) an independent government agency has been sent to Parliament. Legislation will be introduced later this year raising the threshold for notification of mergers from €14 million to €30 million.	Try to speed up regulatory reform by swiftly finalising "high-profile" MDW projects and fully informing households and businesses of the benefits that these reforms can bring to the country. Make sure that all the opportunities for increased competition, job creation and price reductions brought about by the phasing out of the Establishment Law are fully exploited.
Expand the scope of regulatory reform and accelerate its pace. Many sheltered sectors and public sector activities are as yet untouched and greater reliance could be placed on market forces in public services, transport, and health care services. This may require new working methods to preserve the benefits of consultation and consensus building, while moving faster. Regulatory reviews under the current systematic review of regulations project should be continued, expanded, made systematic, and more transparent. Areas subject to fast technological change or where regulatory failure is most costly should have highest priority.	Efforts over the past couple of years have focused on improving the MDW project and speeding up its implementation process. Cost-benefit analysis has begun to be used to better show to society the gains deriving from the MDW project, and make its working more transparent. Also, the MDW project has shifted its focus to give more priority to reforms benefiting consumers and businesses, and has enlarged its scope to include sheltered sectors (notably health care and transport), supervision and compliance, the quality of public services, and new instruments to maximise consumer welfare (the so-called "new framework projects", such as the use of vouchers to give citizens more freedom in the use of collective goods). These new instruments	Within an appropriate regulatory and supervisory framework, speed up the liberalisation of the electricity sector, giving to small and medium-sized users the choice of supplier at the latest by 2004; and eliminate bottlenecks in the infrastructure to fully open the Dutch market to foreign suppliers and ensure lower prices. Enhance competition in the market for local telephone calls. In public transport, provided appropriate regulatory and supervisory rules are in place, in addition to increasing investment, inject more market forces with a view of achieving a better use of the existing infrastructure, and, hence, alleviate current and prospective congestion and their

© OECD 2002

Box 4. Follow-up of previous recommendations for structural reform and recommendations for further action (*cont.*)

A. Previous recommendations	B. Action taken	C. Recommendations for further structural reform
	are more flexible than traditional laws and rules, and, according to the authorities, are especially appropriate for sectors subject to fast technological changes.	harmful effect on productivity and economic growth. Finalise and implement financial market reforms to: make corporate governance more transparent, with strengthened shareholders' rights; alleviate the stigma of failure entailed in the present bankruptcy law and provide distressed firms with the instruments to restructure; and further develop the market for venture capital to enhance the emergence of new, innovative enterprises.
Increase the cost-effectiveness of government action by strengthening the role and rigour of regulatory impact analysis.		
Strengthen the institutions responsible for competition, regulation and reform and better co-ordinate policy linkages. Control more tightly the regulatory powers shared with other supervising organisations to maintain a level playing field and open markets (for instance in the cable sector).	NMa and OPTA have increased their collaboration in the area of cable access for ISPs, with a view to closely monitor competition in all Internet access markets. The director generals of the NMa and OPTA have concluded a protocol governing the co-ordination and implementation of the regulatory powers they share.	
In the telecommunications sector, streamline the role of the temporary sector regulator, OPTA, and the Competition Authority, NMa.		
Implement legislation on anti-takeover devices and monitor results.	A bill on anti-takeover devices is pending in Parliament. According to this bil a shareholder who owns at least 70 per cent of the capital of a listed company for a period of at least one year has the possibility of reversing all anti-takeover measures.	Implement this bill as soon as approved by Parliament and monitor its effects.
Develop and implement legislation to improve (voting) rights of shareholders in order to strengthen Corporate Governance in line with OECD principles.	The government has abolished virtually all obstacles that made proxy voting impossible, and is preparing legislation to further improve voting rights of shareholders.	Implement this legislation as soon as approved by Parliament and monitor its effects.

© OECD 2002

Box 4. Follow-up of previous recommendations for structural reform and recommendations for further action (*cont.*)

A. Previous recommendations	B. Action taken	C. Recommendations for further structural reform
The health care system		
Improve competition between private insurers, for instance, compensate insurers only for expected losses in the scheme for elderly people (WTZ), and if this is not possible, consider the integration of this scheme into the basic public scheme (ZFW).	The government is considering the possibility of integrating the WTZ scheme into the basic public scheme (ZFW).	*General recommendations*: The plan for a full overhaul of the healthcare system recently outlined by the government looks promising and should be pursued vigorously, taking care to strike an appropriate balance between considerations of performance and efficiency and the principle of equity or equality of treatment which is especially important in the Netherlands. *Specific recommendations*: Meanwhile, the current gradual approach needs to be continued and accelerated. Areas where further progress is required include: – An increase in the supply of medical staff (to be achieved mainly by removing obstacles to education, training and setting up of practices). – The definition of standard procedures and treatment in health care. – The reliance on a DRG-based (or therapy-based) payment system for in-patients. – The benchmarking of health care institutions on a regular basis.
Improve competition in the health care system in general.	At the end of 2002 the Competition Act will be fully applicable to all health care providers. According to the authorities, it may take a rather long period of time before normal "markets" will form for all different sectors of the health care system. During this transition period the government will develop instruments and an environment which will enhance fair competition. A working party of the MDW project as well as the NMa are currently exploring the question of competition in the health care system.	

© OECD 2002

Box 4. Follow-up of previous recommendations for structural reform and recommendations for further action (*cont.*)

A. Previous recommendations	B. Action taken	C. Recommendations for further structural reform
Make purchases of health care more effective by: giving health insurers more leeway for selective contracting; increasing the number of training places in medical schools; preventing an excessive fragmentation of regional health care insurance markets; and reconsidering current restrictions on the operation of private specialised clinics.	A system of personal benefits for long-term care (AWBZ) has been progressively expanded and now applies to important parts of this sector, such as elderly care, home care and care for the mentally and physically disabled. Given the positive overall assessment of this technique Parliament has asked for a substantial increase in its use in the AWBZ scheme.	
Improve cost efficiency of suppliers by: defining standard procedures and treatment in health care; relying more on a DRG-based payment system for in-patients; and benchmarking health care institutions on a regular basis.	More funds have been made available by the government to increase the number and remuneration of physicians and decrease the workload of general practitioners by creating an additional structure of primary health care which will provide general practitioners services during out-of-office hours. This should allow to strengthen the role of the general practitioners as a "gate keeper". The government is trying to make the purchases of health services more efficient by gradually increasing their financial risk and the degree of contention in this area.	
Improve waiting lists policies by continuing to develop a system of uniform registration of waiting lists and formulate objectives concerning maximum acceptable waiting periods.	To tackle the problem of waiting lists, as noted, the government has provided more funds and has increased the responsibility of health care providers in the allocation of these additional funds. It is hoped that this will result in an improved cost efficiency of health care providers since they must negotiate with insurers on plans for reducing specific waiting lists, and get the final approval from the Health Care Insurance Organisation.	
Reduce the cost of pharmaceuticals by: encouraging insurers to monitor pharmaceutical expenditure and prescription policies; reconsidering the role of the pharmacist in the health care system; strictly separating the roles of prescribing drugs and dispensing them; and making the prescription fee less dependent on the number of items prescribed.	In the pharmaceutical market, health care insurers having been asked to bear a greater risk, the government expect them to co-ordinate their efforts to contain costs by ensuring an efficient use of drugs and a reasonable prescribing behaviour of general practitioners.	

© OECD 2002

Box 4. **Follow-up of previous recommendations for structural reform and recommendations for further action** (*cont.*)

A. Previous recommendations	B. Action taken	C. Recommendations for further structural reform
Influence consumer behaviour by: reducing the reimbursement limits for prescription drugs. However, for equity reasons, make sure that at least one drug in each "therapeutic-equivalent" cluster is available without co-payment.	The government aims at devising ways to make patients better informed and hence more effective purchases of health care in general and prescription drugs in particular.	
Enhance health care policies by: exploring ways to prioritise health care through the development of evidence-based systems; and stepping up preventive health care policies.		

But, as already noted in the previous *Survey*, after a long period of good economic performance the sense of urgency of implementing comprehensive reforms might have waned, giving way to a degree of reform fatigue. Nonetheless, in the recent period, following the relentless increase in the number of disabled people and the persistence of waiting lists in the health care sector, major reforms in the disability and health care areas have again been the focus of public and political attention, resulting, as discussed below, in the Donner Commission Report in the area of disability, and in the presentation by the government of a plan for a major overhaul of the health care system.

The labour market

Over the past couple of years, the top priority of the current coalition government in this area has remained to prevent people from becoming long-term unemployed and to enhance the outflow from various social security schemes,[53] thereby reducing inactivity and boosting the employment rate (as well as the total number of hours worked). In terms of specific policy measures, however, the focus has shifted from the demand side of the labour market – the creation of sufficient jobs especially for low-skilled workers – to the supply side – increasing the quantity and quality of the labour force. This last goal is to be achieved essentially by: strengthening incentives to work in general, and for specific groups in particular,

© OECD 2002

such as older workers, women and ethnic minorities; and stepping up and improving active labour market policies, with a special emphasis on the reintegration of inactive benefit recipients. The magnitude of the reintegration problem has been vividly demonstrated by a recent estimate of the authorities which puts at 375 000 (or some 5 per cent of the labour force) the number of unemployed and partially disabled persons deemed capable of returning to the active labour market within one year, provided they are assisted by a reintegration programme. As for the choice of specific labour market measures in the period ahead, it is likely to be significantly affected by a recently published assessment of the effectiveness of these measures, the "Back-to-Work Report" or IBO (see Box 5).

Box 5. The "Back-to-Work Report" (or IBO)

Main findings:

- Education programmes are not very effective in reintegrating job-seekers, especially when job-seekers are not working at the same time.
- The reduction in non-wage labour costs through cuts in employers' social security contributions (SPAK) has a very limited contribution to the creation of employment at the lower end of the labour market.
- Almost two-thirds of social assistance beneficiaries are not obliged to actively look for work.
- Subsidised job holders lack the incentive to find a regular job.
- The so-called "four phase model" for assessing the distance of newly unemployed from the labour market, is quite inaccurate, and unnecessarily puts people in expensive schooling and training programmes.
- There are too many specific instruments that overlap each other.

Policy implications:

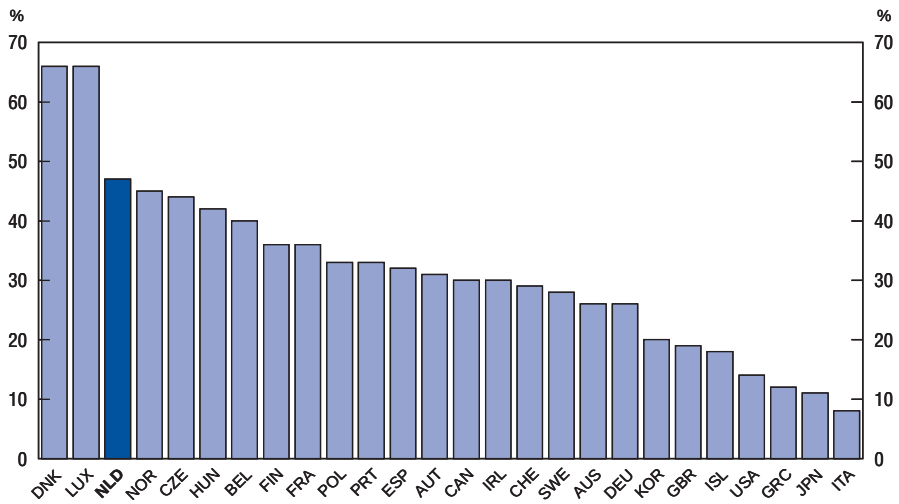
- Rely more on reintegration budgets and increase the financial responsibility of local authorities.
- Pay more attention to the outflow of benefit recipients and subsidised job holders from these social security programmes. Enforce more strictly job seeking requirements and the use of sanctions.
- Abolish the Job Seekers Employment Act (WIW) and create an employment budget for local authorities.
- Make most "inflow-outflow" jobs regular jobs in the public sector, and abolish the rest to increase the employment budgets of local authorities.
- Abolish the "four-phase model". Instead use job seekers profiles.
- Consider turning SPAK (targeted at employers) into earned income tax credits (targeted at employees).

© OECD 2002

Supply-side measures

The income tax reform which was introduced at the beginning of this year was a significant step in reducing replacement rates which until recently were among the highest in the OECD area (Figure 20). While according to one measure[54] average rates were broadly in line with the EU average, marginal rates were quite high by international standards (Figure 21).[55] The tax reform, by introducing a general credit for working people (or earned income tax credit) with no phase-out income range, reduced replacement rates and unemployment traps,[56] especially at the lower end of the labour market (Table 15);[57] and, by lowering marginal tax rates, it reduced poverty traps.[58] It also increased incentives to work for two-income earner households, and for people being offered part-time jobs around the statutory minimum wage.[59] For all these reasons, the tax reform is expected to increase the supply of labour. However, since the earned income tax credit has no phase-out income range, its impact on replacement rates had to be limited to contain its budgetary cost. The authorities are of the opinion that poverty traps are still very important at the lower end of the labour market, *i.e.* for people earning between 100 and 130 per cent of the minimum wage, mainly because of the possibility of cumulating various means-tested welfare

Figure 20. **Unemployment benefit replacement rates**[1]



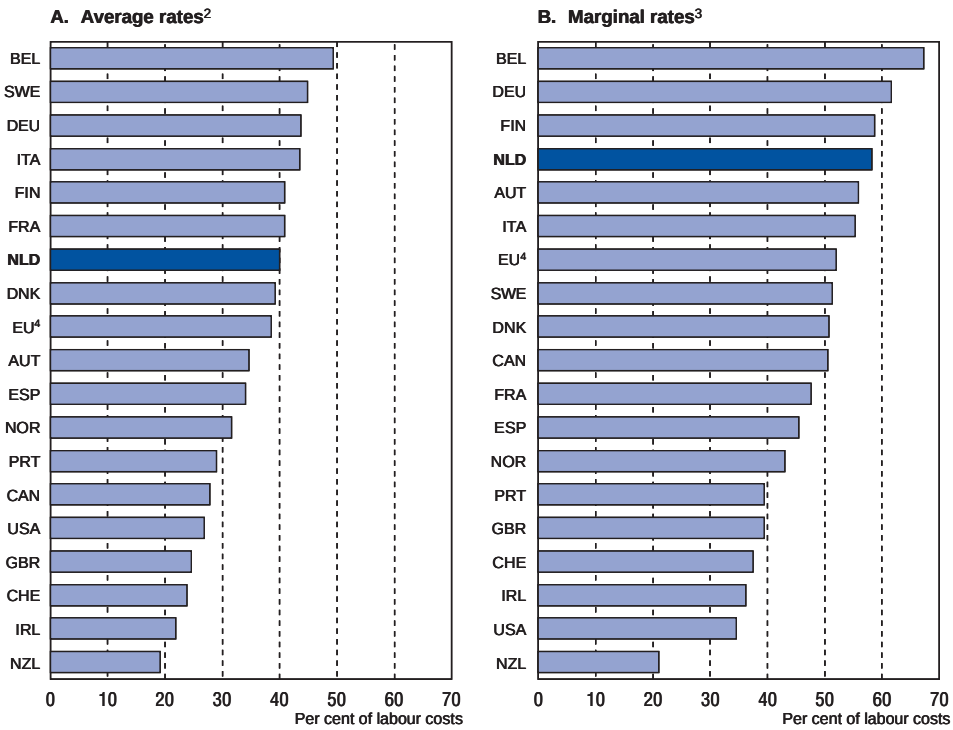
1. Average of three family types (single persons, persons with dependent spouse and persons with spouse in work) over a five-year period and two earnings levels. Benefits were calculated before tax as a percentage of previous earnings before tax.

Source: OECD, *Benefit Systems and Work Incentives 1999 Edition*, page 43 Table 3.10.

© OECD 2002

Figure 21. **Tax rates on labour income: an international comparison**

For a married couple with two children[1]
2000



1. The principal earner makes 100 per cent and the spouse 67 per cent of the income of an average production worker. Data are estimates for 2000.
2. Income tax plus employee and employer contributions less cash benefits.
3. Income tax plus employee and employer contributions and assumes a rise in gross earnings of the principal earner in the household.
4. Weighted average using 1995 GDP as weights.

Source: OECD, *Taxing Wages,* 2000 Edition.

benefits, especially those provided by local authorities. Of these income-related subsidies the most important one is probably the rent subsidy, which alone may impose a marginal tax rate of 40 to 50 per cent over the phase-out range, and together with other income-related subsidies may result in an effective marginal tax rate of close to 100 per cent (and in some cases and for specific groups even above 100 per cent). Hence, the authorities see the 2001 tax reform as the first step in a broader approach

© OECD 2002

Table 15. **Unemployment benefit replacement rates at the lower end of the labour market**

	2000 before the tax reform	2001 after the tax reform
For wages up to 140 per cent of the minimum wage level		
Single person	59.3	57.8
Couple with children	79.2	77.1
Couple without children	76.8	75.0
For wages at the minimum wage level		
Single person	76.9	74.0
Couple with children	97.9	94.0
Couple without children	97.6	93.9

Source: Ministry of Economics.

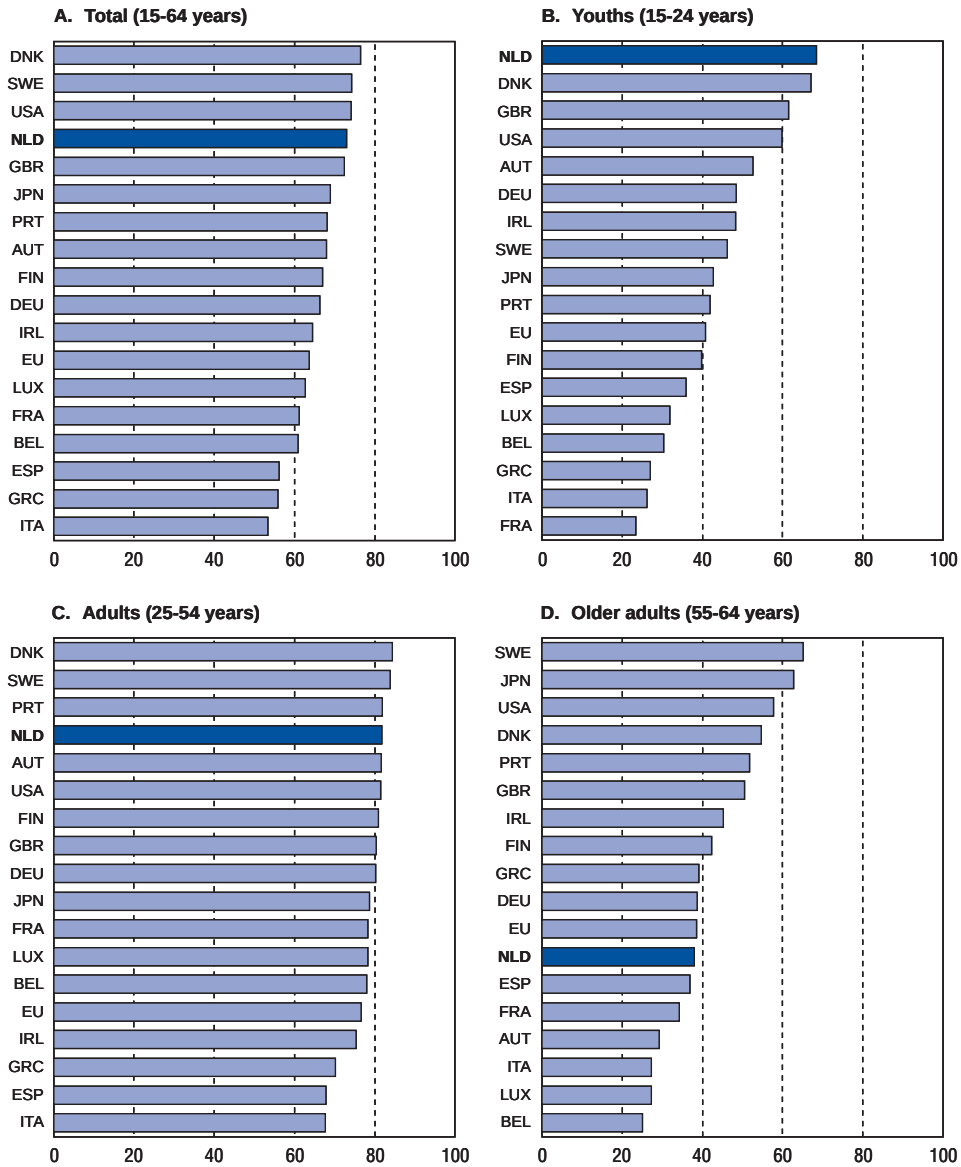
towards tackling the problem of unemployment and poverty traps which remain a substantial barrier to participation and the outflow from social security schemes. They are currently considering a wide range of policy options, including further changes in the tax system (see below).

To enhance the employment rate of older adults (55-65) which is rather low by international standards (Figure 22, panel D), the government wants professional *early retirement schemes*[60] to be converted into actuarially neutral *pre-pension schemes*. Early retirement schemes provide strong incentives to leave the labour force before the normal retirement age since they offer a full retirement pension as soon as a person is eligible for early retirement – sometimes as early as 55. This feature of early retirement schemes is financed through contributions from people in employment, rather than by early retirees themselves on an actuarially fair basis. In addition, contributions to early retirement schemes are tax deductible. On the other hand, pre-pension schemes are neutral concerning incentives to work since pre-pensions are fully financed by people opting for early retirement, and people opting for later retirement receive a higher (but again actuarially neutral) pension. Another fiscal advantage of shifting from early retirement schemes to pre-pension schemes is that the latter are fully funded while the former are on a pay-as-you-go basis. This is an important point since population ageing is expected to progressively reduce the ratio of contributors to early retirees.[61] However, to allow the social partners the necessary time to shift to a fully-funded system, the transition period from early retirement schemes to pre-pension schemes is intended to last until 2022.

The government is expected to take a decision on early retirement schemes before 1 July 2002, once it has concluded an evaluation of pension

© OECD 2002

Figure 22. **Employment rates: an international comparison**[1]
2000



1. Total employment (in persons) as a percentage of corresponding population. Refer to source for details of concept variations across countries.

Source: OECD, *Employment Outlook 2001.*

© OECD 2002

agreements with the social partners. On the basis of advice from the Social and Economic Council, the government has already stated its intention to:

- Stop all fiscal incentives for early retirement schemes introduced after 1 July 2002.
- During the proposed transition period from 2009 to 2022, continue to provide fiscal incentives only to early retirement schemes that are being converted into actuarially neutral pre-pension schemes.
- Stop all fiscal incentives to early retirement schemes that may still exist after 2022.

Moreover, the government has recently announced a number of measures to provide *incentives for older people* to remain in the active labour force. These measures, which must still be approved by Parliament include: a specific tax credit for older workers; and the possibility for local authorities to give older workers a uniform tax-free bonus (of a maximum of €815 a year). However, the authorities feel that a substantial and permanent increase in the employment rate of older people requires a cultural change with a shift of attitudes of both employees and employers: the former should progressively accept as natural to work for a longer period of years and stop considering early retirement as an inalienable right; the latter should better appreciate the potential older workers still have, and adjust accordingly their policies of hiring and retraining older workers.[62]

Another measure considered by the government is the possibility of reinstating the *job search requirement for older unemployed* (57½ and over) starting in 2002. Currently, the authorities are trying to assess the likelihood of persons in this age group of finding a job.[63] The authorities hope that the chances of these workers in the labour market may be improved by enhancing the image of "the older worker", a point which, as mentioned above, is to be considered by the recently formed government task force on the elderly. Finally, since the "*comprehensive approach*",[64] which is now being strengthened to provide unemployed with tailor-made personal plans to return them to the active labour market within 12 months, has no age limit, it would be open to these older unemployed if they were asked to search for a job. But in this case, resources devoted to this programme would probably have to be increased and/or its goals would have to be made more flexible, since finding a job within 12 months for many of these unemployed might prove a difficult task.

As for the labour force participation of ethnic minorities, all new immigrants are obliged to follow a programme focusing on language courses and an introduction to Dutch society. When appropriate, professional training and labour market participation start already at this stage. Moreover, as with all other unemployed, the "*comprehensive approach*" provides unemployed of ethnic minorities with a personal programme aiming at returning the person to the active labour market. Finally, the participation rate of ethnic minorities is expected to be enhanced (on

© OECD 2002

the demand side of the labour market) by a recent agreement among the social partners to hire more workers from ethnic minorities.

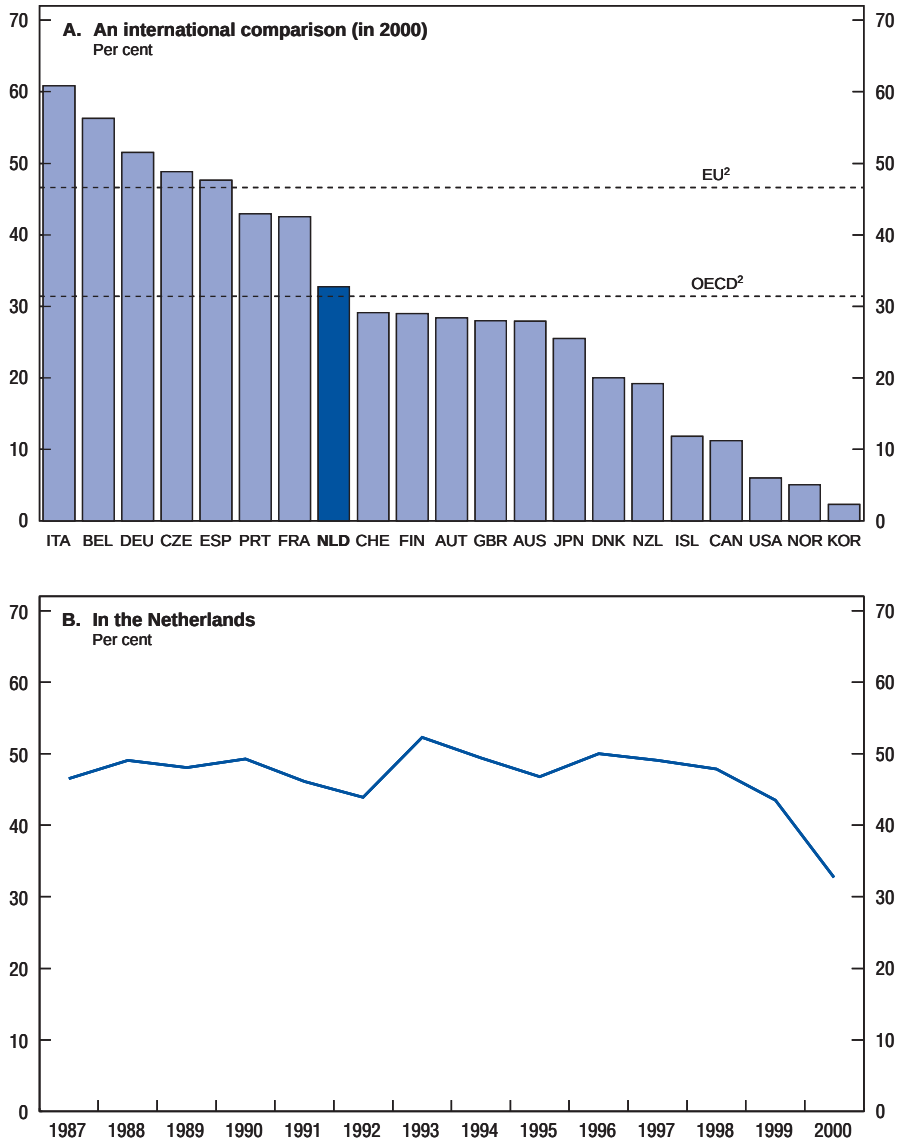
The participation rate of women and the volume of work of women with part-time jobs significantly depends, among other factors, on the availability and cost of *childcare facilities*. Currently there are some 120 000 such facilities which are, in part, subsidised by the government. Nonetheless, the authorities feel that more should be done in this area, and have prepared the Childcare Basic Provision Act, to be implemented in 2003.[65] They hope that this Act, combined with features of the recent tax reform discussed above, will go a long way towards the removal of impediments preventing women from entering the labour market and/or from working longer hours. The supply of private childcare facilities is also increasing, but nationally-operated childcare providers are often hampered by local regulations varying from municipality to municipality, as well as by over-detailed national rules.

In the Netherlands, the employment rate of youths (15-24) has been for quite some time one of the highest in the OECD area, possibly a reflection of, among other factors, lower legal minimum wages for people up to 23 (Figure 22, panel B). Nonetheless, a *"comprehensive approach" especially aimed at young people* was implemented in 1998. According to this programme, an individual action plan is prepared as soon as a young person (up to 23) registers as a job seeker, the aim being to find a job within one year. If this is not the case, the young job seeker is offered a subsidised job (see below). An evaluation of the first year of operation of the youth "comprehensive approach" has shown that 87 per cent of the youths registered did find a job within one year and only 13 per cent were still unemployed and hence were offered a subsidised job. For adults (23 and over), the government has set itself the task of introducing a "comprehensive approach" by 2002 at the latest, again with the aim of finding a job for every new job seeker within 12 months. Although it is still not fully implemented, during its first year of operation this version of the comprehensive approach did find a job within a year for over 70 per cent of new job seekers, with 10 per cent still following an intensive programme offered by the Employment Service, and some 20 per cent still unemployed and not following any programmes. All these reintegration efforts have undoubtedly contributed to the progressive decrease of the incidence of long-term unemployment to a level somewhere between the OECD and EU averages (Figure 23). To further reduce long-term unemployment, the Netherlands is aiming at fully implementing a comprehensive preventive approach by 2002.

A way of reducing replacement rates and unemployment traps is, of course, to decrease the *generosity* of the welfare system, in terms of both benefit levels and eligibility requirements. Apart from correcting incentives for early retirement,[66] the Dutch authorities are currently focusing on the second aspect of welfare generosity, and are in the process of tightening the system of *job search*

© OECD 2002

Figure 23. **Incidence of long-term unemployment**[1]



1. Persons unemployed for 12 months or more as a percentage of total unemployed, excluding persons for whom no duration of unemployment was specified. Refer to source for details of concept variations across countries.
2. Average of country ratios.

Source: OECD, *Employment Outlook 2001*.

© OECD 2002

controls and the application of benefits sanctions (in addition to exploring the possibility of extending this system to unemployed 57½ and older, discussed above). This tightening should result first, from the SUWI-Act, which is meant to consolidate several public institutes into a single one responsible for the administration of employees' social security schemes – *i.e.* the unemployment schemes and the disability scheme. This is expected to result in a more efficient system of job search controls and sanctions. As part of this reorganisation, private placement agencies are invited to tender for the task *of reintegrating* unemployed and disabled workers.[67] The "comprehensive approach" further reduces the scope for non-compliance to job search controls by unemployed workers. A new feature of the system is the appointment of "case managers" who follow their clients (*i.e.* the unemployed or disabled workers) until they find a job. Unemployed and disabled workers have not only the right to this assistance but also the obligation to co-operate in the reintegration process. A new measure sent to Parliament this spring (the "Gatekeeper Act") aims at starting the reintegration process already during the period of sickness of workers. Employers have the responsibility of taking the necessary measures to prevent, as much as possible, the transition of workers to the disability scheme after one year of sickness. If they do not fully comply with this requirement they will have to pay their employees' wages for a longer period than one year of sickness.

Concerning the reintegration of partially-disabled workers through subsidies to firms hiring them (Rea Act), a recent evaluation has shown that this measure is not very effective. Hence, the government has proposed to replace it with cuts in employers' social security contributions for partially-disabled workers. Meanwhile, the Ministry of Social Affairs and Employment has been working for over two years on a new and very detailed *eligibility requirements system for the disability scheme* which should make the process of screening new disability claimants more objective and hence assure a more uniform implementation throughout the country. The new screening system, which is scheduled to be phased in progressively, could reduce the inflow into the disability scheme.

However, as past experience has shown, the problem of disability is very difficult to tackle. In the early 1990s, after a sufficient degree of public and political support had built up, the government introduced a new, more restrictive definition of "disability", with the requirement that people already in the scheme and below the age of 50 be re-examined under the new definition. At first, the results were impressive, with an unexpected large number of persons losing their disability status. But, as the re-examination process moved to older persons and, possibly, as a result of a public backlash, the results became progressively less impressive, and the total number of disabled started rising again. In the more recent period of very tight labour market conditions, a growing proportion of new benefit claimants have been accepted on psychological grounds. Given present trends, the number of disabled (in persons) is expected to pass the one million

© OECD 2002

mark in the near future – and this in a country with a population of a little over 15 million and a working population of less than 7 million (in full-time equivalents). The direct cost of the disability scheme amounts to some €11¼ billion, or 2½ per cent of GDP. While the new screening system will hopefully be a step in the right direction, more fundamental policy changes would seem to be required to curb the inflow into the disability scheme – including a major review of the eligibility criteria and the incentives for both employers and employees to avoid as much as possible using this scheme.

Given the size and urgency of the problem and perhaps sensing the emergence of a new socio-political consensus to "do something about it", the government appointed an independent commission (often referred to as the D*onner* C*ommission* from the name of its chairman) to make suggestions. Its report, released this spring, proposes a radical overhaul of the disability scheme, making it available only to "truly" disabled persons, *i.e.* persons totally and permanently disabled. Persons permanently but only partially disabled due to occupational injuries and diseases would be covered by a compulsory private employers' insurance (based on experience rating). Temporary disability would be treated as any other disease and hence it would be covered by the employers' wage payment obligation. While there has been general praise for the expertise displayed by the Report and its usefulness in focusing the discussion, few believe that the Donner Commission has provided a viable solution to the disability problem. The distinction between permanent and temporary disability may be difficult to define operationally, and the Report fails to spell out a number of crucial practical details concerning the implementation and supervision of the new system (to be essentially carried out by a suggested new independent council). Also, the Report does not tackle the problem of the growing role of temporary work agencies in the transition of sick workers to the disability scheme. Temporary work agencies, not having any wage payment obligations towards their sick employees, have no direct financial incentive to prevent these employees from remaining sick until they can claim a disability status. The risk has also been stressed that, if the scheme for the partially disabled were co-managed by the social partners, it might become the new route into the welfare system, with lenient examination criteria and topped-up benefit provisions administratively extended to whole sectors. Finally, the question of the very large number of people already in the disability scheme is not at all considered in the Report, which discusses only the "flow" aspect and not the "stock" aspect of the disability problem.

To improve the quality (or "employability") of its labour force and minimise mismatches – which have grown in the recent period –[68] the Netherlands, in addition to the active labour market measures mentioned above (essentially the "comprehensive approach") has engaged in a process of reassessing and reforming its *education and vocational system*.[69] The Vocational Training Act of 1996 led to the creation of 46 regional training centres (ROCs). The authorities feel that the results

© OECD 2002

have been broadly positive but a formal assessment of the ROCs is still under way. Concerning lifelong education, the Dutch national lifelong learning strategy covers the period up to 2010. The aim is to increase the proportion of the population between 25 and 64 years of age which is taking part in some form of adult or other education. By 2010 vocational education (comprising pre-vocational, secondary education, secondary vocational education and higher professional education) will be organised in such a way as to prepare participants for lifelong learning.[70] Another aspect of the ongoing reforms of the education system aims at providing more courses and practical training on entrepreneurship (see below).

Demand-side measures

On the demand side of the labour market, the Dutch government made a major effort in the second half of the 1990s to cut *non-wage labour costs* and reduce the tax wedge, especially at the lower end of the labour market. As discussed in the previous *Survey*, this effort included: the introduction in 1997 of cuts in employers' social security contributions – or payroll subsidies – for low-paid workers (SPAK);[71] the introduction also in 1997 of the Transitional-SPAK (a scheme designed to cushion the increase in the tax burden of employers who start paying workers more than the ceiling under which they qualify for SPAK);[72] and the introduction of additional reductions in social security contributions for a period of four years for firms hiring long-term and older unemployed (VLW scheme).[73] At the beginning of 2001, the Transitional-SPAK was abolished and substituted by features of the income tax reform aimed at reducing poverty traps (see above). At the same time, the VLW scheme, encouraging the hiring of long-term and older unemployed, was extended by reducing the minimum statutory age of older unemployed from 55 to 50, and increasing the maximum statutory income level from 130 to 150 per cent of the minimum wage.[74] While these measures have improved the situation at the lower end of the labour market, according to one measure,[75] the average tax wedge on labour has remained around the EU and OECD averages, with the combined social security contributions of employers and employees being among the highest in the OECD area (Figure 24).

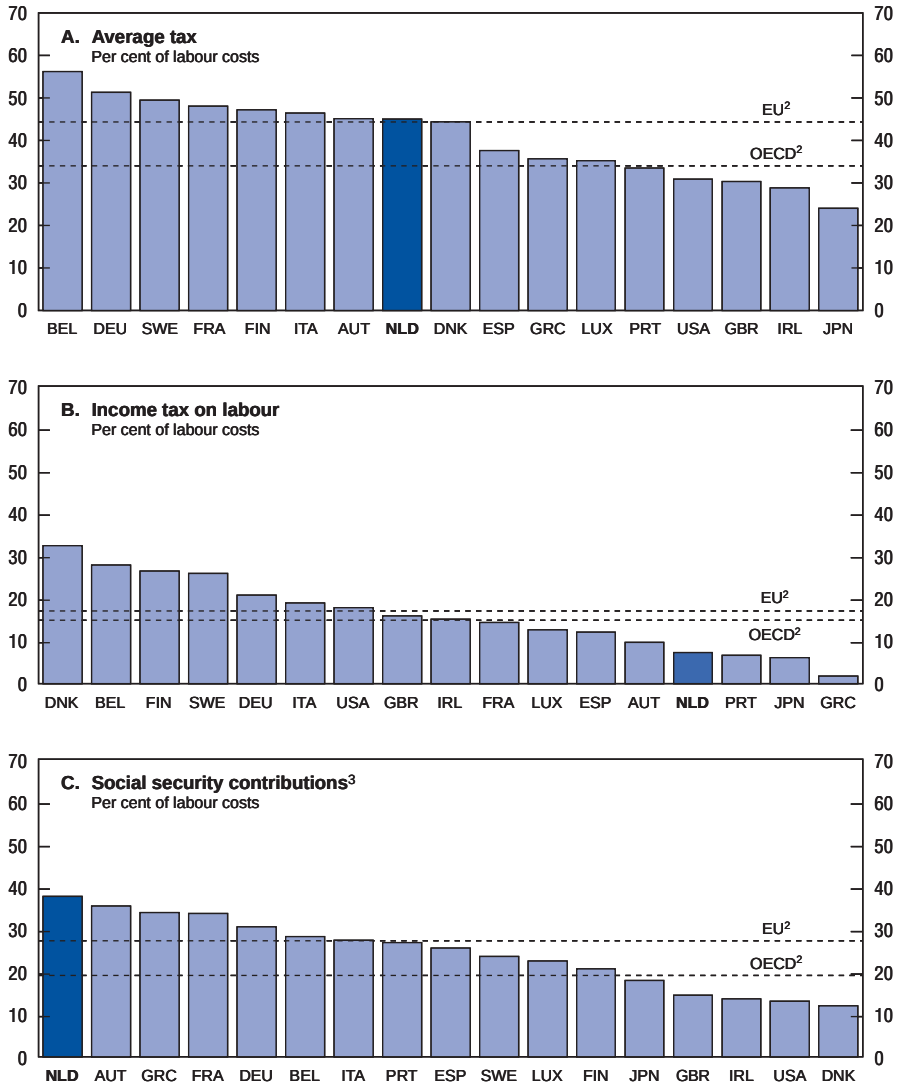
Over the past couple of years, several new demand-side measures have been decided or have been considered by the government in the Unemployment Act which may include: a requirement that employers pay a proportion of the unemployment benefits of dismissed older workers; a reduction in employers' social security contributions for newly-hired older workers; and a calibration of employers' unemployment contributions according to the number of workers dismissed.[76]

On the other hand, no major initiatives have been taken concerning two techniques which can enhance the demand for labour by making the wage formation process more flexible and more responsive to local conditions and individual

© OECD 2002

Figure 24. **Average tax wedge on labour: an international comparison**

For a single person with no children[1]
2000



1. The single person earns the wage of an average production worker. Data are estimates for 2000.
2. Weighted average using 1995 GDP as weights.
3. Contributions of employers and employees, calculated as average tax minus income tax on labour.

Source: OECD, *Taxing Wages 2000 Edition.*

© OECD 2002

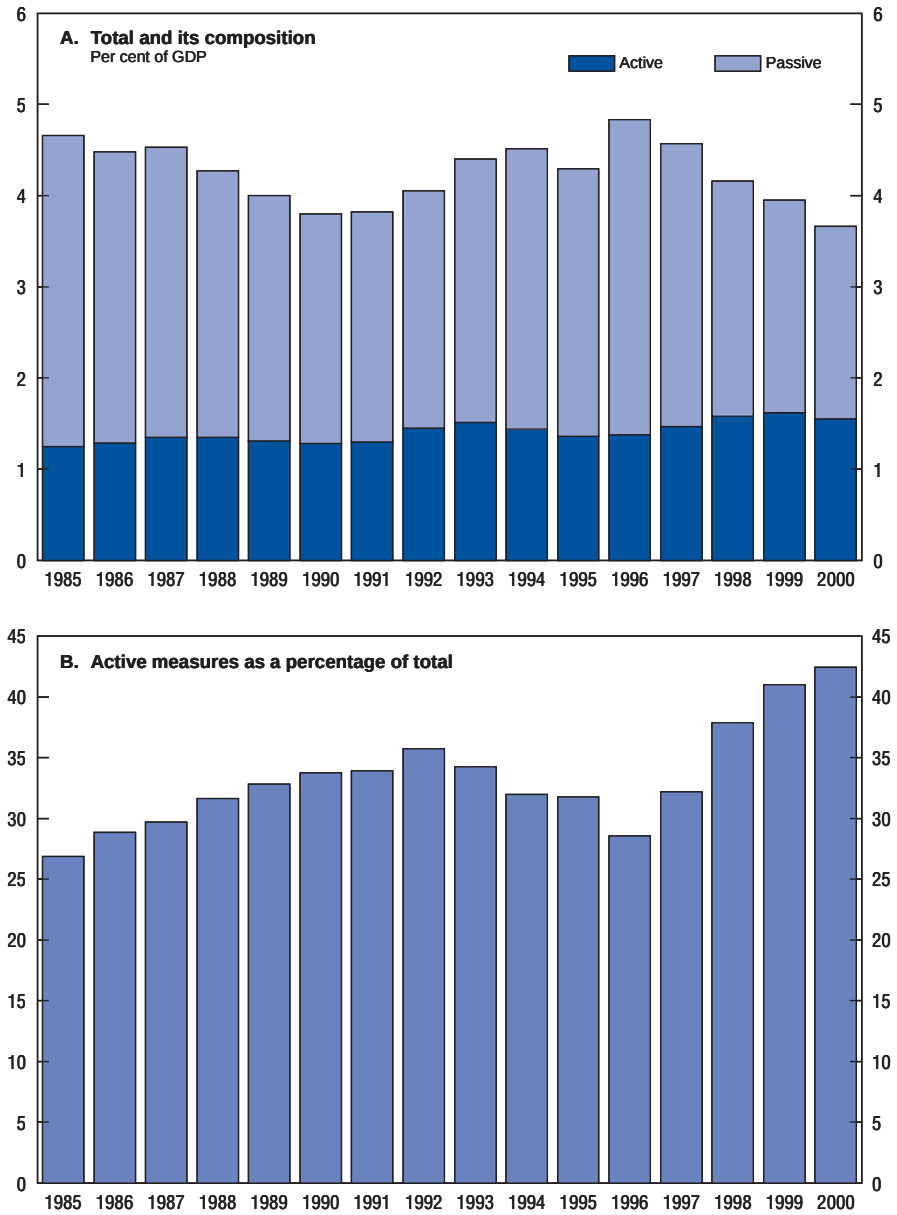
skill levels: first, the introduction in collective labour agreements of *bottom pay scales that are close to the legal minimum wage*; and second, "*opening clauses*" which allow firms under certain circumstances to negotiate with their workforce to pay below bottom pay scales (but not less than the legal minimum wage). Over the recent period, the lowest pay scales in collective labour agreements (CAOs) seem to have remained, on average, at 5-6 per cent above the legal minimum wage. At the beginning of 2000, about 14 per cent of all firms with a CAO were using the lowest pay scales, involving about 3 per cent of all workers. As regards "opening clauses", they are included in branch CAOs covering over three-quarters of the corresponding labour force. However, little is known concerning the effective use of these clauses. The authorities feel that current tight labour market conditions and the nature of jobs available often lead to an upward pressure on wages even at the lower end of the market, which makes it difficult to further reduce pay scales.

In addition to the "comprehensive approach", another reason for the progressive increase in expenditure on active measures as a proportion of total expenditure on labour market measures (Figures 25 and 26) has been the introduction and progressive expansion of direct job creation, or *subsidised jobs*. These jobs, which are currently referred to as "inflow/outflow jobs", comprise three main programmes with a total number of participants of around 150 000, on average, in 1999.[77] Reflecting the different aims of these programmes, outflows to the normal labour market, as a percentage of participants, varied greatly in 1999: from 21 per cent for jobs providing young people with a job experience (WIW-jobs) to less than 1 per cent for jobs for partially-disabled persons (WSW-jobs).

Job protection legislation is another factor which can affect the demand for labour. While a reasonable degree of employment security can help promote attachment of workers to their firms, thereby fostering investment in human capital, beyond a certain point, employment security provisions may become a cause of rigidities and make firms more hesitant to hire. In the Netherlands, the remarkable development of temporary work (or, more generally, flexible contracts) in the 1990s contributed to a more flexible use of labour. This could be seen as a second-best arrangement which, while reducing the degree of job security, alleviated the negative impact on employment of still restrictive legislation governing more traditional forms of work[78] (Figure 27). According to the authorities the Flexibility and Security Act of Jannuary 1999 tries to establish a new balance between the interests of employers (more flexibility) and of the employees (more security), so that the goal of making the labour market more flexible is achieved "in a responsible way", *i.e.* without unduly reducing employees' security. The Act contributes to enhancing labour-market flexibility, for instance, by increasing the number of possible consecutive fixed-term contracts. At the same time, it gives more security to employees with flexible or temporary contracts because it defines a temporary contract as a "normal" labour contract, with all the legal protection that this entails.[79]

© OECD 2002

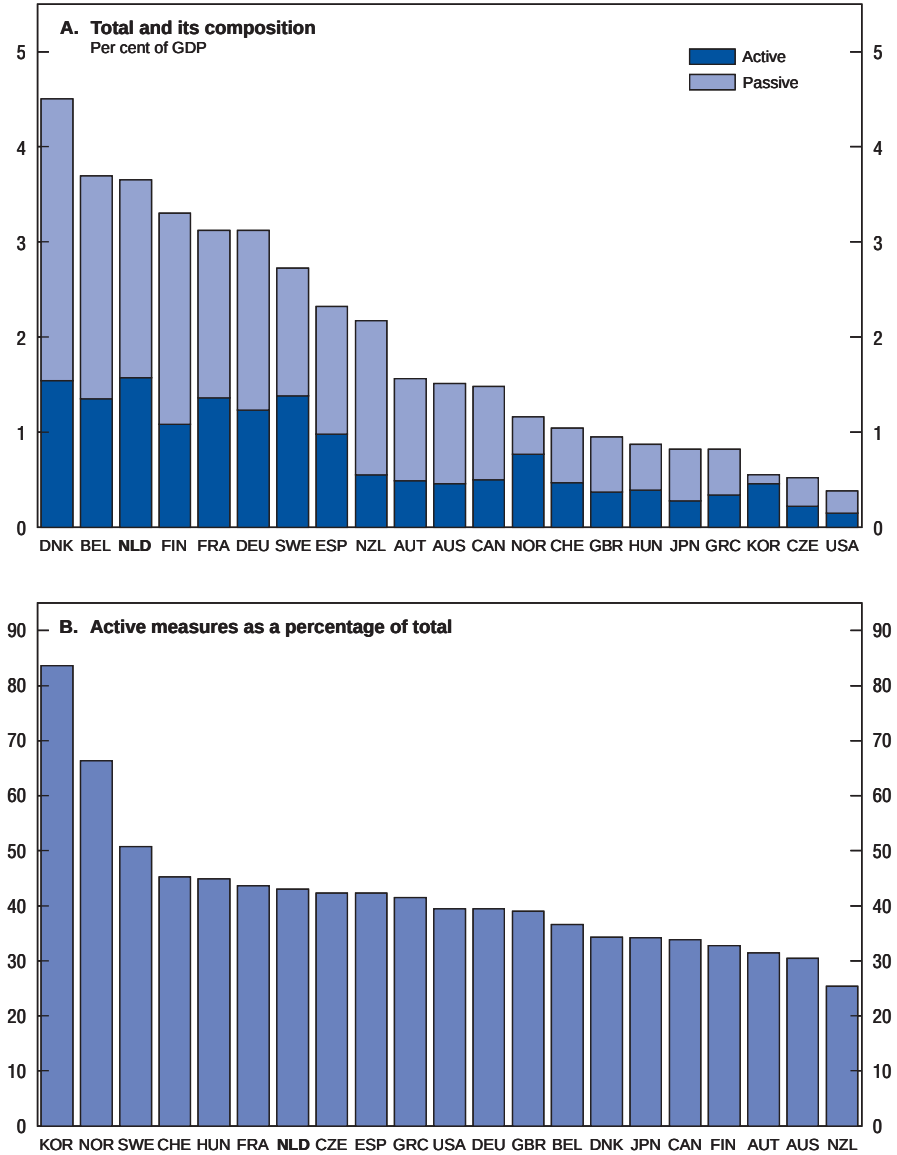
Figure 25. **Public spending on labour market measures in the Netherlands**



Source: OECD, *Employment Outlook.*

© OECD 2002

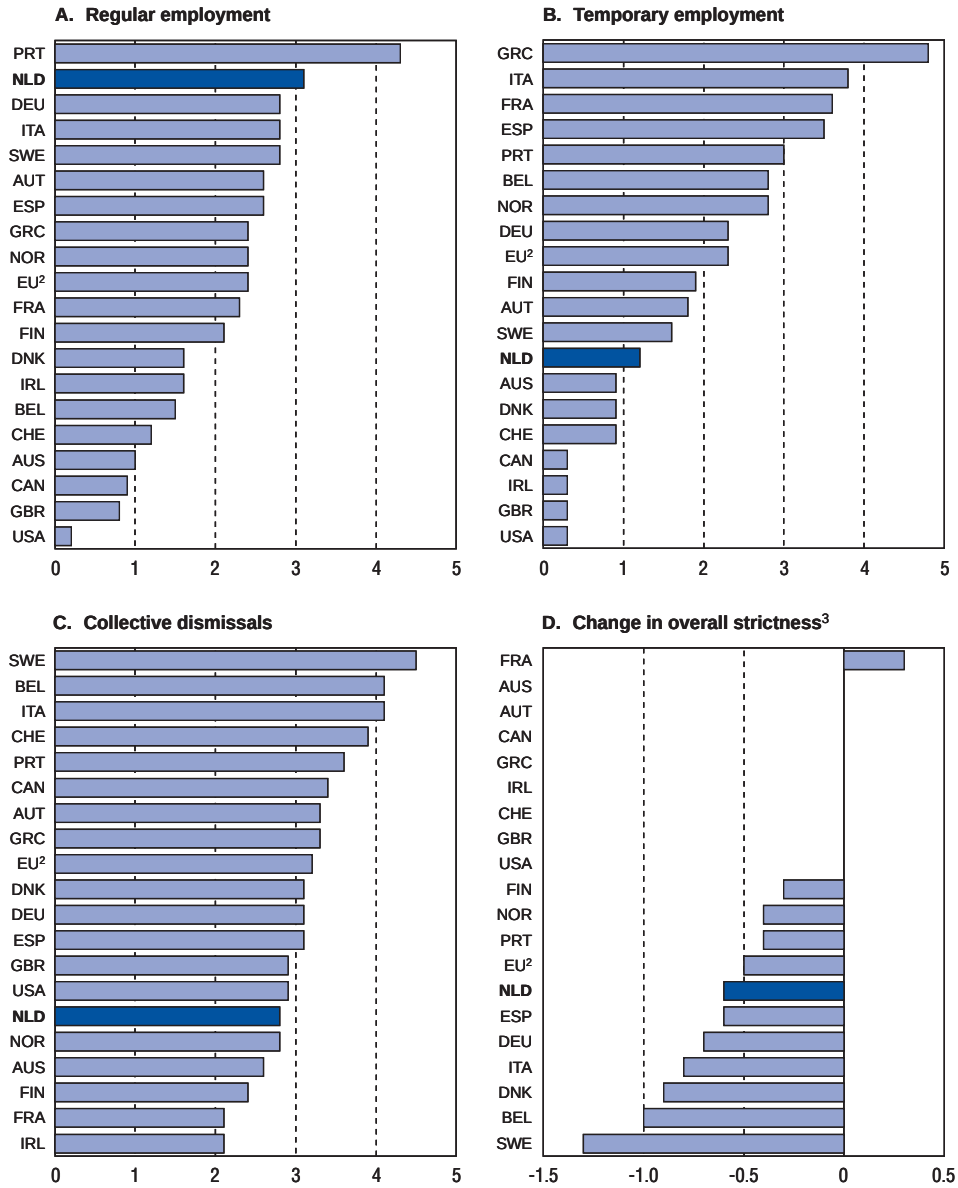
Figure 26. **Public spending on labour market measures in 2000:[1] an international perspective**



1. Calendar or fiscal years. For Belgium, Canada and France, 1999 and for Greece 1998.
Source: OECD, *Employment Outlook 2001.*

© OECD 2002

Figure 27. **Employment protection legislation**[1]
Late 1990s



1. Indicators of strictness of legislation. Scores can range from 0 to 6 with higher values representing stricter regulation.
2. Average of values for EU member countries, except for Luxembourg.
3. Overall strictness is the average of indicators for regular and temporary contracts. Change is the difference between the value in the late 1990s and that in the late 1980s.

Source: OECD, *Employment Outlook*, June 1999, pages 57-66.

© OECD 2002

Concerning job protection legislation for "traditional forms of work", in March 2000 an independent committee of experts recommended the abolition of the present dual dismissal system (either with the approval of the Regional Director of the Public Employment Service, or by a court decision), and the introduction of a dismissal system governed solely by civil law. The aim of this proposal is not to decrease the level of employment protection, but rather to make the dismissal system more efficient, *i.e.* to reduce the required cost and time of dismissal. The government has submitted these recommendations to a number of Civil Society Organisations,[80] and after having received their advice will decide on its position concerning the appropriate form of the dismissal system.

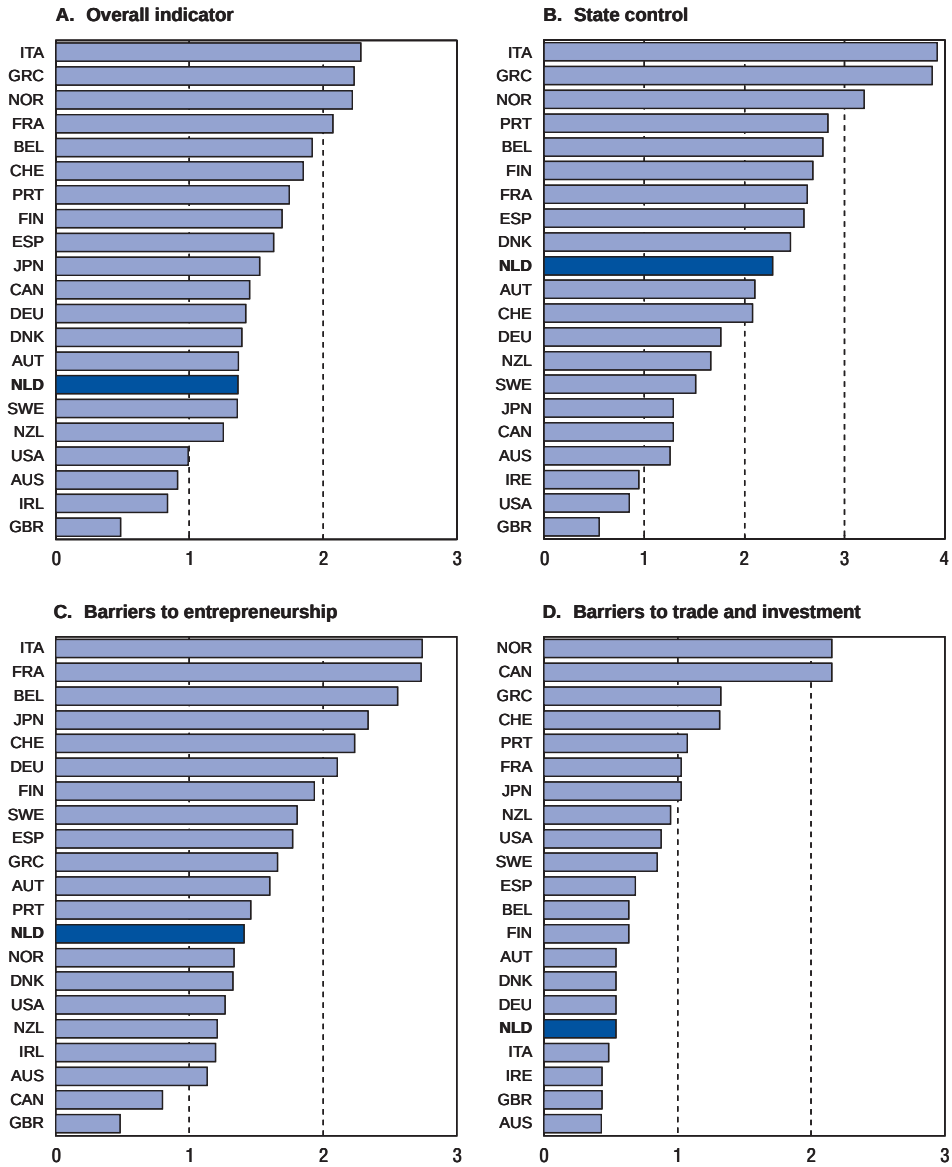
The authorities consider that current Dutch employment protection legislation does indeed restrict labour mobility, especially of older workers. However, they feel that this is not a major problem because, in addition to the perceived positive effects of a certain level of job protection legislation, available evidence suggests that owing to their firm-specific skills, older workers are worth more to their current employers than to new potential employers. Also, since it is difficult for older workers to find other jobs (because of their declining overall skills and productivity and the higher costs associated with hiring them), the authorities consider that it is better to invest in older workers to maintain or improve their job-specific skill and competencies rather than to enhance their mobility. More generally, external mobility – *i.e.* the number of people entering and leaving the labour market on a voluntary basis as a percentage of the total labour force – is high by international standards and has grown significantly in the recent period of tight labour markets and high vacancies.[81] On the other hand, internal labour mobility – *i.e.* the rotation of workers within their firm – has changed very little over the past few years, but according to the authorities, there is no evidence that it is insufficient.

Product markets

As a small, very open economy, the Netherlands has long benefited from a relatively high degree of competition in the sector of tradeable goods and services. On the other hand, until recently, state control and regulation were relatively high and barriers to entrepreneurship were also significant, mainly as a result of the Establishment Law which, however, is being phased out (Figure 28). Dutch product market policy has two main facets: the Market Forces Deregulation and Legislative Quality Project (MDW); and the tightening of competition through the implementation of the recent Competition Act and the deregulation and introduction of market forces in the formerly public utilities sector. This approach interacts with efforts to enhance entrepreneurship, encourage small and medium-sized enterprises, and meet the challenges set at the EU Lisbon Summit to move to a knowledge-based economy.

© OECD 2002

Figure 28. **International comparison of product-market regulation**[1]
1997-98



1. Synthetic indicators of strictness of legislation. Scores can range 0 to 6 with higher values representing stricter regulation.

Source: OECD.

© OECD 2002

The MDW *project*

According to the authorities, the strong point of the MDW project is that it tackles problems in a different way, since its various working groups are both interdepartmental and interdisciplinary, and are chaired by an independent person, supported by an interdepartmental secretariat. Over the past couple of years, efforts have focused on giving a new impetus to this project in two main ways: first, by introducing cost-benefit analysis[82] which, by clearly identifying the gains for both households and businesses, is expected to increase transparency and make implementation easier and faster; and second, by enlarging its scope and tackling issues especially important for consumers, which should allow the MDW project to regain popular support and momentum. High profile issues currently considered include: the protection of consumer interests when buying a new house from building companies; the quality of services provided by local governments; and, perhaps the most important one, consumer "switching costs", for instance when clients change from one bank to another or from one telephone company to another. The health care sector (where regulatory failures are very costly) is another key area currently considered by the MDW project with a view to identifying factors which limit access, and hence the degree of competition, in the medical profession. As the current shortage of medical personnel seems to be due to obstacles in both access to education and setting up practices, the relevant working group is considering ways to make access easier and change the "closed shop" situation, by increasing the number of training places at medical schools and lowering or abolishing entrance barriers for health care providers.[83]

In addition, the MDW project is considering the so-called "new framework" initiatives, which explore the use and design of various instruments, such as auctions and "beauty contests", in order to create a framework to underpin future policy decisions in the allocation of scarce public goods. For instance, a working party has just finished a report on the use of vouchers, which can give citizens more freedom in the use of collective goods since this instrument is more flexible than traditional regulation by laws and rules. This flexibility is seen as being especially important for sectors subject to fast technological changes.

Competition and deregulation of former public utilities[84]

The 1998 Competition Act declares both abuse of dominant position and restrictive agreements and practices to be illegal. It also includes a system of preventive merger control. It covers all sectors of the economy and is implemented and enforced by the newly-created Netherlands Competition Authority (NMa), which is dependent on the Ministry of Economic Affairs, although a bill to make it fully independent is currently with Parliament.[85] The Agency has significantly increased its staff, and after an initial period during which it had to deal with an unexpectedly large number of requests for exemption from the prohibition of

© OECD 2002

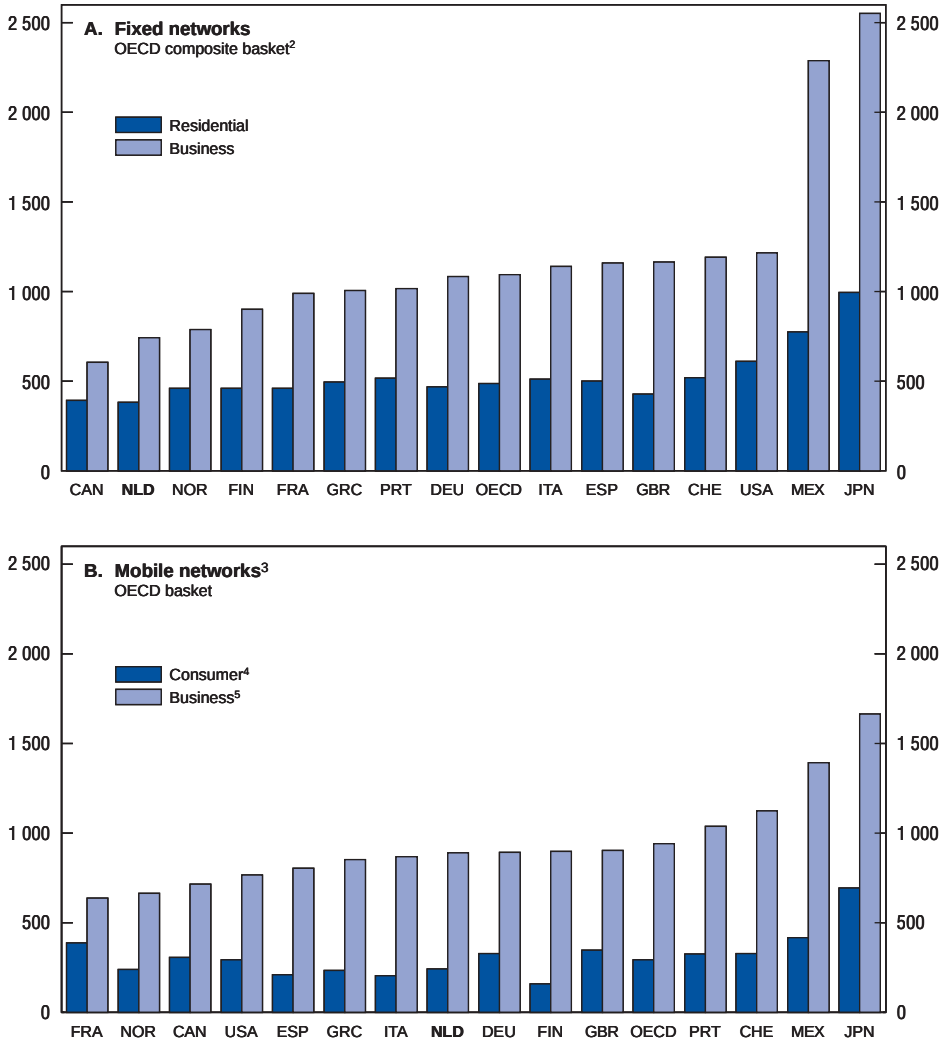
agreements that restrict competition and complaints about dominant position abuse,[86] it has started its own investigations, in several areas, including the healthcare system. One of its high priority investigations concerns the price of gasoline, an area where there may be scope for unbundling the vertical integration of gasoline stations and oil companies.

The deregulation and introduction of market forces in a number of former public utilities has been a rather uneven process, which has often been driven by EU policies to open these markets for competition.[87] More recently, this process may have been somewhat hampered by a seemingly growing public resistance with respect to liberalisation and privatisation in general, and concerning public services in particular, perhaps as a result of, among other factors, recent well-advertised problems recorded in the UK transport sector and the Californian electricity sector. Hence, the current emphasis of the Dutch government is on developing an appropriate framework of regulation and supervision to accompany the privatisation process which, in a summary form, has evolved as follows:

- *Telecommunications*. This is one of the areas where progress has been relatively rapid. The need for licences for infrastructure and services has been nearly fully abolished and several foreign companies have entered the Dutch market. However, although local calls have been fully liberalised, the formerly public operator, KPN, has remained in a quasi-monopolistic position.[88] Nonetheless, Dutch telephone charges for fixed networks are well below the OECD average for both households and business; charges for mobile networks are also below the OECD average, although by a much smaller margin (Figure 29). The newly-established independent regulatory authority for post and telecommunications (OPTA) is responsible for guaranteeing a level playing field but its power is very limited since it cannot take action on its own initiative and has to wait for an official complaint from market participants. Also, its responsibilities overlap with those of the Competition Authority (NMa). Although this situation has not resulted in major frictions,[89] to avoid potential problems, the government is expected, in the near future, to clarify the question of overlapping responsibilities concerning OPTA, the NMa, local authorities and, in the case of the cable sector, the Media Authority.
- *Internet*. Although Internet services in the Netherlands are provided by several companies, high speed access to Internet is still exclusively provided by a few broad band companies who own local cable networks.[90] Therefore, OPTA and NMa are considering to treat broad band services as a separate market in order to tackle the monopolistic behaviour of broad band companies.
- *Mail*. The recently-adopted Postal Bill has fully implemented the Postal Directive of the European Commission. According to the Dutch

© OECD 2002

Figure 29. **Telephone charges in selected countries**[1]
August 2000, in US$



1. Fixed and usage charges.
2. Domestic and international services plus calls from fixed to mobile communication networks.
3. Selected companies. Charges including tax.
4. The basket includes 50 minutes per month and excludes international calls.
5. The basket includes 300 minutes of which 60 are international.

Source: OECD, *Communications Outlook 2001*.

© OECD 2002

authorities this Bill has put the Netherlands ahead of other EU countries, since the reserved area is now restricted to letters weighing no more than 100 grams and costing no more than three times the unit tariff, compared with 350 grams and five times the unit tariff in the case of the EU Directive. However, letter weighing less than 100 grams represent the bulk of the market, and in the nominally free segment of the market for letters of up to 500 grams the national post group (TNT Post Group) has a market share of 95 per cent. Moreover, according to OPTA, prices should have fallen further in recent years, given the streamlining of the postal sector and the elimination of many small post offices.

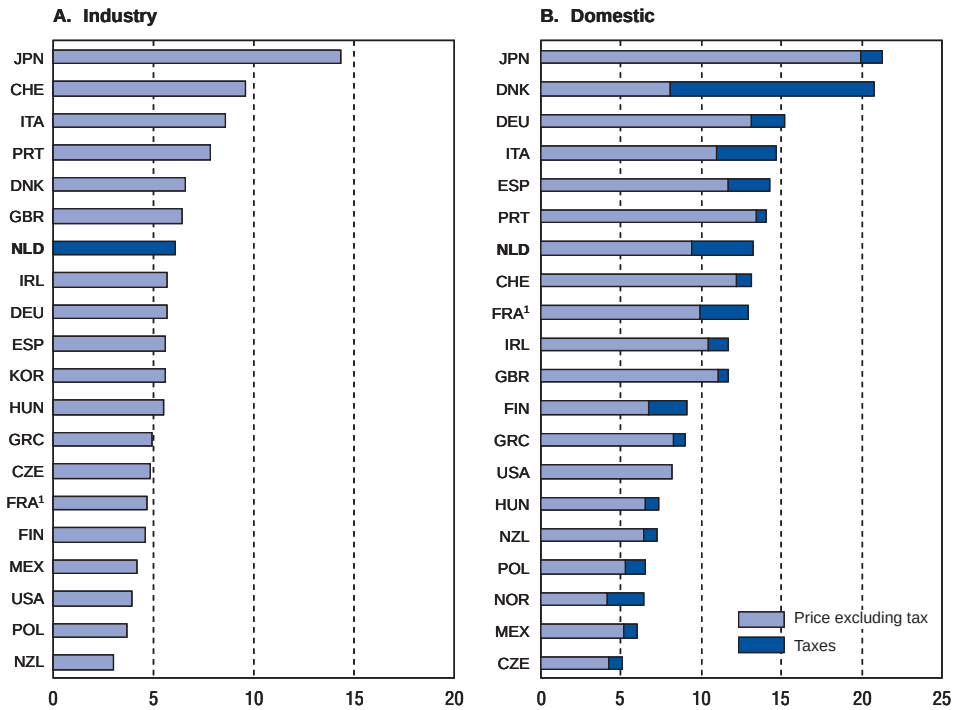
– *Electricity*. Following the Electricity Act of 1998, the production of electricity has been liberalised and a licence is no longer needed. Large energy users are free to choose among suppliers. Small and medium-sized users were originally scheduled to have this option only in 2007 but, with a view to accelerating the liberalisation process, the date has now been moved to 2004 and 2002, respectively.[91] However, a final decision will be taken by the government only after an evaluation of the Electricity Act in 2002. Due to capacity constraints on the international grid, competition from foreign suppliers is still not fully exploited in the Netherlands – the interconnection capacity has been entirely used since the liberalisation of this sector.[92] This may help explain that Dutch electricity prices are somewhat high compared with other OECD countries for both industry and households (Figure 30),[93] and that the European Commission has started an investigation of the Dutch electricity market.

– *Gas*. Owing to the 2000 Gas Act, which is in line with the EU Gas Directive, in August 2000 the gas market was liberalised for large-scale consumers, and next year medium-size consumers will also be free to choose their gas supplier. For the time being, the national distribution network is still managed by only one company (the Gasunic). In 2002 the gas market will have to be completely liberalised. Like in the electricity market the management and the legal ownership of networks will be separated.

– *Water*. Although the government proposed to Parliament to liberalise the market for water supply to large users this has still not been done. Hence, both industrial users and small and medium-sized customers remain captive. Also, contrary to earlier intentions, a system of compulsory benchmarking to monitor the performance of water supply companies has not yet been implemented, and benchmarking remains on a voluntary basis. A liberalised water market could lead to gains in efficiency of about 6 to 11 per cent of the water bill, according to the Ministry of Economic Affairs.

© OECD 2002

Figure 30. **Electricity prices in selected OECD countries**
In US$ per 100 kWh, 1999



1. 1998.
Source: IEA, *Energy Prices and Taxes 2001*.

– *Public transport*. The liberalisation process in this sector has been rather limited. At the beginning of this year, the Passenger Transport Law introduced six-year concessions (franchises) for private companies to operate public transport by bus. However, the auctions will take place only in 2006, and the concession period may not be sufficiently long to encourage companies to make the required investment. This Law is expected to be extended to railways at the end of this year. The Dutch Railways (NSRI) – a corporation with the state as the only shareholder – will be given a ten-year contract concession for the inter-city network (the infrastructure which connects 60 cities in the country). The local lines and the

© OECD 2002

high-speed service will be tendered to fully private companies. The aim of the government is to separate the rail infrastructure, which will remain the property of the state, from the transport services, which will be tendered to private companies. The authorities hope that this approach will improve the quality of services and attract some car users, thereby reducing road congestion. Concerning air passenger transport, it may be worth noting that, according to a summary indicator developed by the OECD Secretariat, the Netherlands is one of the OECD countries offering the most liberal environment.[94]

Entrepreneurship, small and medium-sized enterprises and the EU *Lisbon strategy*

Enhancing entrepreneurship and small and medium enterprises (SMEs) is one of the priorities of the Dutch government, which considers that the scope for improvement in this area is considerable since there are relatively few entrepreneurs, innovators and high growth firms.

- The number of entrepeneurs as a percentage of the labour force has increased from 8 per cent in 1984 to 11 per cent in 2000, but it remains lower than in the United States.
- The number of start-ups rose sharply in 2000, to almost 50 000, most of them in the services sector. Technology start-ups, however, represented only about 6 per cent of the total which, according to the authorities, is at the lower end of the prevailing international range of 5 to 10 per cent.

With the publication by the government of the *Entrepreneurial Society* in September 1998,[95] the policy approach in this area has shifted from solving specific problems to creating an attractive business climate with greater opportunities and fewer impediments to *entrepreneurship*. This new approach includes:

- Providing an efficient market structure. Hence, the scope of the Establishment Law was substantially reduced at the beginning of this year, and the Law will be entirely abolished by January 2006, at the latest (see Box 6).
- Providing adequate rules and regulations with a minimum of administrative and other burdens. Several initiatives of the MDW project discussed above go in this direction, notably the reduction of administrative costs for hiring the first employee. Also, the Bankruptcy Act is to be amended to reduce the stigma of business failure or, more precisely, to facilitate the restructuring of financially distressed firms.[96]
- Providing incentives to entrepreneurship. The income tax reform implemented at the beginning of this year contained a special package of financial incentives for entrepreneurs. Moreover, according to the *Entrepreneurial Society*, incentives and subsidy schemes in this area are to be made simpler and more accessible; the budget of the SME Guarantee

© OECD 2002

Box 6. The Establishment Law

- The Establishment Law of enterprises of 1954 covered, in principle, the whole business sector, but in practice, it applied especially to small and medium-sized firms. Its purpose was to foster the quality of enterprises. Hence, it forbade the establishment of a new business without a proper licence and set minimum qualifications in terms of general business education (notably accounting) and professional or skill competence with related, specific exams. In this way the Law sought to avoid the negative effects of unfair competition by unqualified firms – a preoccupation dating back to the Great Depression. While the Law did succeed in improving quality and standards by imposing even stricter minimum requirement, it also resulted in the segmentation of an important part of the economy, since many establishment regulations effectively represented barriers to entry which prevented inter-branch competition and reduced the overall level of flexibility and competition in the economy.
- Following a major reform and simplification in 1996, the Law had only three levels of requirements. The basic requirements covered aspects of business practice, namely general business skills. In some sectors (construction, installation, transport and food and drink) there were additional requirements for management skills. For three occupations (bakers, butchers and electricians) in addition to the above requirements, there were also requirements for technical skills.
- An evaluation carried out in 1998 concluded that the Establishment Law is not an effective, efficient and essential instrument in fostering the quality of entrepreneurship. The evaluation confirmed that the Law acts as a barrier to entry for new businesses, with a potentially harmful restraint of competition. Therefore, the government decided to largely repeal the Law as of 1 January 2001 – the exceptions being its health, safety and environmental aspects – and to fully repeal it by January 2006 at the latest.
- In the transition period to end 2005, the government will translate the health, environmental and safety requirements of the Establishment Law into appropriate new legislation. The result, according to the authorities, will be to make the process of starting a new business simpler and cheaper, while continuing to ensure consumer protection with respect to health and safety aspects.

Scheme[97] is to be increased; the education system is to be modified to include courses on entrepreneurship with some practical training; growth barriers are to be reduced by focusing on coaching and networking of high growth entrepreneurs; incubators for high technology spin-offs from universities are to be enhanced; and advice and support is to be provided to entrepreneurs engaged in exporting.

© OECD 2002

According to the authorities, in branches where the Establishment Law has been repealed there has already been a significant increase in the number of start-ups. More generally, the full repeal of the Establishment Law combined with the introduction of courses on entrepreneurship in the education system, the modification of the Bankruptcy Law, and the lowering of the administrative costs of hiring the first employee could result, by 2005, in the creation of some 67 000 new jobs.

As in the case of entrepreneurship, the government policy with respect to SMEs, firms in the high-tech sector, and R&D consists essentially of providing an appropriate climate for business and research, leaving it to each firm to make its own strategic choices in order to seize opportunities available in the global market. The government White Paper "*Scope for Industrial Innovation*" outlines measures which aim at countering market failure, notably in the field of R&D.[98]

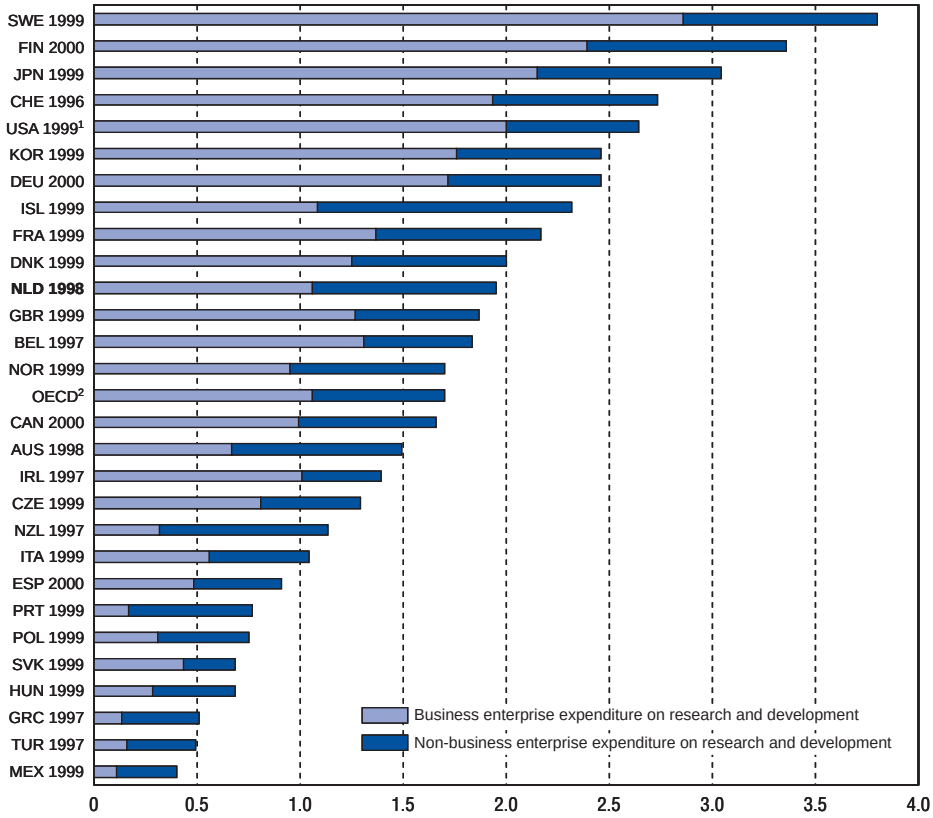
The Netherlands fully endorses the objective the EU *Lisbon Summit* to make the European Union "the most competitive and dynamic knowledge-based economy in the world by 2010". This objective, according to the Dutch authorities, requires further wide-ranging structural reforms, such as an acceleration of the liberalisation of network sectors (energy and telecommunications), a rapid completion of the EU internal market for financial services and, as discussed above, the activation of a significant number of benefit recipients not in employment. To implement the Lisbon agenda, the government added €1.2 billion in the 2001 budget.

The government believes that the Netherlands must benefit from a high quality of general and fundamental research, which requires a climate in which investment in knowledge is highly attractive. According to OECD calculations, in terms of expenditure on R&D as a per cent of GDP, the position of the Netherlands is and has long been above average among OECD countries (Figure 31).[99] However, according to the authorities, the Dutch position in this respect is not fully satisfactory since it should be at the level of the world leaders. One important step towards correcting this situation has been the reduction of the capital tax in the 2001 income tax reform.[100] Moreover, the government intends to: increase its investment to strengthen the Netherlands' innovative capacity to a total of around €½ billion over the next decade; improve the transfer of knowledge to SMEs; and, as noted above, support incubator facilities for high-tech and innovative start-ups from universities to make better use of publicly financed knowledge. But even more important than financial support may be the availability to potential users of the existing national and international knowledge base. The Netherlands has a relatively large and advanced public research infrastructure, and the government has already taken the initiative to improve the match between this infrastructure and society's knowledge requirements, for instance through the introduction of target funding (with private co-financing requirements) from the Netherlands Organisation for Applied Scientific Research (TNO) and the Large Technological Institutes (GTIs).[101, 102] But further structural changes in the public research system is needed to improve effectiveness and accessibility.

© OECD 2002

Figure 31. **Expenditure on R&D in OECD countries**

Per cent of GDP



1. Excludes most or all capital expenditure.
2. Average of countries in graph.

Source: OECD, *Main Science and Technology Indicators* Volume 2001, Issue 1.

Financial markets

It is generally accepted, and there is some empirical evidence supporting this view,[103] that the financial system plays a significant role in stimulating economic growth, essentially by funding (in an efficient way) capital accumulation and enhancing the diffusion of new technologies.[104] As in most other OECD and especially EU countries, the Dutch financial sector has gone through a period of major changes as a result of market forces triggered by European integration, globalisation and the introduction of new technologies.

© OECD 2002

According to the Dutch authorities, the Netherlands has been at the forefront of these developments as a period of *consolidation* among financial institutions took place already at the beginning of the 1990s, with the creation of a few big players. As a result, as in other smaller countries, concentration in the banking sector reached a relatively high level, already a few years ago, and no major further concentration has been recorded in the more recent period. On the other hand, in the insurance sector, where the number of participants was still relatively high, the degree of concentration has increased markedly. As regards the equity market, the Amsterdam, Brussels and Paris stock exchanges have been merged into Euronext, with the aim of increasing liquidity and transparency, and reducing transaction costs – with an estimated cost saving of €50 million a year. Lower costs will essentially be the result of a single trading system, central clearing, and a unified settlement and custody system (which will become fully operational only in the course of this year). After the initial one-off cost of making their systems compatible with the new Euronext system, Dutch financial institutions are expected to increasingly benefit from lower trading costs, a higher trading turnover, and, possibly, more under-writing activities.

Hence, the Dutch financial sector may be characterised as being quite open, with a high level of both inward direct investment by foreign financial institutions and direct investment abroad by domestic financial companies which have traditionally been very internationally-oriented.[105] While there are no specific data concerning *competition* in the Dutch financial system, according to the authorities, price competition has intensified on mortgage lending and internet saving accounts, which seem to point to an overall increase in competition in the banking sector. Efficiency ratios (*i.e.* cost/income ratios) of the big Dutch banks have shown no unequivocal or significant changes over the past few years.[106] In the insurance sector, competition has intensified through the use of a multiple-channel strategy with insurance policies being issued in supermarkets, gas stations and over the Internet. In recent mergers, insurance companies have stressed the potential for efficiency gains. All considered, Dutch households and businesses seem to have benefited especially from cost reductions in the financial sector stemming from the use of Internet, which have been passed on, at least partially, to consumers. Hence, interest rates on online bank accounts are higher and commissions for various investment operations are lower compared with traditional channels. It remains to be seen whether better terms on online services will be permanent or whether they are used just to gain new customers in a fast-growing market.

A number of measures have been taken to improve shareholders' voting rights and strengthen *corporate governance*:

- Arrangements making proxy voting impossible have been outlawed.
- Legislation is being prepared to require disclosure of remuneration of the members of the supervisory board and executives (including incentive schemes such as stock option schemes).

© OECD 2002

– A law proposal accepted by the Lower House in March 2001 requires that the adoption/approval of the annual accounts and the approval of policies pursued by the executive directors and supervisory directors be placed as separate items on the agenda of annual general shareholders' meetings.

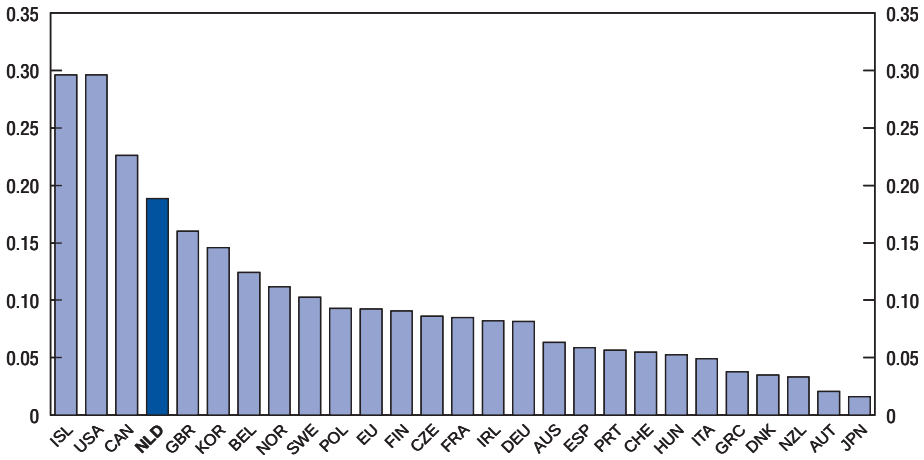
– The government is preparing various law proposals to: abolish restrictions to shareholders' voting rights in situations other than during a hostile take-over bid; introduce the right for shareholders to put certain items on the agenda of the annual general shareholders' meeting; change the so-called "structural regime" in the company law to end the power of the supervisory board to appoint its own members, and give shareholders the right of appointment, as well as the right to fire the supervisory board and to participate in decisions concerning fundamental corporate changes.

As regards *financial supervision*, since 1999 the three Dutch supervisory bodies in this sector have established common regulatory rules for cross-sector issues, and co-ordinate their supervisory activities (which also cover financial conglomerates) in the Council of Financial Supervisory Bodies. The online (Internet) services of investment firms are supervised by the Securities Board of the Netherlands. The legal requirement of the Securities Legislation apply to online brokers which are treated as investment firms, and to online trading platforms which are treated as securities exchanges. In view of the boom in the mortgage market in the past few years and the attempt by individually operating financial intermediaries to play a larger role in this market, the government believes that these agents should be submitted to supervision on market conduct. This opinion is based on a recent analysis by the government which stresses the need for a consistent regulatory framework for all financial intermediaries, separating supervision according to functions rather than according to financial institutions.

All considered, the authorities are of the opinion that Dutch financial markets are in fairly good shape and could weather a major correction in equity prices as well as in Dutch house prices. Also, although further progress is still possible and desirable – especially, as noted above, with respect to SMEs – the financial system, broadly speaking, is seen as performing rather well its role of financing the accumulation of physical capital and allocating resources towards high-return projects. They believe that, given its strong international orientation, the Dutch financial system is poised to benefit significantly from the new opportunities that the completion of the single European market in financial services is likely to entail. With respect more specifically to venture capital,[107] while its availability in relation to GDP is relatively high compared with other European countries, it is significantly lower when compared with the United States (Figure 32), and it may not be directed towards technology-based sectors as much as in the

© OECD 2002

Figure 32. **Private venture capital investment in early stages and expansion**
1995-2000[1]
Per cent of GDP



1. Data refer to investments in the country of management *i.e.* investments made by venture capital funds located in a given country. Data refer to 1995-98 for Australia, Korea, Japan and New Zealand, and to 1998-2000 for Czech Republic, Hungary and Poland.

Source: Baygan, G. and M. Freudenberg (2000), "The internationalisation of venture capital activity in OECD countries: implications for measurement and policy", OECD, *STI Working Paper No. 2000/7.* Figure 10 page 27 and updates.

United States. According to the authorities, this situation may reflect, among other factors, the difficulty of properly assessing the risk attaching to investing in start-ups in the so-called "new economy". Hence, in addition to the measures discussed above, the Ministry of Economic Affairs intends to propose a system of risk-assessment of intangible assets, and introduce a scheme to enhance venture capital investment.

The health care system

The health care system was the topic of the special or in-depth chapter in the 2000 S*urvey*. The conclusion was that, as in other health care systems, the Dutch system suffers from many rules, rigidities and distorted incentives. But there did not seem to be an urgent need for drastic corrective measures, and a major change in the existing balance between risk-based private insurance and income-based public insurance seemed socially and politically unfeasible. Bearing these constraints in mind, it was suggested that reforms should concentrate

© OECD 2002

over time on replacing some rules and regulations with marked-based solutions, as well as streamlining and developing administrative and evidence-based mechanisms. Since then a fair number of measures have been introduced, mostly in line with the suggested step-by-step approach. However, perhaps as a reaction to the persistent problems of waiting lists, a few plans for a major overhaul of the system have been presented and are currently under consideration.

Gradual reform of the health system

Over the past couple of years, the authorities have been engaged in a process of gradually modifying the health care system, starting with the collection of ideas and suggestions, to be followed by the formulation of specific proposals and their progressive implementation. The underlying idea is that, after many years of economic prosperity, Dutch society is no longer willing to tolerate the most glaring shortcomings of the present system, with waiting-lists providing a sort of catalyst for this new critical attitude. Through their gradual approach, the authorities aim at: first, increasing the degree of risk borne by private insurance companies; and, second, relaxing government rules and regulations affecting the supply of health care services. The ultimate goal is to move towards a system of managed competition, with the effective degree of deregulation and competition varying among different subsectors. In terms of funding, although the current coalition agreement for the period 1999-2002 set an overall expenditure growth norm for the health care sector of 2.1 per cent per annum in real terms, total expenditure is estimated to have increased by 3 per cent in 2000, and is expected to increase by 5¾ per cent this year, with a further acceleration envisaged in 2002. A large share of the additional spending is aimed at increasing the number and remuneration of medical personnel in general, and nurses in particular.

With a view to reducing *waiting lists* the government has provided more funds and has increased the responsibility of health care providers in the allocation of these additional funds. Insurers are expected to negotiate with hospitals and other health care providers in order to agree on plans for reducing specific waiting lists. These plans, if accepted by the Health Care Insurance Organisation, can then be implemented. According to the authorities, the results so far, have been encouraging.[108] In addition to making more funds available, the problem of waiting lists is being tackled by correcting some of the problems of the current system through an increase in the number of qualified personnel and changes in the way health care institutions operate. For instance, the government is trying to make the purchasers of health services more efficient by gradually increasing their financial risk and the degree of competition in this area.

As regards *competition in the health care system in general*, at the end of 2002 the Competition Act will be fully applicable to all health care providers. This means that the government will have to be very careful in regulating negotiations

© OECD 2002

between health care insurers and health care providers, and, more generally, in regulating competition and pricing in this sector. According to the authorities, it will take a rather long period of time before "normal" markets will form in all different sectors of the health care system. During this transition period, the government sees its role as one of developing instruments and establishing an environment enhancing fair competition. A beginning has already been made in the market for pharmaceuticals,[109] and other subsectors will follow, with the case of hospitals at the end of this process. As noted above, a working party of the MDW project as well as the Competition Authority (NMa) are currently exploring the question of competition in the healthcare sector in general.

The *private insurance sector* is a free competitive market but, for high-risk persons private insurers must offer a standard package (WTZ)[110] with a relatively low contribution determined by law, and the remainder being paid by privately-insured persons younger than 65. Hence, private insurance companies bear no risk for managing the WTZ scheme. Compensating private insurers only for the expected (rather than the effective) shortfall in contributions in this scheme would make them bear some of the risk, thereby giving them an incentive to minimise health care costs. But, according to the authorities, a proposal along this line might be difficult to implement and, hence, they are considering the possibility of integrating the WTZ scheme into the basic public scheme (ZFW).

In the *public insurance sector*, although insured persons can switch from one sickness fund to another once a year and every sickness fund is obliged to accept everybody entitled to public insurance, competition is relatively weak. This is mainly due to a lack of transparency and insufficient knowledge of insured persons. Moreover, members' contributions are essentially income-based and are paid to the social security system. Only a small, lump-sum contribution is paid directly to the sickness funds. This nominal contribution can vary from one sickness fund to another. Hence, switches are generally motivated by differences in nominal contributions as well as in services provided – *i.e.* essentially the extent to which sickness funds, through their dealing with health care providers, succeed in ensuring the quality and timeliness of health care. Although still limited, switches have become more frequent over the past few years, pointing to a somewhat more competitive environment even in this sector.

As noted in the previous *Survey* a system of *personal budgets* for long-term care (AWBZ)[111] was introduced already in 1996 and has been progressively expanded. It now applies to important sectors of the AWBZ scheme such as elderly care, home care, and care for the mentally and physically disabled. This technique, which enables people with a care indication to purchase their own assistance (subject to certain conditions) seems to result in greater patient satisfaction and a better match of demand and supply of health care, but it also entails higher administrative costs. However, given the positive overall assessment of

© OECD 2002

personal budgets, Parliament has asked for a substantial increase in its use in the AWBZ scheme. The authorities are also preparing a system which, by relying on the assessment of institutions belonging to local authorities, will try to determine the amount of long-term care needed by every patient.

Part of the additional funds provided by the government will be used to increase the *number and remuneration of physicians* and decrease the workload of general practitioners, for instance by creating *another structure of primary health care* which will provide general-practitioner services during out-of-office hours. This should allow to strengthen the role of the general practitioner as a "*gate-keeper*" of the health care system. Another aim of the authorities is to devise ways of making "*consumers*" – *i.e.* patients – better informed, and more able to make their own choices, two conditions which will become increasingly important as more competition is injected into the health care system.

Plans for a major overhaul of the system

The growing impatience of public opinion towards the problem of waiting lists may have been one of the reasons for the recent revival of proposals for drastic reforms. The Social Economic Council in March 2000 published "*Health Care in the Netherlands for an Ageing Population*", which was followed in December 2000, by "*Towards a Sound System of Healthcare Insurance*". In the second publication, the Social Economic Council suggested a major overhaul of the current system and provided the broad lines of an alternative health care system. In a nutshell, it recommended replacing all the existing different types of health care insurance schemes, with one single health care insurance for the entire population. Broadly the same suggestion was made by the Council for Public Health and Healthcare in its January 2001 publication "*The Division of Rules between the Participants in the Healthcare System*". Both institutions see a general health care insurance system as a necessary condition for the proper working of a system of managed health care competition – the goal towards which the government has been striving for a number of years with its gradual approach. Following up on these suggestions, the government recently sent to Parliament plans for a major overhaul of the health care system, the key features being the introduction of a general health care insurance system (see Box 7).

Assessment and scope for further action[112]

As the above discussion has shown, the Netherlands is pursuing structural reform on a very wide front, with an impressive number of measures and initiatives at different stages of implementation. However, the pace of the reform process seems to have slowed and no major breakthroughs have been recorded in this area over the past couple of years. Yet, labour shortages, which are expected to persist despite the slowdown of the economy, and the projected ageing of the

© OECD 2002

Box 7. The government plan for a new health care system

A. Reforms will take place along two tracks:

i) The current *centralised supply-driven system* will be transformed into a *decentralised and demand-driven system*.

- The government will end its co-ordinating role. Through negotiations health insurers and health care providers will determine the prices and quantities of health care to be delivered. Hence, "health insurers" will become "purchasers of health care".
- A *self-regulating system* will be put in place in which patients, health insurers and health care providers will be given incentives to ensure an efficient supply of high-quality health care and to contain health care expenditure.

ii) The government will reform the *health insurance* system, by introducing a new universal insurance system for basic health care. This insurance will replace the current public and private health insurance systems in 2005.

- The new universal insurance will be introduced *by law*, and will be compulsory for everybody. It will be provided by private parties.
- The universal insurance will cover a fixed package of "necessary care", which will be the same for everybody.
- There will be a minimum level of compulsory co-payment, but consumers will have the possibility of choosing higher levels of co-payments (in exchange for lower premiums).
- Other possibilities for consumer choice are: to use "preferred health care providers"; and – to a certain extent – to use collective contracts (between employers and insurers).
- Insurers will have to accept every citizen, and will have the obligation to deliver health care.
- There will be a system for dividing premiums and resources between insurers on a risk-adjusted basis (based on objective criteria like age, health, region).
- After 2005, the "long-term care and exceptional medical expenses scheme" (AWBZ) will be gradually integrated with the new insurance for basic health care and be brought under the "financial risk regime" of the new insurance as much as possible.

B. Various points remain to be spelt out, including:

- The composition of the compulsory health insurance package.
- Whether the premium should be income-related or a lump sum.
- The level of compulsory co-payment and the specific options for co-payments.

© OECD 2002

population, make the case for structural reform especially compelling. In fact, if the Netherlands wants to resume the remarkable performance of the 1983-2000 period, with sustained growth in per capita GDP and broad price stability, it urgently needs to take measures, including a major stepping up of structural reform in the labour market and in the economy as a whole to avoid an overshooting of the international adjustment process, to boost productivity growth, and to progressively adjust the economy to meet the challenge of population ageing.

Basically, the government should rapidly introduce most of the measures already in the process of being implemented or under consideration. However, measures to increase the demand for older workers, like cutting employers' social security contributions for them – with the size of the cuts possibly increasing with the age of the worker – may be acceptable as a second best policy only to the extent that inflexible seniority-based scales cause a problem. It would be more appropriate to enhance the demand for older workers by increasing their productivity through retraining and life-long education as well as by making wage scales less dependent on seniority. As for the proposal to make employers pay a proportion of the unemployment benefits of dismissed older workers (except for workers hired above a certain age), it has a positive and a negative effect. The Dutch authorities consider that the positive effect, *i.e.* the expected boost in the participation rate of older workers will outweigh the negative effect, *i.e.* the increased reluctance of employers to hire middle-aged workers in the face of higher firing costs for older workers (which are equivalent to a tightening of employment protection legislation). The impact of this measure should therefore be carefully monitored and corrective action should be taken if necessary.

Due to the scope for action and the magnitude of potential results, supply-side labour-market initiatives – notably concerning inactivity – and a sustained significant increase in the employment rate (in full-time equivalents) should be at the top of the policy agenda. Efforts should focus on drastically curtailing the flow of persons into the disability scheme and other welfare schemes which often imply a permanent effective exit of these persons from the labour force (the "flow aspect" of the inactivity problem). Hence, the government should speed up as much as possible the usual Dutch process of consultation, with a view to presenting to Parliament in the near future concrete measures derived from the work of the Donner Commission. However, if the distinction between a public scheme for totally and permanently disabled persons and a private scheme for partially disabled persons is retained, with respect to the latter care should be taken to avoid a relaxation of eligibility criteria and the topping up of benefits with an administrative extension of these provisions to whole sectors. (At the same time, the existing practice of topping-up benefits in the first year of sickness, which reduces incentives to work, should be discouraged.) Also, ways should be found to close the loophole represented by temporary work agencies in the transition of workers from work to disability. Ideally, this should be done by requiring

© OECD 2002

temporary work agencies, like normal employers, to take the necessary measures to enhance the reintegration of sick workers without, however, changing the nature of these agencies as suppliers of flexible labour.

Although the emphasis should be on stemming the flow into inactivity – especially through stricter eligibility criteria and stronger incentives to work – measures taken in this respect should be extended to the "stock aspect" of the inactivity problem, *i.e.* the return of at least some of the inactives to the labour force. This may seem a daunting task, since a large proportion, if not the majority, of these persons are above 50 and have been away from the labour market for a relatively long period of time. Nonetheless, given that labour shortages are expected to persist and that the effects of population ageing are beginning to be felt, in a way, it is "now or never", and forceful action in this direction would be a powerful signal that the authorities are indeed serious about increasing the employment rate in full-time equivalents and reducing inactivity in all its forms. It would thus seem imperative to try a wide-ranging approach which, while remaining within the consensus-based Dutch model, would seek to enhance reintegration essentially through the use of financial incentives but also financial or administrative penalties.

As regards incentives, the government should essentially consider improving them through a major reduction in unemployment and poverty traps to be achieved by replacing various income-related subsidies which increase the purchasing power of inactives with a strengthening of the recently introduced earned income tax credit – a measure which could help correct both the stock and the flow aspect of inactivity. The likelihood of a positive response from inactives could be reinforced by combining incentives with a degree of administrative and financial penalties, such as:

- Reintroducing normal job search controls and the application of benefit sanctions for unemployed 57½ and older.
- Further tightening the enforcement of this requirement for certain categories of persons on social assistance.
- Introducing a new re-examination process for all "disabled" already in the scheme, based, as much as possible, on the more stringent requirements suggested by the Donner Commission for new applicants.
- As a flanking measure this approach should be accompanied by appropriate programmes of counselling and retraining (similar to the already existing "comprehensive approach"), and the creation of additional subsidised jobs for activated persons who do not find normal employment after the retraining period.

In the health care sector, the fact that a full overhaul of the system is again in the forefront of public discussions may reflect a widespread desire to

© OECD 2002

see a substantial improvement in the performance of the system, and notably a rapid correction of the problem of waiting lists. According to the authorities, there is a large consensus in the country to transform the present centralised and supply-driven system into a decentralised and demand-driven system. Although some major elements are still subject to political controversy, the general approach, as outlined in the plan recently submitted by the government to Parliament, looks promising and should be pursued vigorously, taking care to strike an appropriate balance between considerations of performance and efficiency and the principle of equity or equality of treatment which is especially important in the Netherlands. Meanwhile, the current gradual approach needs to be continued and accelerated. Specific areas where further progress is required include: an increase in the supply of medical staff (to be achieved mainly by removing obstacles to education, training and setting up practices); the definition of standard procedures and treatment in health care; the reliance on a therapy-based payment system for in-patients; and benchmarking health care institutions on a regular basis.

© OECD 2002

V. Coping with population ageing

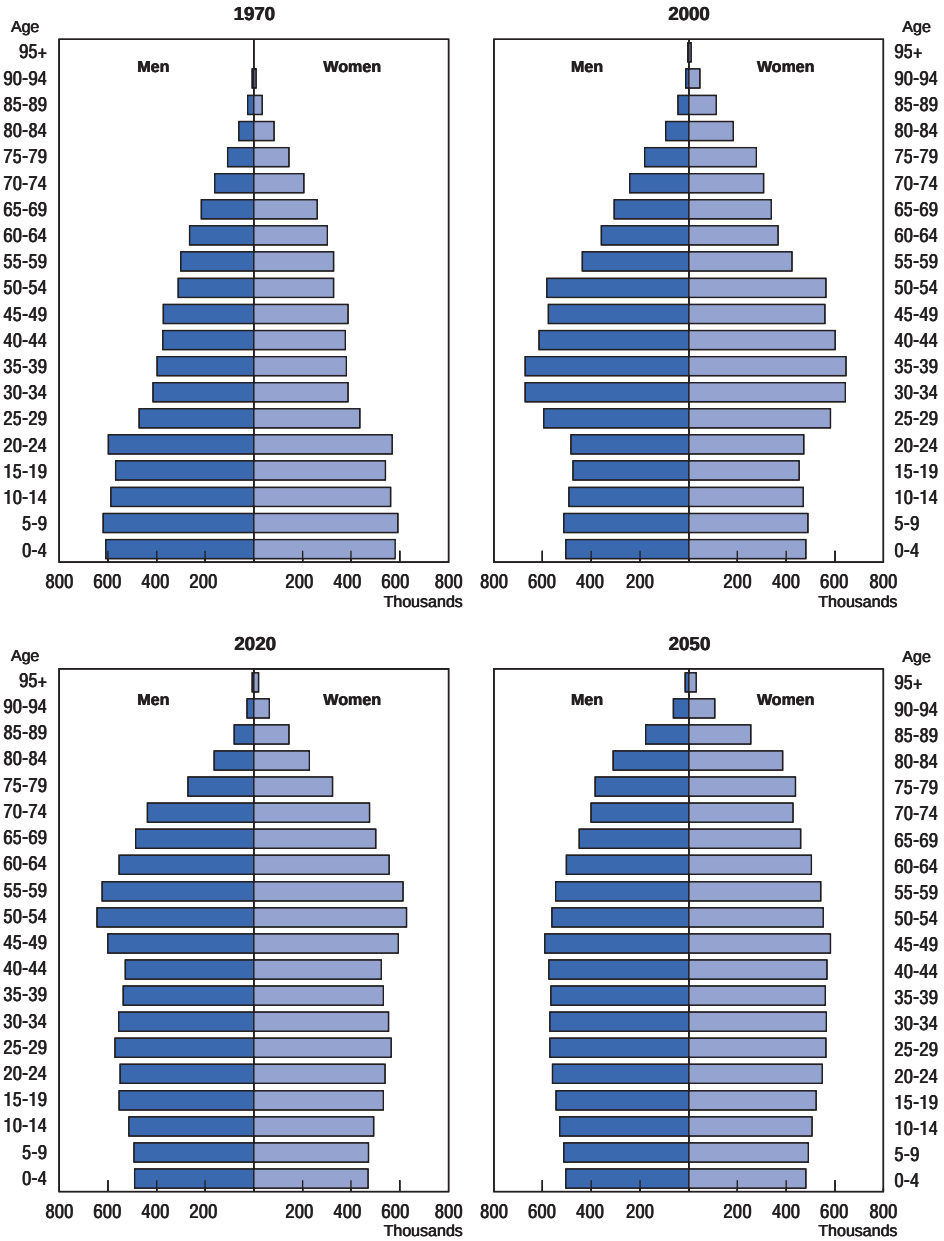
The Netherlands' population is rapidly ageing, as is occurring in other OECD countries. The number of persons aged 65 and over relative to the working age population is set to double between 2010 and 2030. This will reduce economic growth and increase resource transfers to the elderly, placing pressure on the retirement-income and healthcare insurance systems. The Netherlands is better placed than most other OECD countries to meet these pressures as it has a large, funded occupational pension system. This reduces fiscal pressures from population ageing, although they remain substantial. Pre-funding these budget pressures, enhancing productivity growth, prolonging working lives and containing the increase in transfers to the retired population would reduce the economic costs of this demographic shock. Such reforms would also reduce the exposure of the pension system and, through tax-deductible pension contributions, the budget position to capital market risk. This chapter examines the problem of population ageing in the Netherlands and considers policy options for attenuating the adverse economic effects.

The scale of the demographic problem[113]

The Netherlands' population age structure is changing progressively from a pyramid to a more rectangular shape, with a larger proportion of the population in older age groups (Figure 33). The main factor driving this change is the large decline in the fertility rate since the 1960s (Figure 34). Although the fertility rate is expected to recover slightly to 1.8, this rate is still not high enough to stabilise the overall population. The other factor contributing to population ageing is rising life expectancy (Figure 35). Life expectancy at birth has increased markedly over the past century, to 75 years for men and 81 years for women. Statistics Netherlands assumes that life expectancy at birth continues to rise in coming decades, albeit more slowly than in recent decades, reaching 80 years for men and 83 years for women by 2050. The lower increase in life expectancy in coming decades reflects the judgement that the decline in mortality rates for older persons (aged 65 and over) was exceptionally high in recent decades owing to effective measures (including lifestyle changes) to reduce mortality from lung cancer and heart disease. Reducing the incidence of other causes of premature death is likely to be more difficult.[114]

© OECD 2002

Figure 33. **An ageing population structure**

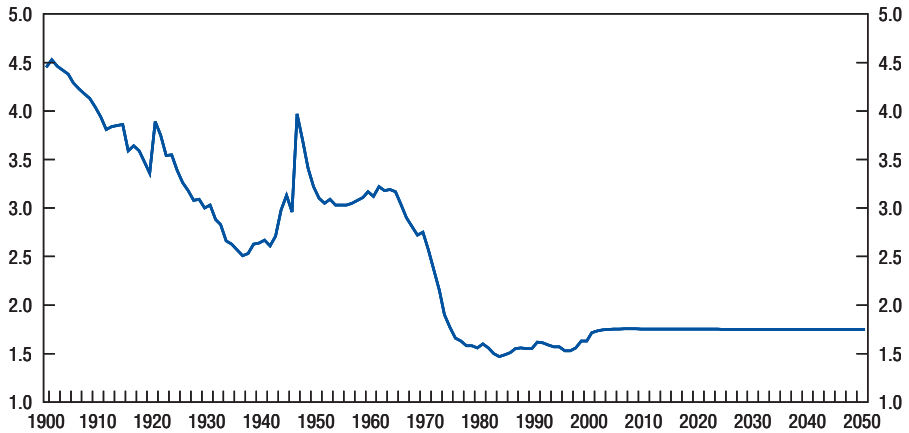


Source: Statistics Netherlands.

© OECD 2002

Figure 34. **Total fertility rate**

Average number of children per woman[1]

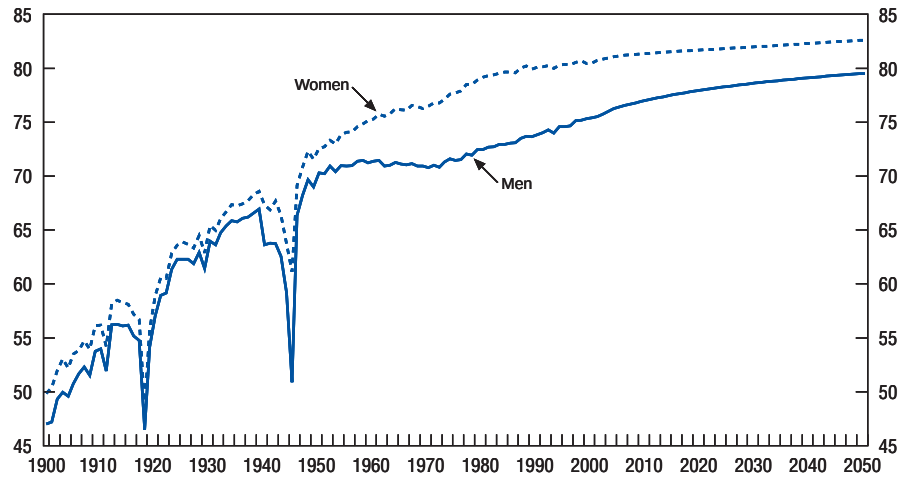


1. Average number of children a woman would have if the age-specific fertility rate observed in the calendar year under review were to apply during her whole life.

Source: Statistics Netherlands.

Figure 35. **Life expectancy at birth**

Years



Source: Statistics Netherlands.

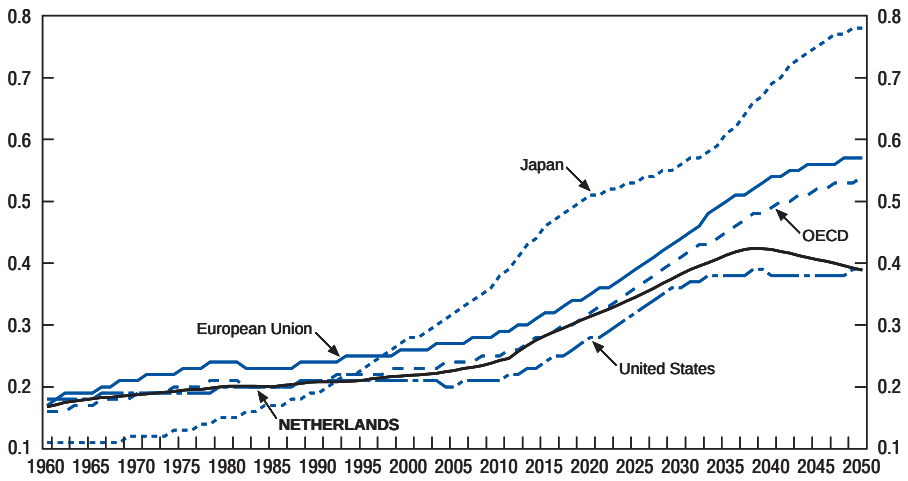
© OECD 2002

Table 16. **Population growth by age group**

	Population						Dependency ratio[1]
	0-19 years	20-64 years	65 years and over	Total	65-74 years	75 years and over	
	Average annual percentage change						Average
1980-90	–1.5	1.3	1.7	0.6	1.1	2.5	0.2
1990-2000	0.1	0.7	1.2	0.6	0.9	1.7	0.2
2000-10	0.5	0.4	1.5	0.6	1.5	1.6	0.2
2010-20	–0.2	0.0	2.6	0.4	3.2	1.7	0.3
2020-30	0.0	–0.2	1.8	0.2	0.9	3.0	0.3
2030-40	0.3	–0.3	0.7	0.1	0.0	1.6	0.4
2040-50	–0.1	0.2	–0.6	0.0	–1.7	0.4	0.4
	Years of maximum and minimum population levels						
Maximum	1980	2011	2038	2040	2036	2047	
Minimum	1993	1980	1980	1980	1980	1980	

1. Calculated as [population aged 65+]/[population aged 20-64].
Source: Statistics Netherlands.

Figure 36. **Aged dependency ratios**
Population aged 65 years and over/population aged 20 to 64 years



Source: Statistics Netherlands and UN World Population Prospects: The 2000 Revision.

© OECD 2002

Growth in the working age (20-64) population has already slowed significantly since the early 1980s, when the "baby boom" generation (born in the two decades to the late-1960s) was still entering this age group, and will slow further from 2010, when this generation starts flowing out of it (Table 16). Concomitantly, growth in the older age group (65+) is set to rise sharply. These projections imply a large increase in the aged dependency ratio (*i.e.* the ratio of persons aged 65 and over to those of working age) from 22 per cent in 2000 to 39 per cent in 2050 (Figure 36). Whereas there are presently 4.5 persons of working age for each elderly person, there will only be 2.6 by 2050. This increase in the aged dependency ratio is broadly in line with that in other OECD countries (Table 17).

Table 17. **Aged dependency ratios internationally**[1]

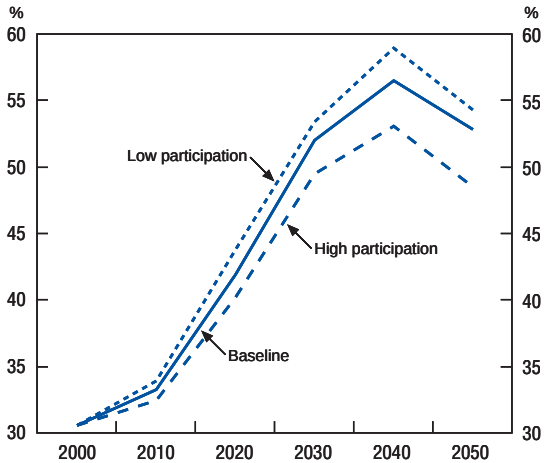
	2000	2050
Australia	0.2	0.5
Austria	0.3	0.6
Belgium	0.3	0.5
Canada	0.2	0.5
Czech Republic	0.2	0.6
Denmark	0.2	0.4
Finland	0.3	0.5
France	0.3	0.5
Germany	0.3	0.5
Hungary	0.2	0.5
Ireland	0.2	0.5
Italy	0.3	0.7
Japan	0.3	0.6
Korea	0.1	0.5
Netherlands	**0.2**	**0.4**[2]
New Zealand	0.2	0.5
Norway	0.3	0.4
Poland	0.2	0.6
Portugal	0.3	0.5
Spain	0.3	0.7
Sweden	0.3	0.5
United Kingdom	0.3	0.5
United States	0.2	0.4
EU[3]	**0.3**	**0.5**
OECD[3]	**0.2**	**0.5**
Eastern Europe	0.2	0.5
China	0.1	0.4
Rest of Asia	0.1	0.2
Latin America	0.1	0.3
Africa	0.1	0.1

1. Calculated as [population aged 65+]/[population aged 20-64].
2. This estimate of 0.39 is based on national assumptions. Using the standardised assumptions of the OECD project on ageing, the result is 0.45.
3. Calculated as [total population aged 65+]/[total population aged 20-64] for Member countries in the table only.

Source: Statistics Netherlands, OECD project on the fiscal consequences of ageing (Dang *et al.*, 2001) and UN World Population Prospects: the 2000 Revision.

© OECD 2002

Figure 37. **Employment aged dependency ratio**[1]



1. The employment aged dependency ratio is population aged 65 years and over divided by total employment. In the CPB's baseline projection, labour force participation rates rise by 5 to 6 percentage points, mainly over the next two decades. In the high participation scenario, labour force participation rates for persons aged 55 or over rise to the levels projected in the United States in 2050. In the low participation scenario, labour force participation rates remain at current levels.

Source: CPB Netherlands Bureau for Economic Policy Analysis and OECD.

A better indication of the economic pressure of population ageing can be obtained by considering developments in the ratio of persons aged 65 and over to employed persons, as it is they who generate income and pay taxes and social security/pension fund contributions. The Netherlands Bureau for Economic Policy Analysis (CPB) projects a somewhat smaller increase in this ratio than in the aged dependency ratio as labour force participation is assumed to rise by 5 to 6 percentage points (see below) (Figure 37). The increase in this ratio could be rolled back further by achieving a greater rise in participation rates. For example, if participation rates for persons aged 55 or over were to rise to the levels projected for the United States by 2050,[115] this would reduce the baseline increase in the employment aged dependency ratio by one fifth. Ensuring that economic policies do not depress labour force participation, especially of older persons, is one of the major challenges for minimising the adverse economic consequences of population ageing.

Institutional arrangements for supporting the elderly

Population ageing will increase transfers to the elderly. The scale and nature of this increase depends on institutional arrangements for supporting the

© OECD 2002

elderly, notably in the form of retirement income and subsidies for healthcare costs. These arrangements are described in this section.

Retirement income

The old age pension

The old age pension system comprises three pillars (see Annex I for a more detailed description): the public age pension (AOW), which is Pay-As-You-Go (PAYG); funded occupational pensions (including for public servants); and voluntary provisions. All residents are entitled to an AOW pension and some 90 per cent of employees participate in an occupational pension scheme. Almost all of these schemes are defined benefit (DB). Most of them aim to provide a pension at age 65 that accrues at the rate of 1.75 per cent of final salary per year of contributions up to a maximum of 70 per cent of final salary taking into account the AOW pension. Individuals may also top up their old age pensions with private pension arrangements with insurers. All told, the first and second pillars each accounts for about 40 per cent of old age pensions with the balance coming from the third pillar.

Early retirement income arrangements

The three main routes to early retirement are voluntary early retirement (ER) schemes, disability insurance (DI)[116] and unemployment insurance (UI) (see Annex I for a more detailed description). ER (*vervroegd uittreden*, VUT) schemes provide benefits to voluntary early retirees, with the average age of retirement in these schemes being 60. These schemes are funded on a pay-as-you-go (PAYG) basis. They have the drawback that, in general, neither party deciding to use them usually bears any serious financial penalty for doing so. To correct this incentive problem, they are being phased out in favour of funded pre-pensions that are actuarially adjusted according to the age of early retirement.[117] DI provides benefits based on a disabled person's residual earning capacity. Most older disability recipients are declared fully disabled. ER, UI and the first stage of DI all provide benefits of 80-90 per cent of the last wage; second-stage DI benefits are lower but age-related, and thus highest for older workers. Nevertheless, the difference with first-stage benefits is generally not great in practice as most wage contracts provide topping up of DI-benefits to 70 per cent or more. In addition, pension rights continue to accrue under DI and most ER schemes. People who become unemployed over age 40 also continue to accrue pension rights for the period that they receive an income-related benefit. The duration of UI- and first-stage DI benefits rises with age.[118] Unemployed persons aged 57½ or over are exempt from job search requirements, although if a suitable job is offered it must be accepted.

© OECD 2002

Healthcare[119]

Healthcare costs for the elderly are covered by three insurance schemes:

- the AWBZ (the long-term care and exceptional medical expenses scheme) for long-term care.
- the ZFW (Compulsory Health Insurance Act) for basic cure services for low- and medium income persons of all ages;[120] or
- the WTZ, which regulates insurance for those aged 65 and over who are not eligible for ZFW insurance.[121]

Each of these schemes socialises the higher risks of elderly people.[122] Outlays in all three of these schemes exceed premiums. The shortfall is mainly financed by income-dependent co-payments[123] in the AWBZ scheme and by compulsory contributions from persons with private health insurance in the ZFW- and WTZ schemes. The government finances the remainder of the shortfall in the AWBZ- and WTZ schemes. Consequently, managing them does not expose sickness funds and insurance companies to any financial risk; by contrast, managing the ZFW does expose sickness funds to financial risk. This means incentives for sickness funds and insurance companies to seek improvements in the efficiency with which healthcare services are provided are rather limited.

Economic consequences of population ageing

The CPB*'s baseline scenario*

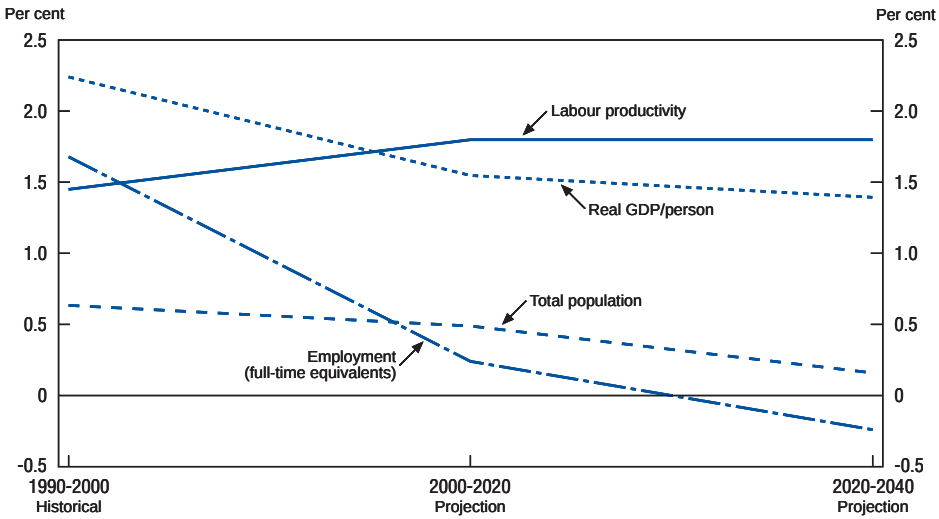
Economic growth

Population ageing will substantially reduce potential economic growth by cutting employment growth to zero (in full-time equivalents) over the coming four decades: economic growth will depend entirely on labour productivity growth (Figure 38). This outlook reflects a small decline in the working-age population over this period and a small rise in unemployment to its structural rate (4 per cent) offset by a 5 to 6 percentage point increase in the participation rate (Table 18).[124, 125] The increase in the participation rate reflects a rise in female participation rates as current young cohorts with high participation rates flow into older age cohorts. Because growth in the total population is projected to fall by less than growth in the working-age population, GDP per capita is projected to expand somewhat more slowly than labour productivity. The decline in economic growth in the Netherlands caused by population ageing is broadly in line with that projected in other OECD countries (Figure 39). Based on assumptions for labour productivity growth that are similar to those made by the Dutch authorities, economic growth is projected to fall in most OECD countries to only 1½-1¾ per cent over the next half century, with growth in GDP per capita falling to an even lower rate.

© OECD 2002

Figure 38. **Growth in employment, population and GDP per capita**[1]

Average annual rates



1. Assuming an average annual growth in labour productivity (real GDP per full-time equivalent employee) of 1.80 per cent over the projection period 2000-2040. This corresponds to the assumption made by the CPB that age-specific labour productivity in full-time equivalents grows at an annual rate of 1.75% (Van Ewijk *et al.,* 2000, page 47).

Source: Statistics Netherlands; OECD.

Table 18. **Decomposition of the change in the labour force participation (age 20 to 64)**

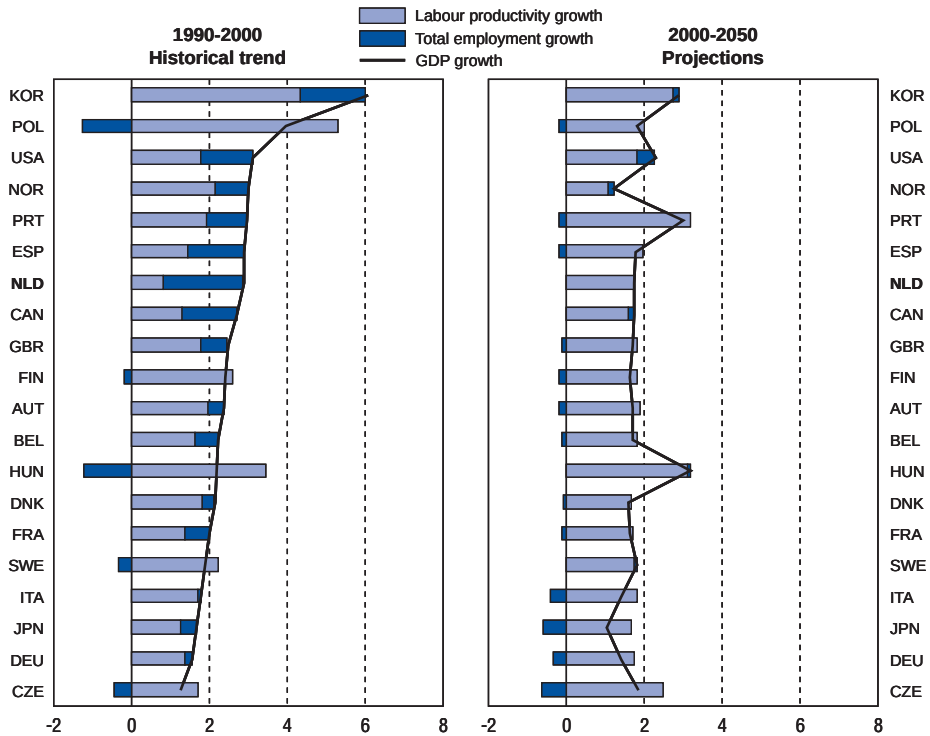
	2001-2020	2001-2040	2001-2060	2001-2080
	Change in %-points			
Levels in 2001	72	72	72	72
Ageing	–4	–2	–3	–3
Male participation	0	0	0	0
Female participation	9	9	9	9
Total change	5	6	5	6
Level in final year	77	78	77	78

Source: Van Ewijk *et al.*, 2000.

© OECD 2002

Figure 39. **Contributions of labour productivity and employment to GDP growth in OECD countries**[1]

Average annual percentage change



1. Labour productivity is defined as GDP per person employed. Projections for the Netherlands are based on assumptions of the national authorities. For the remaining countries, projections are those prepared by the OECD Ad Hoc Working Group on the *Fiscal Implications of Ageing* using a standardised set of assumptions (Dang *et al.*, 2001). Trend estimates are annual historical estimates to which the Hodrick Prescott filter was applied with lambda of 100. For Germany the initial date is 1991, not 1990. Note that national accounting methodology varies across countries and time; for example the Netherlands National Accounts are according to the ESA95 methodology only from 1995 onwards (see the Statistical Annex of the *Economic Outlook* for details).

Source: Statistics Netherlands; *OECD Analytical database and medium term projections December 2001*; Dang *et al.* (2001).

Public finances

Population ageing will put pressure on the government's budget position. The CPB's long-term projections for the budget, an example of a fiscal adjustment to make policy sustainable and the sensitivity of the projections to changes in key assumptions are discussed in the remainder of this section.

© OECD 2002

- Projections

Based on the demographic and economic assumptions outlined above,[126] the CPB projects that on unchanged policies the budget balance will deteriorate by 4½ percentage points of GDP by 2040 (Table 19). This mostly reflects a sharp rise in outlays for public pensions (+4¼ per cent of GDP) and for healthcare (+3½ per cent of GDP) partly offset by a rise in income taxes on pensions; in effect, exempt-exempt-taxed (EET) arrangements for taxing pension funds defer tax revenues. Demography contributes 1.65 percentage points to the annual real growth rate in public pensions (3.4 percentage points) and productivity growth the remainder. In the case of healthcare, the contribution of demography is much smaller (0.85 percentage point); the contribution of productivity growth is the same (1.75 percentage points)[127] and there is an additional contribution of 0.2 percentage point, which mainly reflects the costs of technical progress.[128, 129] The smaller demographic contribution for healthcare is attributable to the correction for death-related costs[130] and the declining differential life expectancy between men and women.[131]

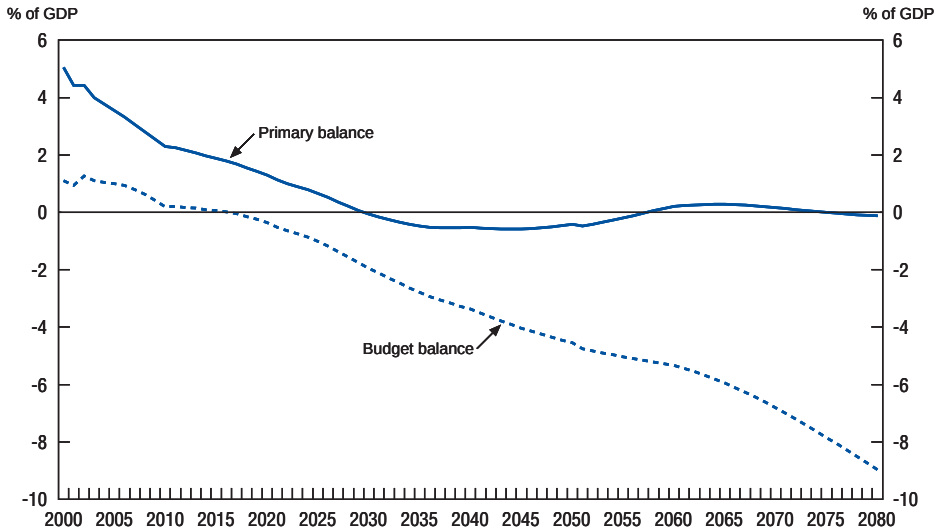
Table 19. **Budget projections based on unchanged policies**

	2001	2010	2020	2040	2060	2080
	Per cent of GDP					
Expenditures						
Social Security	10.9	12.4	13.9	15.9	15.3	15.4
Public pensions	4.7	5.4	6.8	9.0	8.3	8.5
Disability benefits	2.7	3.3	3.6	3.4	3.5	3.5
Unemployment benefits	1.5	1.7	1.6	1.6	1.6	1.6
Other	2.0	2.0	1.9	1.9	1.9	1.9
Healthcare	7.0	7.7	8.6	10.6	10.3	10.2
Education	4.4	4.6	4.4	4.6	4.5	4.6
Other primary expenditure	19.1	19.5	19.5	19.5	19.5	19.5
Interest payments	3.5	2.1	1.7	2.9	5.5	8.8
Total	44.9	46.3	48.0	53.5	55.2	58.6
Revenues						
Income tax + social security contributions	20.7	21.7	22.5	24.2	24.1	23.8
of which: From pension income	1.8	2.1	2.9	4.9	4.9	4.9
Indirect taxes, other taxes and non-tax revenues	19.2	19.5	20.0	21.2	21.2	21.2
of which: From pension income	1.5	1.7	2.3	3.5	3.5	3.5
Corporate tax	3.6	3.2	3.2	3.2	3.2	3.2
Revenues from assets, including gas	2.4	2.2	2.0	1.6	1.4	1.4
Total	45.8	46.5	47.7	50.2	49.8	49.6
Budget balance (EMU definition)	0.9	0.2	–0.4	–3.4	–5.3	–9.0
Primary Balance	4.4	2.3	1.3	–0.5	0.2	–0.2
Government debt (EMU definition)	54	36	28	51	98	157
Net government wealth	27	42	45	18	–31	–90

Source: Van Ewijk *et al.*, 2000.

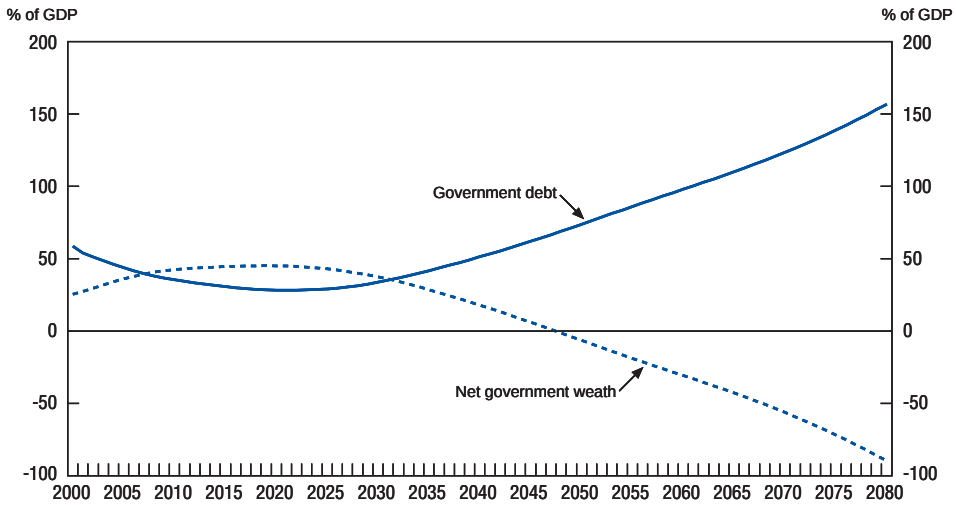
© OECD 2002

Figure 40. **Budget balance and primary balance under current policies**



Source: Van Ewijk *et. al*. (2000, page 55).

Figure 41. **Government debt and net government wealth under current policies**



Source: Van Ewijk *et. al*. (2000, page 55).

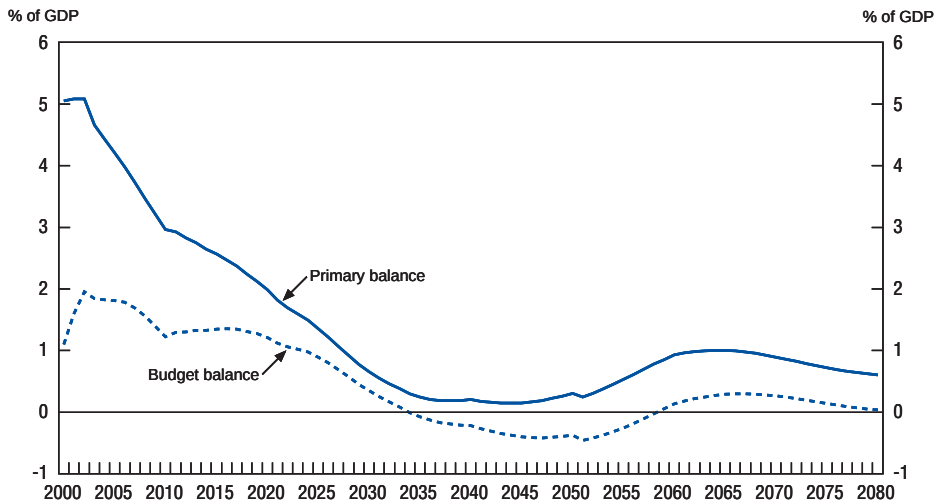
© OECD 2002

The projected decline in the primary balance (from 4.4 per cent of GDP in 2001 to –0.5 per cent of GDP in 2040) eventually outweighs the effect of budget surpluses over the next decade on interest payments, resulting in spiralling interest payments, deficits and debt (Figures 40 and 41). Current policies are unsustainable in the long run.

- An example of sustainable public finances

In view of the impact of population ageing on public finances, a reduction in outlays and/or an increase in taxes are/is necessary to put budget balances on a sustainable path in the long run. The CPB provides an example of such an adjustment – a permanent increase in indirect taxes of 0.7 per cent of GDP starting in 2001. In this scenario, the budget surpluses are big enough for the associated reduction in government debt and interest payments to counterbalance the increasing net budget costs of ageing [and of falling gas revenues (–1 per cent of GDP by 2060)]. Government debt is almost all redeemed by 2030 but subsequently rises as the budget balance deteriorates (Figures 42 and 43). Nevertheless, both budget deficits and debt remain low by historic standards during boomers' retirement years. The longer the delay before public finances are made sustainable, the larger the required permanent increase in indirect taxes: it is

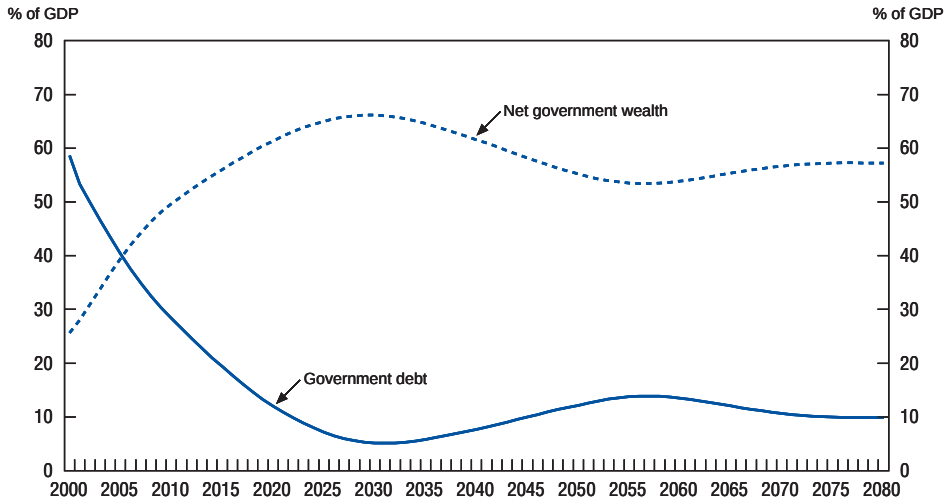
Figure 42. **Budget balance and primary balance under a sustainable policy**



Source: Van Ewijk *et al.* (2000, page 57).

© OECD 2002

Figure 43. **Government debt and net government wealth under a sustainable policy**



Source: Van Ewijk *et al.* (2000, page 57).

1.0 per cent of GDP in 2020 and 1.7 per cent of GDP in 2040. No account is taken in this analysis of the negative impact of higher indirect taxes on economic activity in the long run. The CPB estimates[132] that an *ex ante* increase in indirect taxation by 1 per cent of GDP results in an *ex ante* reduction in the deficit of 0.7 per cent of GDP, implying a leakage due to a decreasing tax base of 30 per cent (Van Ewijk *et al.*, 2000, p. 60). Applying this adjustment factor, the permanent increase in indirect taxes in 2001 required to achieve long-run budget sustainability is 1.0 per cent of GDP.

- Sensitivity analyses

The CPB has also undertaken sensitivity analyses to changes in key assumptions underlying the projections (Table 20). It can be seen from Table 20, which shows the difference in the required adjustment in indirect taxes to achieve sustainability from the above example of sustainable public finances, that the projections are most sensitive to assumptions about the current cyclical position of the economy and to pension fund rates of return. The CPB assumes that the Dutch economy is above trend in 2001 and that the cyclical component of the budget balance is 1.6 per cent of GDP. On this basis, they assume that the cyclically adjusted budget balance in 2001 is in deficit by 0.7 per cent of GDP. If instead the cyclical component of the budget balance were zero (the economy were at trend

© OECD 2002

output), indirect taxes could in fact be cut by 0.7 per cent of GDP consistent with long-term sustainability. This is 1.4 per cent of GDP less than the required adjustment in the base case. With respect to pension fund returns, if they were to be 1 per cent lower than assumed, this would raise the required increase in indirect taxes by about 1 percentage point compared with the base case. This occurs (assuming that boards of pension funds do not use their right partially or fully to suspend indexation, if necessary) because lower returns would oblige pension funds to increase contribution rates progressively from 6.8 per cent of earnings in 2000 to 11.1 per cent in 2040 instead of 7.2 per cent in the baseline scenario in order to meet future pension obligations. This would increase tax deductions for pension contributions (see below).

A result that may seem counterintuitive in the CPB analysis is that higher productivity growth would *raise* the indirect tax increase required to achieve long-run sustainability. This reflects the assumption of a unit income elasticity for primary government expenditures (*i.e.* they grow in line with income) and the fact that the majority of Dutch pensions are based on final wages. This feature of pension arrangements means that higher productivity growth increases the final wage

Table 20. **Sensitivity analyses**

Change of assumption	Difference in required fiscal adjustment from baseline[1]
	Per cent of GDP
Interest rates and growth	
1% lower pension fund return (*e.g.* 2.5% lower equity premium)	+0.9
1% lower pension fund return and 1% lower interest rate	+1.0
0.5% higher productivity growth	+0.5
Demographics	
Life expectancy: 1 year higher	+0.6
Fertility: 10% higher	+0.04
Labour participation	
Females: 5% points lower	+0.6
Elderly (55-64 years olds): 5% points lower	+0.3
Extra costs	
Healthcare: 0.2% higher growth rate until 2020	+0.2
Baumol: Expenditures 1% of GDP higher in 2040	+0.6
Cyclical impact	
Assuming cyclical neutrality in 2001	–1.4

1. The total required fiscal adjustment in each case is given by adding 0.7 per cent of GDP, the required adjustment in the baseline.

Source: Van Ewijk *et al.*, 2000.

© OECD 2002

and hence pension income relative to the average wage rate. Consequently, pension contribution rates would have to be increased, which would reduce tax revenue as such contributions are tax deductible. Accordingly, a greater increase in indirect taxes would be required to achieve sustainability.

Assessment and risks

The CPB projections indicate that population ageing will reduce economic growth and make current budget policies unsustainable. Although the approach has the advantage of a certain analytical elegance and consistency between the variables, two points in particular should be borne in mind. First, economic feedback mechanisms are not taken into account. Thus, any negative effects on labour force participation of the increase in taxes required to put fiscal policy on a sustainable path are ignored. Second, an increase in labour productivity growth does not ease the budget impact of population ageing because of the steady state assumptions made in which contractual wages, and hence indexation of benefits, are assumed to follow increases in labour productivity. In practice, there will be policy options to make this increase in expenditures less automatic. Higher economic growth caused by increasing productivity should provide more room to decouple government expenditures from GDP growth.

While the CPB assesses a range of risks, there are perhaps two issues that warrant further examination: capital market risk; and the extent to which the current budget balance reflects cyclical factors. These issues, which are important for assessing the required fiscal adjustment to make current policies sustainable, are considered in the remainder of this section.

Capital market returns

An important uncertainty surrounding the baseline projections concerns capital market returns, which are determined in global markets for a small country such as the Netherlands with an open capital account.[133] Capital market returns are more important in the Netherlands than in most other countries owing to the large scale of the funded occupational pension system. The CPB made its projections on the basis of a real interest rate of 4 per cent and a real return on equity of 8.5 per cent (*i.e.* an equity risk premium of 4.5 per cent). These returns are long-run averages (Eichholtz and Koedijk, 2000). However, population ageing in OECD countries could reduce returns for the baby boom generation (Box 8). On the other hand, diffusion of ICT could increase returns. While there is considerable uncertainty about the relative magnitudes of these and other effects on returns, current asset prices do not appear to be compatible with historical rates of return. Based on the Gordon formula[134] and growth projections for the next half-century,[135] international stock markets seem to be priced for yields of 4-4½ per cent.[136, 137] And long-term (30 years) indexed government bonds are yielding 3½ per cent.[138] Given

© OECD 2002

Box 8. Global capital market implications of population ageing

Brooks (2000) simulates the effects of the baby boom/bust demographic shock on capital market returns using a general equilibrium model with overlapping generations, rational expectations and life-cycle consumption behaviour. Although his model is calibrated for the United States, it can reasonably be thought of as representing the developed world as a whole because most countries with significant asset markets are due to experience a similar demographic shock to that in the United States. He finds that the demographic shock reduces capital market returns for baby boomers, especially those born during the second half of the baby boom, with cumulative returns (4.2 per cent at an annual rate) some 15 per cent below those of parents of early boomers.

While these effects are large in relation to other sources of uncertainty about returns in Brooks' model, they are small in relation to the run-up in stock market returns over the past 20 years.* Thus, changes in the age distribution are unlikely to explain much of the surge on stock prices over this period. As Brooks notes (p. 29), the simulation exercise ignores changes in other fundamentals, such as technological developments, or the possibility of a speculative bubble.

Although lifecycle models of saving may be a reasonable characterisation of saving through defined benefit pension schemes and of pre-funding by governments of age-related expenditures, doubts have been raised about the validity of such models for other saving. For example, abstracting from defined benefit pension wealth, Poterba (2000) finds that while holdings of net financial assets rise with age between the ages of 30 and 60, there is no evident decline at older ages.

A concern in the Netherlands is that countries with large PAYG pension obligations could increase their deficits and debt to support boomers in retirement, driving up interest rates and reducing the value of pension fund assets. While this is a valid concern, measures that these countries could take to make their long-term budget positions sustainable would also reduce pension fund returns. In particular, greater pre-funding, whether by means of a shift towards funded pensions or by running down government debt, would tend to increase saving and capital intensity, reducing capital market returns during the asset accumulation period. When these assets would be run down (or government debt run up) to pay boomers' pensions, capital market returns would rise, albeit to a lower level than if governments had not pre-funded and had higher levels of debt. At the end of the day, the key issue in this regard is the extent to which retirement income arrangements in other countries facilitate a transfer of purchasing power from people working to those not working. The greater the extent to which this occurs, the less favourable will be the terms on which Dutch pension funds can make the same transfer.

* The average real return on the Ibbotson Associates large stock index from 1979 to 1998 is 13.43 per cent, compared with 3.53 per cent from 1959 to 1978 (Brooks, 2000, p. 29).

© OECD 2002

the CPB's assumption that Dutch pension funds allocate 40 per cent of their assets to equities and 60 per cent to bonds, this would imply long-term returns for pension funds of 3.8 per cent instead of the 5.8 per cent assumed by the CPB.

Were capital market returns to remain around these levels and pension boards not to exercise their right partially or fully to suspend indexation, pension fund contributions in the Netherlands would need to rise progressively from 6.8 per cent of earnings this year to 15.0 per cent in 2040, despite the large capital gains on equities in recent decades.[139] This compares with a contribution rate of only 7.2 per cent in 2040 if historical rates of return were to be maintained. Contribution rates increase when capital market returns are lower than expected because almost all pension benefits in the Netherlands are defined benefit. This means that capital market risk is borne by pension funds themselves if indexation is maintained – hence, by current and future contributors – rather than by the beneficiaries of the accumulated fund assets, as in defined contribution schemes. In these circumstances, lower-than-expected returns impose a "tax" on current and future contributors in order to maintain the value of acquired rights, with the same consequences for labour supply as any other comparable tax. As pension fund contributions are tax-deductible, the fiscal adjustment required in this case to make budget policies sustainable in the long run would be 1.5 percentage points of GDP higher than in the baseline. On the other hand, if pension fund boards suspend indexation of benefits – invoking the so-called conditional indexation mechanism – part or all of capital market risk can be shifted back to beneficiaries. For the time being, it is too early to conclude that future rates of return are unlikely to match historical rates. Rates of return are notoriously volatile and uncertain – capital market prices could return to levels compatible with historical rates of return. It should also be noted that over the period from which the CPB's pension simulations start – 1994 – average rates of return have been in line with historical rates. Nevertheless, it would seem prudent to be aware of the risk of disappointing capital market returns and to make appropriate contingency plans. It would be helpful in this respect if pension boards could reduce uncertainty about how they would respond in different rate of return scenarios. This would give beneficiaries more scope to build these risks into their long-term work and saving plans and would enable the government better to assess risks surrounding its long-term budget position.

The cyclical component of the budget balance

The other major uncertainty affecting the CPB's projections concerns the extent to which the budget balance is cyclical. As shown in their sensitivity analysis (see above), changes in the estimated cyclical component of the budget balance have a large effect on the required fiscal adjustment to make fiscal policy sustainable in the long run. And estimates of the cyclical position of the economy

© OECD 2002

can vary greatly depending on the method of cyclical adjustment used and assumptions made about developments in the period beyond which data are available (*i.e.* the end-point problem for trend estimates).[140] The counterpart of this sensitivity is that the primary structural surplus required for sustainable fiscal policy is not very sensitive to changes in assumptions about the initial cyclical position. For example, it is 3.5 per cent of GDP in 2001 in the CPB's example of sustainable public finances and 3.7 per cent of GDP if fiscal neutrality is assumed.[141] Thus, while uncertainty about the cyclical position of the economy does not have much effect on the path of structural primary budget balances required to ensure that fiscal policy is sustainable, it has rather a large effect on the fiscal adjustment required to get to this path. This suggests that a range of estimates of trend output should be used to assess the required adjustment to achieve budget sustainability and that estimates should be regularly updated. Moreover, fiscal policy should not be micro-adjusted every time a new estimate of the output gap is made. Rather, an adjustment should only be made when there is a high probability that a significant change in fiscal settings is required.

Policy implications

Population ageing will substantially increase the scale of resource transfers to the retired population from a smaller working population. There are two main ways of limiting the adverse economic effects of this shock: pre-funding, both through pension funds and by the government, which spreads increases in contribution rates and taxes over time; and reducing the scale of the transfers, notably by prolonging working lives. The Netherlands is already better placed than most other countries to limit the adverse economic effects of population ageing but more needs to do more to prolong working lives. This section examines how these responses to population ageing could be strengthened. At the same time, it must be acknowledged that there is some uncertainty about the required scale of pre-funding, notably owing to uncertainty about capital market returns, and the fiscal adjustment required to make budget policy sustainable. As discussed above, this makes it important to monitor capital market returns and regularly to evaluate a variety of estimates of the output gap with a view to adjusting policy settings if it becomes clear that current assumptions are no longer realistic.

Smoothing tax increases through advance funding

Advance funding minimises the economic costs of restoring long-run budget sustainability in the face of ageing-related pressures. This is because it enables tax increases or expenditure reductions to be spread over a long period, minimising the scale of such adjustments. Concomitantly, the earlier that fiscal policies are put on a sustainable long-run path, the smaller the required adjustments and hence, economic costs. The CPB has estimated that immediately putting

© OECD 2002

fiscal policy on a sustainable path would entail settings that yield a cyclically-adjusted primary surplus of around 3½ per cent of GDP in 2001. Such policy settings would progressively reduce government debt and interest payments over the next few decades and steadily increase the structural budget balance (as interest payments decline). On average, the budget surplus would be 1¼-1½ per cent of GDP over the next quarter century. By 2030, government debt would be almost entirely paid off, allowing age-related budget pressures to be met out of savings on debt interest payments. The CPB estimated that this policy could be put into effect by means of a permanent increase in indirect taxes of 0.7 per cent of GDP. However, the OECD Secretariat estimates that the primary structural balance is already around the required level. On this basis, no fiscal adjustment is required to put fiscal policy on a sustainable path. Rather, the challenge is to ensure that future policy initiatives do not deflect fiscal policy settings from a sustainable path. As noted above, these projections are subject to considerable uncertainty, especially concerning capital market risk and the cyclical impact on the budget balance. This suggests that the authorities will need to monitor these risks and adjust fiscal policy settings if it becomes clear that the assumptions on which their projections were made no longer seem realistic. Moreover, as demographic developments cause expenditures to rise from 2010 onwards, it would seem prudent to do some front-loading of debt reduction over the coming decade. On this basis, it might be appropriate to target a budget surplus of 1¼-1¾ per cent of GDP over the next government period (2003-06).

Increasing efficiency in the healthcare sector[142]

It could also be prudent to create some budgetary room for manoeuvre by providing incentives for the healthcare sector to become more efficient. A recent reform along these lines is the introduction of *personal budgets* for elderly home care into the AWBZ, which occurred in 2000; these arrangements also are being extended to mentally disabled groups. Personal budgets make care services better adapted to the needs of the elderly. These budgets can be used to purchase services, such as home help or special housing- or transport services, that enable the elderly to stay in their homes longer before going into institutional care. An independent agency[143] financed by the government determines whether an elderly person applying for long-term care should be placed in residential care or should remain in their own home and if the latter, what community services are required. This approach has proven to be very popular with the elderly and their families. It also allows widows and single persons in particular to remain longer in the community without falling into poverty, a risk that concerns these groups, as they do not benefit from household economies of scale. At the same time, personal budgets should reduce costs, as it is generally much cheaper to provide services that enable the elderly to remain in the community, including administration costs, than to provide care services in institutions (such as nursing homes). In view

© OECD 2002

of this "win-win" situation, Parliament has asked for a substantial increase in the personal budget share in total AWBZ expenditure. The authorities also are currently studying policy options to improve the co-ordination of health and community services, focusing on the borderlines between health care, housing policy and support measures for disabled people at the community level. These policy options will be taken into account in the broader proposal for a more comprehensive reform of the health care system that is being considered to set the health-care system on a sound footing in the face of population ageing.

The major plank of this reform is to make room for managed care in the services that are presently covered by the AWBZ- and WTZ schemes; as noted above, the elderly are the main beneficiaries of these schemes. Under current arrangements, the sickness funds and insurance companies administering the AWBZ- and WTZ schemes have no incentive to develop managed care,[144] as they do not bear any financial risk. They are reimbursed for their expenditure through central government funds and government determines all of the important dimensions of the insurance package.[145] The reform being considered would integrate these schemes with the ZFW scheme for low- and medium income persons. This would introduce financial incentives for developing managed care in long-term care and in curative services for the elderly along the lines of those that exist in the ZFW scheme; it would also facilitate better co-ordination of cure and care. Sickness funds managing the ZFW scheme bear some of the financial risk of the scheme as a large part of each fund's financing is in the form of a budget that is based on expected expenditure and clients can switch fund at yearly intervals. Clients' decisions to switch funds are influenced by the small supplementary premiums that they pay[146] and by the service provided by the fund, notably in terms of obtaining high quality healthcare from providers.

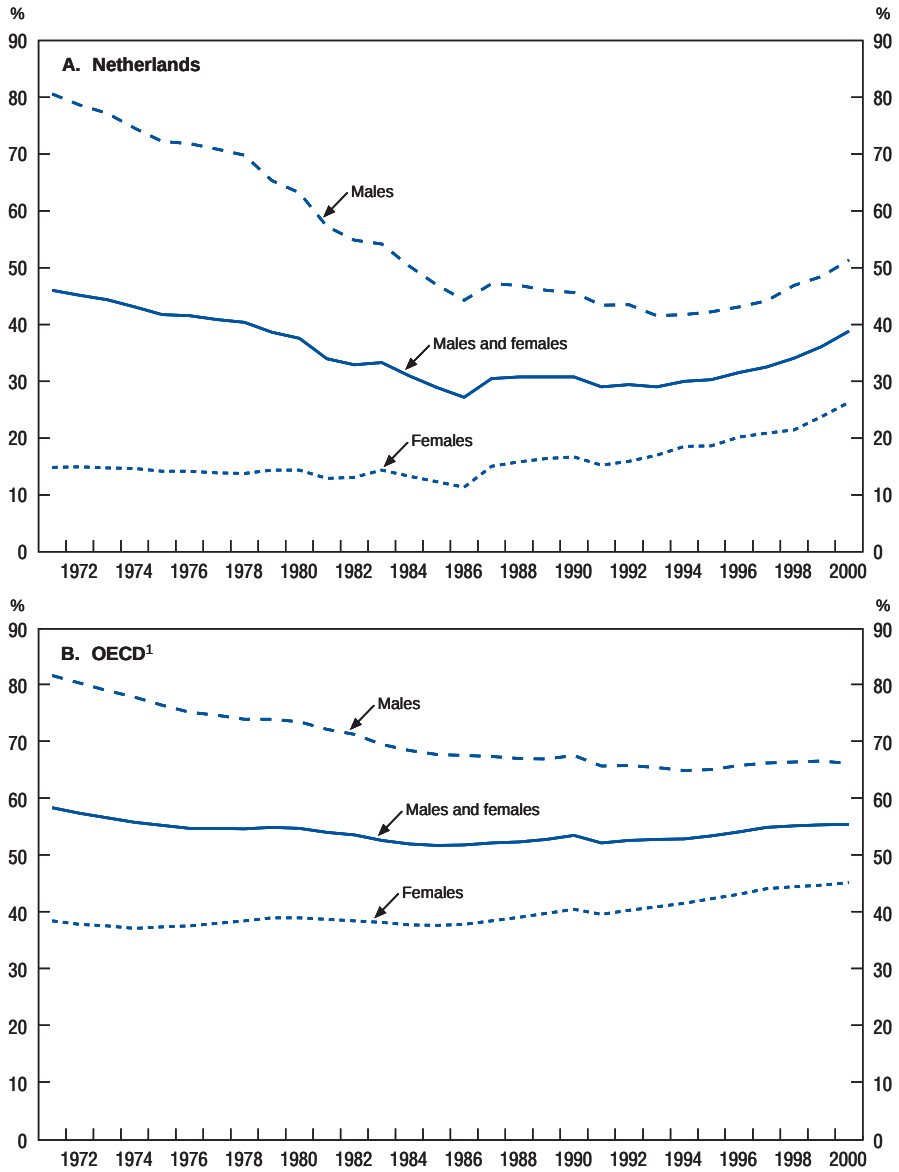
Reducing the early retirement problem

A factor that aggravates the economic costs of the demographic shock is early retirement. Insofar as public policy measures have the effect of encouraging early retirement, the welfare cost of these policies is set to rise substantially when the baby boom generation reaches the age group most affected by them (55-64).

The main routes to early retirement developed in the 1970s and 1980s. Employer-provided early retirement (ER, VUT) schemes were introduced at this time and there was a considerable expansion in both eligibility criteria and generosity of disability insurance (DI) and unemployment insurance (UI) for older workers. These developments occurred in a context of industrial restructuring, which had pushed up unemployment to high levels. The idea was to encourage older workers to make room for the large inflows of younger workers by retiring early. The schemes certainly provide strong incentives for older persons not to work. As noted above, replacement rates are typically 80-90 per cent of previous earnings,

© OECD 2002

Figure 44. **Labour force participation rates for persons aged 55 to 64**



1. Only comprises countries for which data are available in 1971, namely Australia, Canada, Finland, France, Germany, Japan, Netherlands, Sweden, United States. Germany is western Germany before 1991. The labour force participation rate average for persons aged 55-64 in all OECD countries was 51% in 2000.

Source: OECD (ELS) *Labour Force Statistics.*

© OECD 2002

pension entitlements continue to accrue as though the beneficiary were working[147] and the duration of UI and of first-stage DI pensions is positively related to age (see Annex I for details).[148] In addition, there are no follow-up medical examinations to ensure that persons receiving DI pension are still incapacitated and UI beneficiaries aged 57½ or over are not subject to job search requirements.

The result has been a marked increase in early retirement in the 1970s and early 1980s.[149] This has been reflected in a sharp fall in the labour force participation rate for males aged 55-64 (Figure 44); while females have also been retiring earlier, the effect of this on participation rates has been offset by younger cohorts with higher lifetime participation rates entering the older age group. Although male participation rates for this age group have been increasing since the mid-1990s, they remain below rates in earlier decades and in many other OECD countries. Overall, the average age of retirement (defined as withdrawing from the labour force at age 45 or more) has fallen from 64.7 in 1966-71 to 60.3 in 1994-99 for males and from 62.3 to 56.7 for females over the same period (Schreyer, 2001) (Figure 45). These declines are large by international comparison and the current average age of retirement is relatively low.

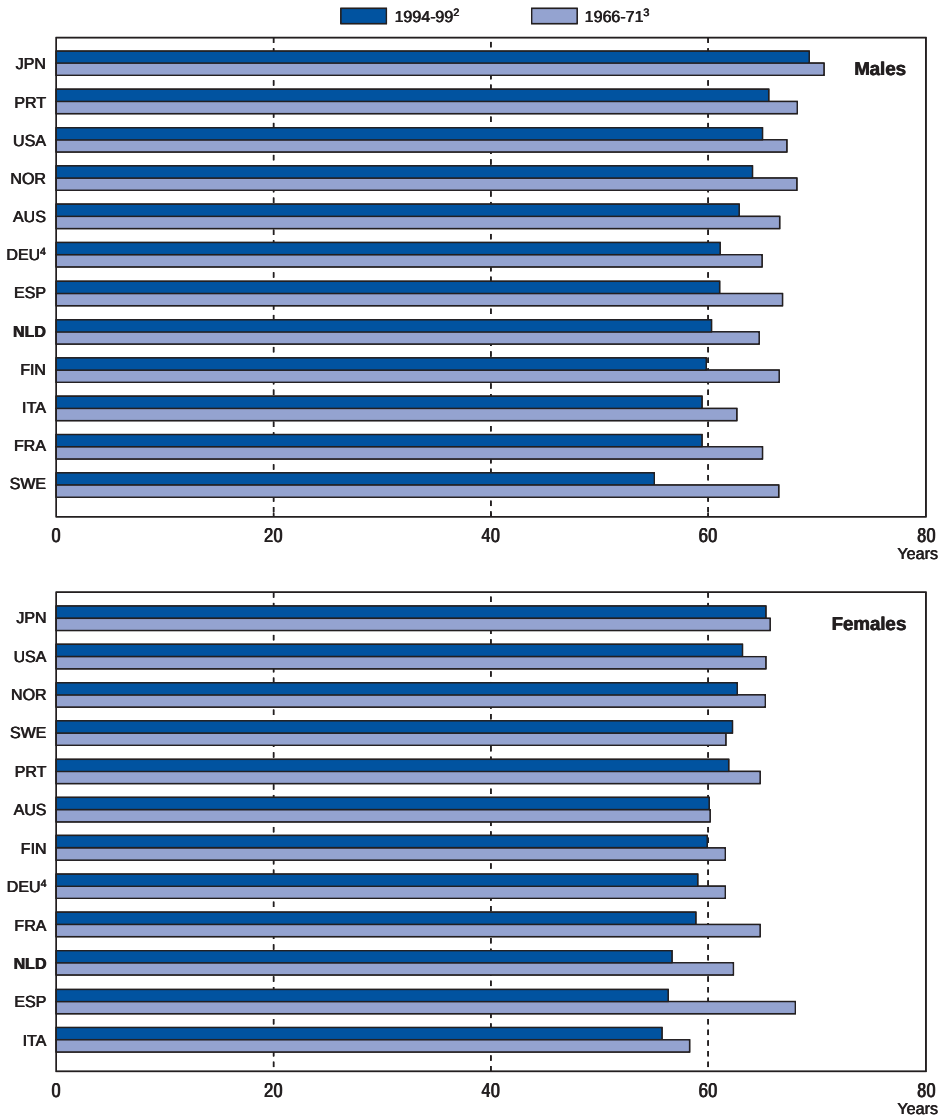
Increasing the supply of older workers

The government recently took a major step towards reducing incentives for early retirement by legislating for a phase-out of tax deductibility for ER (VUT) schemes by 2022. Tax deductibility instead will be available for funded pre-pension arrangements. To qualify for tax deductibility, these schemes must provide for actuarially neutral adjustments to pensions for early or late retirement. This is in contrast to the ER (VUT) schemes, which have no such adjustment, implying a marginal effective tax rate (METR) of 80-90 per cent on working beyond the date of eligibility for an ER scheme. The government could, however, go further in this respect by immediately replacing the ER (VUT) schemes for which it is responsible as an employer with pre-pension arrangements and by refusing to provide legal extension of the relevant clauses in collective agreements to all employees in an industrial sector. Another reform that should increase labour supply of older workers makes it possible to draw an occupational pension while continuing to work for the firm that grants the pension. Incentives for older persons to work are also to be reinforced in 2002 through a reduction in their tax burden.

These reforms need to complimented by bolder measures to ensure that the DI and UI schemes cease functioning as *de facto* routes to early retirement. The first plank of such reforms would be to ensure that all claimants are legitimate. For DI, this would mean that applications would be based on strict tests of medical incapacity and that beneficiaries would be subject to regular medical examinations to assess their continued eligibility for the benefit. For UI, this would mean ending the exemption from job search requirements for beneficiaries aged 57½ or

© OECD 2002

Figure 45. **Estimates of the average age of withdrawal from the labour force**[1]



1. Static method of calculation (the dynamic and more accurate method developed in the source document provides estimates for only a few countries).
2. For western Germany and the Netherlands, 1993-98.
3. For Norway and Spain, 1967-72 and for Portugal, 1969-74.
4. Western Germany.

Source: Scherer (2001).

© OECD 2002

over. The second plank would be to ensure that benefit replacement rates do not discourage a return to work. As it is the long duration of higher first-stage benefits for older persons that makes these schemes a particularly attractive route to early retirement, priority should be given to bringing benefit duration more into line with that for the rest of the working-age population. Given that ER (VUT) schemes are a substitute exit route to early retirement through the DI and UI schemes,[150] it would probably be necessary to accelerate the phasing out of ER (VUT) schemes for such reforms to be effective. Such reforms would also reduce the incentive that older workers will face in the future to make increased use of these schemes for early retirement so as to "save" their pre-pension accumulation for retirement.[151]

If the recommendations of the Donner Commission (see Chapter IV) are implemented, this will eventually end the use of DI as a *de facto* early retirement scheme. As only fully and permanently disabled people (on purely medical grounds) would in future qualify for DI, there no longer would be an inflow of people who are not really incapacitated and there would be no need for follow up medical examinations to ensure that beneficiaries are still disabled. And as beneficiaries would be incapable of ever again working, there would be no need to limit the duration of higher first-stage benefits to give them an incentive to return to work. This would also end the more favourable treatment for older persons in this respect, which is one of the key "early retirement" features of the current scheme. In the event that the Donner reforms are not fully implemented, more limited reforms along the lines discussed above will be necessary if DI is to cease being a *de facto* early retirement scheme.

Further development of flexible working time arrangements and/or part-time employment could also help to increase the supply of older workers by enabling them better to reconcile work and home life and to move into retirement progressively.

Increasing the demand for older workers

For such reforms to be successful, there must be jobs available for older workers. A major obstacle in this regard is that seniority-based pay, which remains dominant in the Netherlands,[152] makes them relatively unattractive to employers. This has given employers an incentive to collaborate with older workers so that they can retire early. A number of reforms have been made to reduce incentives for such behaviour.

- First, as noted above, ER schemes are being replaced by pre-pension arrangements, shifting the cost of early retirement from the industry to the individual making the decision. This should increase the incentive for employees to remain longer in employment.
- Second, qualifying criteria for DI have been more strictly enforced since the early 1990s.

© OECD 2002

– Third, WULBZ and the PEMBA reforms in 1998 made employers responsible for paying sickness benefit, which is paid during the year before an application for DI can be made, and introduced experience-rated DI premiums (based on the employer's record over the past five years). While these reforms were primarily aimed at encouraging employers to reduce the risk that their employees become incapacitated, for example by making the workplace safer, the reforms also had the effect of making the departure of older employees on DI less attractive to employers.

– Finally, UI has been reformed to require employers to pay part of the costs of UI of employees made redundant at age 57½ or over except if the person was aged 50 or more when they were hired. A risk with this reform, however, is that employers may seek to make older employees redundant before age 57½. Although strict EPR and a recent measure prohibiting employers from using age as a criterion for selecting candidates for compulsory redundancy would prevent employers from acting unilaterally in this way, some employees may be tempted to volunteer for redundancy once the pre-pension system matures. UI would in this case serve as a bridge to a pre-retirement pension, with neither the employer nor the employee bearing the direct cost of this decision.

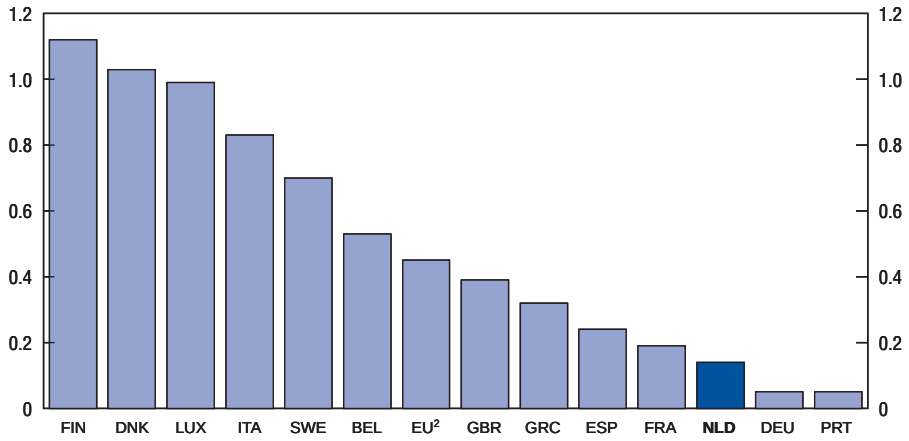
In time, these reforms will considerably reduce employers' interest in seeing older workers retire early. These incentives would be reduced further were the reforms discussed above – notably the Donner- or equivalent reforms for DI and enforcing job search requirements for UI beneficiaries – to discourage older workers from retiring early to be implemented. Such reforms would undoubtedly accelerate the move away from seniority-based arrangements in collective agreements by reducing the scope to socialise the costs of the unprofitable part of long-term employment contracts. This process could be greatly accelerated by ending the legal extension of collective agreements (or at least of seniority-based pay clauses). Employers who do not have much to gain from implicit long-term employment contracts would be free to offer wage rates more in line with individual worker's productivity, allowing older workers to become more attractive. And all employers would have the possibility of offering employment to persons wishing to work beyond the standard retirement age at wage rates that would make hiring them profitable. In addition, such a reform would ease the squeeze on company profitability and wage rates for other workers that otherwise could result from the interaction of seniority-based pay and the demographic shock.[153] Were legal extension of seniority-based clauses in collective agreements to end, it would be necessary to re-negotiate pension formulae (increasing the accrual rate and/or reducing contribution rates) as pensions are mainly based on final pay. It would also be necessary to modify the parameters of the DI and UI schemes as a flatter age-profile of earnings would reduce the expected returns (benefits less contributions) from these schemes for older workers (for whom expected returns

© OECD 2002

greatly exceed those for other workers), and hence the overall cost of the schemes. This would provide an opportunity to reduce both the attractiveness of these schemes as *de facto* routes to early retirement and the tax wedge on labour by leaving benefit formula unchanged and instead cutting contribution rates for all workers.

Another avenue for making older workers more attractive to employers is to raise this group's productivity by increasing their participation in job-related training; this could also enable them to work longer by reducing stress from the frequent changes in skills and responsibilities that are required in a modern workplace. Presently, older workers receive much less training than younger workers (Figure 46). This appears to be because older workers resist participating in such training, not because employers are unwilling to sponsor it (Figure 46) (Leuven and Oosterbeek, 1999); lower educational attainment of older workers, reducing returns on investment in training, also may be a factor. Presumably, older workers do not expect to work long enough for it to be worthwhile. Closing off the escape routes to early retirement should change this expectation. Such an approach is certainly more promising than offering tax incentives to boost training for older workers, as

Figure 46. **Career or job related training by age, 2000**
Ratio of participation of older workers to younger workers[1]



1. Younger is defined as 25-29 and older as 50-54. Training is defined as education or training received for a reason other than general education (at non-tertiary level) or initial vocational training, in the four weeks prior to the labour force survey. The ratio is calculated as (share of older employees in some education)/(share of younger employees in some education); only employees whose response was some or no education are included in the totals.
2. Calculated using totals for countries in graph.

Source: Eurostat Labour Force Survey.

© OECD 2002

occurred in 1998. This appears to have increased training for workers aged 40 or over, for whom employers receive a tax incentive, at the expense of training for workers in their late 30s (*ibid.*).

The government has also taken a series of measures, which take effect in 2002, which should increase demand for older workers by subsidising their employment. This is to be done through cuts in payroll tax and social security contributions for older workers.

Increasing productivity growth

With growth in the working age population slowing to around zero on average over the coming half century, economic growth will mostly depend on labour productivity growth. Increasing productivity growth would help to offset the decline in economic growth caused by the fall in labour supply growth. It could also ease the burden of transferring resources to retirees by facilitating a de-coupling of government expenditure from GDP growth, as has occurred over the past two decades. Moreover, it could ease pressures on defined benefit pension schemes as it would increase contributions without necessarily raising pensions – as discussed above, pension fund boards can decide partially or fully to suspend indexation (usually to wages) for a specific period, if necessary. As shown in the OECD Growth Study, this calls for a comprehensive productivity growth strategy – including facilitating the diffusion of ICT – based on a combination of actions aimed at strengthening economic and social fundamentals, improving the functioning of markets, fostering innovation, investing more in human capital and stimulating firm creation.

Indeed, action may be necessary just to prevent labour productivity growth from slowing as a result of population ageing. This could occur, for example, owing to the slowing in inflows of young age cohorts with up-to-date skills and a reduction in external labour mobility, which is much lower for older workers than for other workers (OECD, 1997).[154] Greater participation of older workers in continuing education would help to counter both of these effects. Another factor that may weigh on labour productivity growth is that the rate at which education attainment is rising in younger age cohorts has slowed (Table 21, panels A and B). This could be countered by increasing education attainment among future cohorts of young workers, notably at tertiary level, where there is still considerable scope to raise attainment. An important challenge in this regard is raising education attainment of ethnic migrants and their children, which make up the fastest growing group in the Netherlands, towards the levels of the rest of the population.[155]

Lengthening pension contributions and shortening the duration of benefits instead of raising contribution rates

The response to adverse developments for pension schemes in the Netherlands is normally to raise contribution rates. This is precisely what many

© OECD 2002

Table 21. **Education attainment by age group (Panel A)**
Percentage of the population having attained a specific level of education

Panel A	At least upper secondary education[1]				
	25-64	25-34	35-44	45-54	55-64
Australia	56	64	58	52	44
Austria[2]	73	84	78	68	56
Belgium	57	73	61	51	34
Canada	80	87	83	77	65
Czech Republic	85	92	88	84	74
Denmark	78	85	80	78	67
Finland[2]	68	84	78	62	41
France[3]	61	75	63	56	41
Germany	84	88	87	84	76
Greece[2]	44	66	52	36	22
Hungary	63	77	73	65	31
Iceland	55	61	58	55	40
Ireland	51	67	56	41	31
Italy	41	55	50	35	19
Japan	80	93	91	77	57
Korea	65	92	70	45	27
Mexico	21	26	23	16	9
Netherlands	**64**	**74**	**68**	**59**	**50**
New Zealand	73	79	77	69	58
Norway[2]	83	93	88	78	65
Poland	54	62	59	53	37
Portugal	20	29	20	14	12
Spain	33	53	38	23	12
Sweden	76	87	80	73	60
Switzerland	81	88	83	80	71
Turkey	18	24	19	13	7
United Kingdom[3]	60	63	62	58	53
United States	86	88	88	87	80
Country mean	**61**	**72**	**65**	**57**	**44**

1. Excluding ISCED 3C Short programmes. For more information, see OECD (2000), *Education at a Glance*, Annex 3.
2. Year of reference 1997.
3. Not all ISCED 3 programmes meet minimum requirements for ISCED 3C Long programmes. For more information, see OECD (2000), *Education at a Glance*, Annex 3.

Source: OECD (2000), *Education at a Glance*.

occupational funds are planning to do in the wake of stock market losses over the past year or so. As noted above, large increases in contribution rates would be required if capital market returns were to be significantly below historical averages and pension boards did not exercise their right to suspend indexation of pension benefits. An alternative approach would be to lengthen the contribution periods required to receive a full pension and raise the pivotal age for calculating such a pension. Such an approach should also be considered for longevity risks. This would involve indexing the official/pivotal retirement age to life expectancy.

© OECD 2002

Table 21. **Education attainment by age group (Panel B)**
Percentage of the population (25-64) having attained a specific level of education

Panel B	At least tertiary education[1]				
	25-64	25-34	35-44	45-54	55-64
Australia	25	28	28	25	17
Austria[1]	11	12	13	10	6
Belgium	25	34	28	22	14
Canada	39	46	39	37	28
Czech Republic	10	10	12	10	8
Denmark	25	27	27	27	19
Finland[1]	29	36	33	27	18
France	21	30	20	18	11
Germany	23	22	26	25	19
Greece[1]	16	22	19	13	8
Hungary	13	14	14	14	10
Iceland	21	24	24	19	11
Ireland	21	29	22	16	11
Italy[1]	9	9	11	9	5
Japan	30	45	40	23	13
Korea	22	34	23	12	8
Mexico	13	17	15	10	5
Netherlands	**24**	**27**	**26**	**23**	**17**
New Zealand	27	26	28	27	23
Norway[1]	26	30	28	24	18
Poland	11	12	10	11	10
Portugal	9	11	9	8	7
Spain	20	32	21	14	8
Sweden	28	31	31	29	20
Switzerland	23	25	25	22	18
Turkey	6	7	7	6	3
United Kingdom	24	26	25	23	17
United States	35	36	36	37	27
Country mean	**21**	**25**	**23**	**19**	**14**

1. Year of reference 1997.
Source: OECD (2000), *Education at a Glance*.

Concluding remarks

Population ageing will reduce economic growth and increase transfers of resources (both through the government budget and pension funds) to the retired population. The Netherlands is better placed to meet this challenge than most other countries as it has a large, funded occupational pension system. In addition, fiscal policy already may be on a sustainable path, despite the fact that population-ageing related factors will reduce the primary structural budget balance by 3 per cent of GDP by 2040. However, these projections are highly sensitive to changes in the underlying assumptions, notably concerning pension funds' capital market returns and the current cyclical component of the budget balance. Given this uncertainty and the fact that demographic developments cause expenditures to rise from 2010 onwards, it may be preferable to do some front-loading of debt

© OECD 2002

reduction over the coming decade. On this basis, it could be prudent to aim for a budget surplus of 1¼-1¾ per cent of GDP in the next government period (2003-06).

Increasing labour force participation of older persons could significantly ease the economic and social problems caused by population ageing. The government has already taken important steps in this regard by reducing incentives to use disability insurance (DI) as a route to early retirement and by encouraging the replacement of early retirement schemes (ER, VUT) with pre-pension arrangements (that put the cost of early retirement on those making the decision). However, much remains to be done. The government could accelerate the move away from ER (VUT) schemes by immediately replacing these schemes with pre-pension arrangements in sectors where it is the employer and by refusing to extend the clauses in collective agreements relating to such schemes to all employees in a sector. In addition, the DI and unemployment (UI) schemes need to be restructured so that older working-age persons cease using them as *de facto* early retirement schemes. This would entail bringing the duration of (higher) first-stage benefits for older persons more into line with those for the rest of the population and strictly applying qualification criteria (*i.e.*, ensuring that only medically disabled persons flow into the DI scheme and continue to receive benefits and that job search requirements are enforced for UI beneficiaries). These harmful features of the DI scheme will be removed if the (more comprehensive) recommendations of the Donner Commission are implemented. If there are to be more jobs for older workers, they must become more attractive to employers. A key barrier in this regard is seniority-based pay, which remains pervasive despite the trend towards flexible pay in collective agreements in recent years. This makes older workers expensive in relation to their productivity. Ending the legal extension of seniority-based clauses in collective agreements would be a particularly effective means of making older workers more attractive to employers. Greater participation in work-related training would also make older workers more attractive to employers. Older workers may well become more positively disposed to participating in such training as they come to expect to retire later.

Finally, increasing productivity growth could also contribute to coping with population ageing by facilitating the de-coupling of government expenditure from GDP growth. Moreover, it could ease pressures on defined benefit pension schemes as it would increase contributions without necessarily raising pensions – pension fund boards can partially or fully suspend benefit indexation for a specific period if necessary. This makes it particularly important to continue implementing the comprehensive productivity growth strategy along the lines spelt out in the OECD Growth Study.

© OECD 2002

Notes

1. After these estimates and projections were finalised in mid-November 2001, national account figures for the third quarter were released showing a year-on-year real GDP growth of 0.4 per cent (and a quarter-on-quarter decline of 0.4 per cent). These figures make the estimate of a real GDP growth of 1.4 per cent in 2001 as a whole somewhat optimistic.
2. This shift forward in spending may have represented some ¼ per cent of private consumption.
3. Share of capital income in business GDP (excluding mining and housing).
4. In some cases, construction projects actually had to be stopped due to legal inadequacies.
5. The contribution of export growth to GDP growth to a large extent depends on the composition of export growth, since the value added of re-exports (about 10 per cent) is much smaller than the value added of domestically-produced exports (about 60 per cent).
6. In terms of education and training, vacancies are relatively high for jobs requiring vocational education. Especially scarce are employees with an economic or technical background. In terms of sectors, vacancies are relatively high in the construction industry, and in the market services and trade sector. In the public sector, vacancies are particularly acute in education and the health care system. Regional data show relatively high vacancies in the western provinces, and the adjacent provinces Gelderland and Noord-Brabant. The authorities do not consider mismatches to be an urgent problem. However, especially at lower education levels, the supply of labour is much higher than demand, implying structural job shortages in this segment of the labour market. For higher education levels, the difference between supply and demand is much smaller and is due to a lack of appropriate skills and qualifications. Another form of mismatches is the apparent lack of appropriate "qualifications" of many benefit recipients not in employment, which hinders their "activation".
7. Registered unemployment as a percentage of the labour force.
8. The adjusted labour force is employment plus benefit recipients not in employment.
9. For a more detailed discussion of this point see Chapter IV.
10. Unfortunately, due to a lack of data in full-time equivalents, it is impossible to calculate precisely the proportion of benefit recipients who are seeking a job and the proportion of inactives. According to the Dutch authorities, in the unemployment schemes almost 30 per cent of benefit recipients have a formal or *de facto* exception from the job search/acceptance requirement. This group includes benefit recipients who were older than 57½ years on 1 May 1999. In the general assistance scheme, roughly two-thirds of

© OECD 2002

benefit recipients have been exempted from the job search/acceptance requirement either formally or informally. Certain categories of persons are formally exempted, such as single parent families with children under 5 and persons older than 57½. Individual exemption can also be granted on medical or social grounds. According to the authorities these figures show the low level of job search activity of general welfare benefit recipients which explains their prolonged stay in these welfare schemes.

11. While it is generally acknowledged that the disability scheme includes an important proportion of "hidden unemployment", undoubtedly many persons in this scheme are truly disabled.
12. According to the Dutch authorities, this hike in indirect taxes may account for 1 percentage point of the increase in CPI inflation in 2001.
13. CPI excluding fruit and vegetables, energy, government services, and indirect and consumption related taxes.
14. It could be argued, however, that without this one-off increase in disposable income, wages would have increased even more. The tax reform may also have contributed to moderating wage pressure through an increase in the supply of labour.
15. The wage increase in the private sector, public sector and health sector is 4.1, 3.9 and 6.2 per cent, respectively.
16. The apparent levelling off of the increase in compensation per employee is due to a change in the statistical recording of profits distributed by pension funds which resulted in an exceptional increase in employers' social security contributions of 1.2 per cent in 2000.
17. However, on a yearly basis, at 0.8 per cent, growth stagnated but remained positive in 1993.
18. However, after a long period of very tight labour market conditions, a degree of labour hoarding can be expected to continue limiting somewhat layoffs and the increase in unemployment.
19. According to the CPB, however, the NAIRU is likely to decrease by some 1 per cent as from 2001, as a result of the tax reform (Don, 2001).
20. Evidently, this risk would only materialise to the extent savings in interest payments would be insufficient to finance additional spending on other items. In this case, these savings would not be available for prefunding ageing-related expenditure increases.
21. Studiegroep Begrohingsruinte (2001).
22. The relevance of composition effects has recently also been underlined by the ESCB in a report on cyclically adjusted budget balances (Bouthevillain *et al.*, 2001).
23. The new tax system was proposed as early as 1997.
24. The underlying increase in the amount of dividends might be partly due to a change in the preference of shareholders, for whom not having to pay dividend taxes may have become an insufficient compensation of the risk of losses on their capital (principal plus retained earnings). There are also indications that households have increased their interest in funds which invest in companies that traditionally pay out higher amounts of dividend.
25. In its eleventh report to the government, the Study Group on the budget margin stresses the need for a budget which can cope with less favourable economic conditions as well as the ageing of the population (Studiegroep Begrotingsruinte, *op. cit.*).

© OECD 2002

26. This represents 65 per cent of the Netherlands economy.
27. MFP growth is the growth in output not accounted for by growth in inputs (labour and capital).
28. Productivity cycles have been determined by identifying productivity peaks. These occur in years in which the gap between actual and trend MFP growth turns from increasing to decreasing. Trend MFP has been calculated using a Hodrick-Prescott filter with an adjustment parameter of 3.
29. The contribution of capital deepening to labour productivity growth in a Constant Elasticity of Substitution (CES) production function (such as the Cobb-Douglas production function) is given by growth in the ratio of capital to labour inputs multiplied by the share of capital income in total income.
30. These estimates do not take into account the recent revisions to National Accounts data in the United States. These revisions reduce labour productivity growth only slightly in 1996-99 to 2½ per cent and reduce somewhat the proportion of capital deepening attributable to ICT. Nevertheless, the main features – a large rise in labour productivity growth and a significant increase in the contribution of ICT capital deepening remain intact.
31. In order to make the US calculations more comparable with those for the Netherlands, software capital deepening was ignored; such data are unavailable for the Netherlands. This means that the contribution of capital deepening is understated in both countries and MFP growth is overstated. For the United States, this treatment means that the contribution of capital deepening is understated by 0.2 percentage point in 1991-95 and by 0.3 percentage point in 1996-99 and that MFP is correspondingly overstated. Similarly, improvements in the quality of labour are not separately identified as data are unavailable for the Netherlands. For the United States, this contributed 0.4 percentage point to labour productivity growth in 1991-95 and 0.3 percentage point in 1996-99 (Oliner and Sichel, 2000). Accordingly, MFP is further overstated by these amounts.
32. This includes IT hardware and communications capital but excludes software capital owing to the unavailability of such data for the Netherlands.
33. The difference in trends in ICT capital deepening in the two countries is not attributable to differences in the nature of the ICT deflator. The ICT deflator used in these calculations for the Netherlands is hedonic, as in the estimates for the United States. This means that quantities are quality-adjusted. As the price of given ICT characteristics (*e.g.* computing power) has fallen rapidly in recent decades, the use of such a deflator yields higher estimates of the volume of ICT investment than a traditional deflator, which is not quality adjusted.
34. Caution is called for in interpreting this result, however, as the definitions of the ICT sector that was used differ in the above studies.
35. Time series on ICT investment and use are still too short for more sophisticated econometric analysis.
36. This section is based on OECD (2001*a*), pp. 16-23.
37. It is noted in OECD (2001*a*), (footnote 2) that, while not demonstrating a causal relationship, countries with a high relative price level of ICT investment tend to have high economic regulatory barriers to competition (as measured in Nicoletti *et al.*, 1999). Statistical tests suggest that the relationship is significant.
38. These features are important for making production processes lean and more responsive to market changes.

© OECD 2002

39. This is proxied by the average rate of diffusion of a range of indicators (Arnal *et al.*, 2001).
40. Van der Wiel (2001*b*) finds that firms in the business services sector that invest in ICT without making non-technological changes, such as organisational adjustments and training and upgrading of skills, have lower labour productivity growth than firms investing in ICT and making organisational changes. This relationship is considerably stronger for manufacturing firms in the United States (Arnal *et al.*, 2001, Table 7). Average labour productivity growth over 1992-98 in US manufacturing sectors with a high ICT intensity and a high incidence of new work practices was 7.8 per cent whereas it was only 0.5 per cent in sectors with high ICT intensity but a low incidence of new work practices.
41. Indeed, the OECD (1999) commended the Netherlands on its efforts and commitments in this area, and noted that these efforts had already produced major benefits.
42. A recent OECD study has found that "the available empirical evidence strongly supports the view that liberalisation has been beneficial for efficiency and consumer welfare in reforming countries". OECD (2000*a*), p. 13.
43. A key point was the decision that persons with part-time jobs would get full social security coverage – including, after six months, the accumulation of pension rights.
44. However, until recently, in addition to reflecting individual free choice, part-time work may also have been the results of other factors, such as a lack of adequate childcare facilities and features of the tax system (see below).
45. That is, the labour force plus inactive people.
46. See OECD (2001*a*), Figures 1 and 2.
47. However, compared with other EU countries, in the Netherlands the dependency ratio is much more a reflection of the number of inactives than of the number of unemployed seeking a job.
48. In terms of per capita GDP (PPP-based), the Netherlands, which was in fifth place in the EU area in 1970, fell to the eleventh place in 1988, but rebounded to the fourth place in 2000 (after Luxembourg, Denmark and Ireland).
49. An inquiry by a parliamentary commission (the Buurmeijer Commission) confirmed that an "extended use" of the disability scheme to limit unemployment was tolerated by the authorities until 1987. On this point and for a more extended analysis of the Dutch Model (or "Polder Model") see Auer (2000).
50. In other words, this can be seen as an interaction between the various building blocks of the Dutch model.
51. Of course, not all "disabled" can be considered as potentially available for work (or "hidden unemployment") since some of them are genuinely disabled.
52. For a summary of previous Secretariat recommendations and recent measures taken in the area of structural reform see Box 4A and 4B.
53. At the Euro Summit in 1997, the countries of the European Union made a number of arrangements concerning measures to prevent and combat long-term unemployment of both young people and adults, as well as to increase the percentage of jobseekers in activation programmes. The Netherlands, having already pursued a preventive approach for young people and having enhanced the preventive aspect of its general activating labour market policy, it had made considerable progress towards the goal of an overall preventive approach. Nonetheless, following the above-mentioned Euro Summit, the Netherlands has undertaken vigorous efforts to fully extend the preventive

© OECD 2002

approach to adults (see below). In addition, a number of implementing organisations, which carried out database analysis of all jobseekers eligible for the preventive approach, are currently also developing a system for keeping track of unemployed people to ensure that an offer reaches them at the most appropriate time. All considered, the Netherlands "is aspiring to achieve a comprehensive preventive approach by 2002". See Ministerie van Sociale Zaken en Werkgelegenheid (2001), p. 3.

54. For a married couple with two children.

55. Moreover, they become effective at a relatively low income level.

56. Circumstances in which people are discouraged from exchanging social security benefit for work because the net financial gain is small or negative.

57. Hence, this measure can be expected to have a broader impact on participation rates than earned income tax credits used by most other countries which are typically targeted to the lower end of the labour market, *i.e.* which have a phase-out income range.

58. Circumstances in which people are discouraged from seeking better paying jobs because the net financial gain is small or negative.

59. These people now receive the full earned income tax credit while previously their tax deduction was dependent on the number of hours worked.

60. These are part of the private supplementary pension schemes, or "second pillar", arranged by the social partners. The first pillar is the public pension scheme which provides every inhabitant with an old-age pension at the social minimum. The third pillar consists of additional (mostly funded) individual pension schemes.

61. For a further discussion of this point and of the importance of increasing the labour supply of older workers in a context of population ageing see Chapter V.

62. These "cultural issues" are being considered by a task force recently formed by the government (*Task Force on the Elderly*).

63. This is a difficult task since, this group not having a search requirement, there is no evidence of its members' performance in finding a job. Hence, the authorities will try to estimate this likelihood from the experience of the age group 45-54 which does have a search requirement and is the closest one to the targeted group. Other indicators which will be considered include studies of the search behaviour of job seekers and the way companies recruit new personnel.

64. The "comprehensive approach" is the major programme in the area of active labour market policies in the Netherlands. It was introduced as part of the EU National Action Plan for Employment.

65. Two of the central features of the Childcare Basic Provision Act are, first, the shift towards demand financing and, second, the abolition of the possibility for communities to add their own quality requirements to the national basic quality regulations.

66. Entitlements in current social security arrangements are age dependent, with the benefit structure being especially favourable for older persons. This does not mean that older persons receive higher benefits, but rather that they receive the relatively high first-stage benefits for a longer period of time than other persons.

67. The Netherlands is privatising, or introducing contestability, in parts of the Public Employment Service (PES) by handing over the funds for employment services to the bodies which pay unemployment benefits (often the municipalities), and these bodies, instead of purchasing these services from the public agency, purchases them from private placement agencies. Under this arrangement, a direct link between placement

© OECD 2002

work and the monitoring of eligibility for benefit is maintained, "but many benefit agencies might settle into long-term relationships with one employment service provider". See OECD (2001*b*), p. 5.

68. In addition to shortages of skilled workers in the private sector there are shortages in the public sector, especially of nurses and teachers. The latter are expected to worsen as a result of the government decision to spend more money and hire more people in the education and health care sectors.

69. According to OECD data, the average years of education of the Dutch working-age population increased from 9 in 1970 to nearly 12 in 1998, when it was somewhat above the OECD average. For more details see OECD (2000 *b*), Figure IV.1.

70. A Vocational Education and Steering Group, composed of representatives from the government, the social partners and the education institutions, has been formed with the aims to:

    – Improve vocational education by encouraging collaboration with industry, offering tailor-made programmes to an increasingly diverse target population (partly as a result of immigration and asylum seekers), and preventing young people from dropping out of the school system too early.

    – Improve post-initial training by extending (from the beginning of 2001) the training tax allowance to training for basic qualifications and for learning Dutch as a second language.

    – Develop a plan to give, through a combination of working and learning, basic qualifications to unemployed people who enter the labour market without these qualifications.

71. On the basis of the latest figures, SPAK reduces gross labour costs by nearly 11 per cent and reduces the employers' tax wedge by over 65 per cent.

72. This Transitional-SPAK allowed employers to claim, within limits, half of the lost SPAK for a maximum of two years.

73. A first survey of employers by the Netherlands Economic Institute showed that, over the period 1996-98, SPAK increased the employment of low-paid workers by some 54 000-64 000 persons and total employment by some 46 000-59 000 persons. However, according to the recent "Back-to-Work Report", money spent on the supply side in the form of earned income tax credits would have a greater impact on employment than money spent on the demand side in the form of cuts in employers' social security contributions. The main reason is that, according to the report, an earned income tax credit can be better targeted than cuts in employees' social security contributions.

74. The VLW scheme also applies to unemployed under 50, provided that, in addition to being unemployed for at least one year, they live in certain geographical areas or cities.

75. For a single individual at the income level of the average production worker.

76. More precisely:

    – To discourage firms from firing old workers, the Unemployment Act will require *employers to pay* 25 *per cent* of the unemployment benefits of dismissed workers who are 57½ or older, except for workers hired after the age of 50 (to avoid the creation of a disincentive to hire older workers).

    – A second part of the Unemployment Act, which is still under discussion within the government, would introduce *a variable employers' unemployment contribution*, dependent on the number of workers dismissed.

© OECD 2002

– Moreover, to encourage firms to hire older workers, a *reduction in employers' social security contributions* for these workers is being considered.

77. The main subsidised jobs are:
    – WIW jobs (the Job Seekers Employment Act of January 1998). They aim at providing young people with a job experience, the ultimate goal being an outflow to the normal labour market. This programme had, on average, 38 000 participants in 1999.
    – WSW jobs (the Sheltered Employment Act of January 1998). They are intended for partially-disabled persons, and an outflow to the normal labour market has never been an aim of this programme. This programme had, on average, close to 85 000 participants.
    – ID jobs (programme for the long-term unemployed of January 2000). This programme was not initially intended to lead to an outflow but, given very tight labour market conditions, this has recently changed. This programme had, on average, some 27 000 participants.
78. Because of these restrictions, employers often prefer to use temporary workers, rather than to immediately offer to new employees normal long-term contracts.
79. For a discussion of increasing the demand for older workers see Chapter V.
80. These organisations included the Labour Foundation, the Netherlands Association for the Administration of Justice, the Dutch Law Society and the National Social Insurance Institute.
81. In 1998, 118 persons per thousand workers left the labour market and 145 entered it. Written communication of the Dutch authorities to the OECD Secretariat.
82. One example has been a new evaluation (following one in the late 1990s) of the Shop Hours Act which was introduced in June 1996 and resulted in a major liberalisation of shopping hours. The new evaluation shows that: 63 per cent of adult consumers visit shops in the evening hours; sales have increased by 4.9 per cent due to evening hours and 2.2 per cent due to opening on Sundays. Moreover, 7 000 new jobs have been created in the retail sector as a result of the Act.
83. In all, since the beginning of 2000 about 20 reports have been completed in various areas, such as: health care, education, trade and services, traffic and transport, and new instruments for regulation. Some of these reports are now in the advisory phase.
84. For a discussion of earlier conditions in, and previous efforts at, deregulation and liberalisation of former public utilities see OECD (2000*c*), pp. 68-70. See also OECD (2000*a*), *op. cit.*
85. The government is also preparing legislation to raise the turnover threshold for notification of mergers from € 14 million to € 30 million.
86. In 1998, the Authority received 1 040 requests for exemption from the prohibition of agreements that restrict competition, especially from the healthcare, construction, and the wholesale distribution and retail sectors, compared with an expected 350. It also received 266 complaints about dominant position abuse, compared with an expected 150.
87. However, the Netherlands opened the fixed telecommunications market to competition prior to most EU countries, and competition in some sectors goes well beyond EU requirements (*e.g.* for cellular mobile operators).
88. KPN has a market share of 90 per cent for local calls, 75 per cent for national calls, and 50 per cent for international calls.
89. The NMa and OPTA have concluded a protocol governing the interpretation and implementation of the overlapping responsibilities. Also the two institutions have

© OECD 2002

increased their co-operation in the area of cable access for ISPs and, more generally, to monitor competition in all Internet access markets.

90. However, at end June 2001, the Netherlands ranked fifth in the OECD in terms of broad band penetration, and there is infrastructure competition between cable networks (*i.e.* cable modems) and services provided over the telecommunications network (*i.e.* high speed access via DSL).

91. Meanwhile, electricity providers are unhappy that local governments remain the legal owners of the low-voltage distribution grid in their own locality. They fear that this will hamper international expansion, and that foreign companies may not be interested in co-operating as long as the local governments own the grids and the Dutch providers lack a critical mass.

92. However, this capacity does not seem to have been auctioned in a fair way. Half of it is reserved to former big players in the electricity market to compensate them for loss on investment the government imposed to comply with new environmental rules. It is an open question whether this preferential treatment conflicts with European directives.

93. But Dutch electricity prices reflect the introduction and progressive increase over the 1998-2002 period of an environmental tax (which will represent a total of some 50 per cent of the starting price), aiming at encouraging energy-saving consumer appliances. Also, Dutch power plants use relatively more gas, which is currently more costly but also environmentally more friendly than coal and nuclear energy that are used in other countries.

94. OECD (2000*a*), Figure 1, p. 192.

95. See Baljé and Waasdorp (2001).

96. The Dutch Bankruptcy Act has not been changed substantially since it was introduced more than one hundred years ago. But, following warnings from academic research and industry officials that this Act obstructed firms' efforts to resolve financial distress, in 1999 the government started a reform process in the context of the MDM project aiming at creating a more "attractive reorganisation procedure designed to provide distressed firms with the instruments to restructure". See Reinout *et al.* (2000), p. V.

97. The SME Credit Guarantee Scheme (BBMKB) aims at giving guarantees to banks which make loans to new, small and medium-sized businesses with difficult access to bank credit under normal banking conditions, due to a lack of adequate collateral.

98. The Ministry of Economic Affairs has prepared two special venture capital funds (the Start-up Fund and the Growth Fund) to meet the financing requirements of start-ups and fast-growing companies in the information and communication technology sector (ICT). Companies receiving financial help from these two funds are allocated to a number of thematic incubators (the so-called Twinning Centres) which provide them with essential support in the areas of technology, management, and marketing and exports. The incubators will also establish strategic international relationships in the technology market. The Ministry of Economic Affairs is also preparing a comparable fund and approach to increase the number of life science start-ups, and an extension to other technologies is foreseen. Other policy efforts aim at promoting facility-sharing (*i.e.* equipment, test facilities and business arrangements), and at combining and strengthening existing, but often highly fragmented, regional initiatives for techno start-ups.

99. The combined expenditure on R&D of business enterprises and non-business enterprises has represented, on average, a little over 2 per cent of GDP a year both in the 1980s and the 1990s. According to this calculation Sweden ranked first in

© OECD 2002

the 1990s, with an average annual expenditure on R&D of nearly 3½ per cent of GDP. For more details see OECD (2000*d*).

100. The capital tax (or capital duty) has been reduced from 0.7 per cent to 0.55 per cent.

101. Also, the authorities want to find a new balance for the entire university research infrastructure between the responsibilities of the research institutes and the government. Important steps towards greater autonomy for publicly-funded research institutes have already been taken in recent years in science and technology, making the relationship between the government and these institutes more business-like. The institutes will be more independent in their management but also more responsible for matching their research results with society's need for knowledge. The greater responsibility of the research institutes will not change the government's view that it is its duty to assure a sufficient level of fundamental research: hence, a little over € 130 million of public money will be allocated in the 2000-10 period to demand-driven and innovation-oriented fundamental research, and some € 50 million will be allocated to the new Innovation-Oriented Research Programmes (IPOs).

102. Moreover, the so-called "cluster projects" have been playing an important role for already several years in Dutch industrial policy and in efforts to stimulate partnerships between innovative firms and publicly-financed research institutes. "Cluster projects" are substantial R&D projects which bring together several partners, such as manufacturers, their suppliers and clients, and research institutes. Hence, the cluster approach is aimed at addressing systemic failures that may hinder knowledge interaction between the science base and firms (especially SMEs), as well as among enterprises. Such projects are seen by the authorities as potentially leading to the creation of strongholds of technological knowledge which will improve the competitive positions of companies and research institutes based in the Netherlands.

103. See, for example, Levine (1997), Levine *et al.* (2000) and Temple (1999).

104. For a more detailed discussion of the role of financial markets in promoting economic growth in OECD countries, see OECD (2000*b*), Chapter IV.

105. For instance, the share of income earned abroad was 81 per cent for Aegon in 1999, 80 per cent for Fortis, 69 per cent for ABN Amro, 66 per cent for ING, and 20 per cent for Rabobank.

106. For instance, the cost/income ratio increased between 1999 and 2000 for ABN Amro (from 68.3 to 71.5 per cent) but decreased from ING Bank Europe (from 71.0 to 67.1 per cent) and for Fortis Bank (from 66.3 to 65.6 per cent).

107. Venture capital typically consists of equity or equity-linked investment in young, privately-held companies (start-ups) and often plays the role of seed money in high-tech (or ICT) businesses.

108. This approach fits in with the efforts of the authorities to make budgets of health care providers more output-related.

109. In the pharmaceutical market, health care insurers having been asked to bear a greater risk, can be expected to co-ordinate their efforts to contain costs by ensuring an efficient use of drugs and a reasonable prescribing behaviour of general practitioners.

110. For an overview of the main insurance schemes in the Netherlands see OECD (2000*c*), Box 5.

111. Owing to historical and social factors, the Netherlands has a relatively large number of persons in elderly care, although the number has been declining over the past few

© OECD 2002

years. The authorities aim at decreasing this number further by developing home care.

112. For a detailed list of suggested measures see Box 4.C. Longer-term measures aimed specifically at increasing the participation rate of older persons to cope with population ageing are discussed in Chapter V. Measures to enhance ICT investment and productivity growth are presented in Chapter III.

113. Statistics Netherlands' (SN) demographic projections for the Netherlands are used throughout this chapter rather than those of Eurostat, which are used in the OECD project on the fiscal implications of ageing (Dang *et al.*, 2001). The CPB (Netherlands Bureau for Economic Policy Analysis) spelled out three reasons for preferring these projections to those of Eurostat (Van Ewijk *et al.*, 2000, pp. 64-66):

– They are based on more advanced methods (such as emigration rates instead of emigration numbers) that are better suited to the Dutch context.

– They are accompanied by confidence intervals; and

– They run up to 2100, rather than 2050.

Almost all the demographic assumptions (the total fertility rate, life expectancy at birth and net migration) are lower in the SN projections. Overall, the aged dependency ratio rises by somewhat more in the Eurostat projections, with the maximal difference being 5 percentage points in 2045. Nevertheless, the Eurostat projections remain within the 95 per cent confidence interval of those made by SN. Eurostat projections are used for other European countries.

114. An alternative view is that much of the increase in life expectancy of older persons reflects long-term trends of improving nutrition in the first 20 years of life (Fogel, 1994).

115. These calculations are based on the following projections for labour force participation rates in 2050, which were made by the Netherlands and the United States authorities for the OECD project on the fiscal implications of ageing (Dang *et al.*, 2002):

	Females		Males	
	55-64	65+	55-64	65+
United States	58.2	7.1	65.5	14.3
Netherlands	38.1	1.6	49.5	3.2
Difference	20.1	5.5	16.0	11.1

116. For a comprehensive discussion of the history of the DI scheme and of current reforms to it, see Chapter IV.

117. Some pre-pension schemes have been integrated with occupational pensions systems so that pension benefits can be drawn at any age above a minimum with the amount varying by the age of exit.

118. In the case of UI, this relation is implicit as duration is based on years of employment.

119. This section focuses on ageing-related healthcare issues. See Chapter IV for a general discussion of healthcare reform.

120. Membership for eligible persons is compulsory (about 65 per cent of the population).

© OECD 2002

121. Private health insurance companies are obliged to offer the WTZ scheme. It has a standard benefit package comparable to that under the ZFW for a uniform premium that is fixed by law. Almost all privately insured pensioners are in the WTZ scheme.

122. The AWBZ is mainly financed through capped premiums as part of the income tax system. Premiums are mainly income related for the ZFW and are flat for the WTZ.

123. For example, the elderly have to make income-related co-payments for the costs of residential care or home nursing.

124. This increase is considerably greater than in ILO projections for the Netherlands owing to a large difference in projected participation rates for older males (+4 points by 2050 in the CPB projections, –5 points in the ILO projections) and a more front-loaded profile for the increase in female participation rates. The CPB projections take into account policies concerning disability insurance, early retirement schemes and childcare that have been implemented.

125. These projections do not take into account feedback effects from the increase in income tax rates and social security contribution rates that may be needed to meet the budget costs of population ageing (see below). Broer (2001) has taken these and other feedback effects into account using a general equilibrium model calibrated for the Netherlands. He finds that labour force participation rates decline through to 2040 but recover to current levels thereafter (*ibid*, pp. 94-95). This pattern results from the decline in the after-tax interest rate (caused by the increase in the income tax rate), which encourages households to save less while they are young, obliging them to supply more labour when they are older (*ibid*, p. 97). Taking these feedback effects into account suggests that the slowdown in economic growth during the next few decades could be more pronounced than projected by the CPB but that growth could subsequently be somewhat higher.

126. The key assumptions are: no employment growth on average over the next 40 years; annual labour productivity growth of 1.8 per cent; a near doubling in the age dependency ratio; a real interest rate of 4.5 per cent; an equity risk premium of 4.0 per cent; and 40 per cent of pension fund assets invested in equities.

127. It is assumed that there is no growth in labour productivity in the provision of healthcare services. Consequently, productivity growth in the rest of the economy pushes up wages in all sectors, resulting in a rising relative cost of healthcare.

128. Normally technical progress enables the same level of services to be provided at lower cost. However, technical progress may be cost increasing in healthcare because there are low co-payments. This means that patients want new treatments made possible through technical progress provided the expected benefits exceed their small co-payments. In addition, where technical progress does reduce production costs, it may nevertheless result in higher budget outlays owing to price elastic demand. On the other hand, a break through in the treatment of Alzheimer's or Parkinson's disease could substantially reduces expenditures for long-term care.

129. Rising real incomes may also contribute to growth in healthcare expenditures relative to GDP as people tend to spend a higher proportion of their income on healthcare as they become richer.

130. The CPB assumes that death-related medical expenditures are independent of age and takes DG 100 000 as its estimate of medical expenditure per dying person. This is in line with WRR (1997). All other types of medical expenditure are age-related, rising steeply after 75 years of age (Van Ewijk *et al.*, 2000, p. 45).

© OECD 2002

131. This increases the probability that elderly persons with chronic conditions can be cared for at home instead of being placed in a care institution.

132. This result comes from the CPB model JADE (CPB, 1997).

133. Ford and Laxton (1999) examined real interest rate trends over the period of rising rates (1977-97) in nine countries (Belgium, Canada, Denmark, Germany, the Netherlands, Japan, Switzerland, the United Kingdom and the United States) with liberalised capital markets. They found the real interest rate in each of these countries is highly correlated with the average real rate.

134. This states that the expected return on shares is the dividend yield plus the expected growth in dividends. The best indicator of long-term growth in profits in S&P 500 companies, and therefore of dividends, is real growth of the United States economy (Chan *et al.*, 2001). It is implicitly assumed in this formula that distributions are at a rate that maintains leverage stable. Profits can temporarily rise more quickly than GDP if dividends are low, reducing debt and the share of operating surplus distributed as interest payments. However, in a steady state the dividend yield must be such as to maintain a stable gearing ratio.

135. In the recent OECD project on the fiscal implications of population ageing (Dang *et al.* 2001, p. 15), economic growth was projected to decline to an annual rate of 2.3 per cent in the United States over the next 50 years and to an average of 1.6 per cent in the other countries included in the study and not catching up. Growth in employment is projected to fall to an annual rate of 0.5 per cent in the United States and to –0.2 per cent in the other countries.

136. For example, the dividend yield on S&P 500 companies is 1.2 per cent and long-term growth is 2.3 per cent. However, there has been a trend towards distributing earnings through share buybacks in recent years. Allowing for these, S&P 500 companies have in fact continued to distribute half of their earnings, despite the decline in the dividend yield. Given that the trailing price earnings ratio is presently around 30, this would suggest an adjusted dividend yield of about 1.7 per cent, bringing the total expected return to 4 per cent. In the case of Europe, the dividend yield is around 2¾ per cent and expected growth in the United Kingdom, Germany and France (the three countries that account for most of the European stock market capitalisation) is 1.6 per cent, bringing the total return to about 4½ per cent.

137. The counterpart of low expected returns on equities is that stock markets have been re-rated upwards to levels that are high by historical standards. This re-rating underpins the very large capital gains on equities earned over the past two decades. So long as stock markets remain highly valued, there is compensation for low returns going forward for those (including Dutch pension funds) who made large capital gains during the run-up in stock markets. Of course, were stock markets to fall far enough, expected returns could rise back to historical averages. In this case, the higher returns would have to be weighed against the capital losses of stock market valuations returning to historical norms. While individuals might be able to "lock in" their gains from the past two decades by selling equities before they were re-rated downwards, investors as a group cannot do so.

138. Incidentally, such estimates are much more in line with recent research on the equity risk premium (*e.g.* Siegel, 1999). Long-term historical estimates of the equity risk premium are seriously distorted by the unanticipated rise in inflation, which drastically cut real bond yields *ex post*. McGratten and Prescott (2001) find that the equity risk premium was unusually large in 1962-2000 owing to the capitalisation of successive reductions in the marginal tax rate on dividends, notably through the growth in the

© OECD 2002

proportion of equities held in forms (pension funds, 401K accounts) that are exempt from taxation as earnings accumulate. On this basis, their model generates a decline in the expected real before-tax rate of return on equity from 8 per cent in the early post-war period to a little over 4 per cent in the future (barring any further unexpected changes in tax rates).

139. According to the CPB's pensions model, a one percentage point decline in pension fund returns increases pension fund contribution rates progressively to 3.9 percentage points above the baseline by 2040.

140. For a discussion of further complications concerning estimates of structural budget balances, see Chapter II.

141. The required structural primary surplus is a little higher assuming cyclical neutrality because there are no debt reductions attributable to cyclical surpluses.

142. This section focuses on ageing-related healthcare issues. See Chapter IV for a general discussion of healthcare reform.

143. The agency's independence from service suppliers avoids the moral hazard problems that would otherwise arise.

144. Managed care refers to insurance companies' activities to influence the provision of health services, affecting the volume, quality and/or price of services.

145. This includes premiums, co-payment schedules, contents of the insurance package and eligibility (insurers are obliged to accept each individual who demands insurance and who meets the conditions).

146. This premium is in addition to the basic premium that is paid by employers and employees and is uniform across funds and a function of the income of the insured. The supplementary premium differs from one fund to another and depends on neither income- nor risk class.

147. Except in the case of some ER schemes.

148. Indeed, DI and UI beneficiaries faced potential penalties for returning to work in the past if that entailed accepting a lower paid job, as this would have reduced their retirement pension. This problem was resolved for UI beneficiaries in the new Pension Law, which included a measure that protects pension build-up of such persons accepting a lower paid job, regardless of whether the reduction in pay is attributable to a lower wage rate or to reduced working hours. The social partners have largely solved this problem for DI beneficiaries recently at the request of the government, again by safeguarding pension rights.

149. See Chapter IV for a general discussion of the large number of inactive persons.

150. Kerkhofs *et al.*, (1999) find that income streams in the alternative exit routes – ER, DI or UI – are compared in the retirement decision and that alternative routes act as substitutes. OECD (1995) comes to the same conclusion.

151. Under the UI scheme, this is only possible if the beneficiary is in a pre-pension scheme with a flexible retirement age. If the retirement age is fixed, the pre-pension would be deducted from the UI benefit. With respect to the DI scheme, there is no requirement to deduct pre-pension benefits or similar income from the DI benefit.

152. Seniority-based pay systems are still very important in the Netherlands (Van Opstal *et al.*, 1997). Stegeman (2000) also finds that collective bargaining arrangements in general include remuneration systems that are mostly related to the classification of jobs and seniority. Performance-based pay systems are still of minor importance. Age

© OECD 2002

is a more important explanatory factor of wage differentials than tenure, although the two are difficult to disentangle (Teulings and Hartog, 1998). In recent years, employers have been aiming to move away from seniority-based pay, basing wage increases more on performance. This has been reflected in collective labour agreements, which increasingly provide for the introduction of flexible pay (CPB, 2001*b*, p. 69). As noted above, the CPB projects that seniority-based pay will become less important in the future (Van Ewijk, 2000, pp. 44-46). The CPB projects that during the next 20 years, wages for younger workers will rise by 9 per cent relative to the average wage while older workers' wages will fall by 10 per cent relative to the average wage.

153. This will create an imbalance between the proportion of older workers in the labour force, who are paid in excess of their productivity, and younger workers, who are paid less than their productivity.

154. There is tentative evidence on a cross-country basis that this could reduce MFP growth: low tenure countries tended to enjoy the greatest increases in MFP growth during the 1990s, OECD (2001*a*). Though the causes of this relationship are not yet well understood, it seems likely that a certain degree of mobility is needed to seize new business opportunities This would tend to increase the rate at which resources flow to higher productivity uses, increasing growth in MFP.

155. The Netherlands is active in seeking to integrate foreigners. All unemployed foreigners (except EU and US citizens) are subject to a 600-hour long training programme to develop their Dutch language skills, their understanding of Dutch culture and geography and their orientation on the Dutch labour market. Although the programme has a high dropout rate and low resulting levels of language skills, it may nevertheless have contributed to the rapid fall in this group' s unemployment rate, from 26 per cent in 1998 to 14 per cent in 2000/01. An evaluation is underway.

© OECD 2002

List of acronyms

ABP	Insurance schemes for civil servants
ABW	Social Assistance Scheme
ALMP	Active Labour Market Programme
AOW	Public age pension
APW	Average production worker
AWBZ	General insurance for long-term and exceptional health expenditures
CAOs	Collective labour agreements
CES	Constant Elasticity of Substitution production function
CPB	Netherlands Bureau for Economic Policy Analysis
CPI	Consumer Price Index
DB	Defined benefit pension system
DI	Disability insurance
EC	European Commission
ECB	European Central Bank
EET	Exempt-exempt-taxed arrangements
EITA	Earned-income tax allowance
EMU	Economic and Monetary Union
ER	Voluntary early retirement schemes
EU	European Union
Euronext	Amsterdam, Brussels and Paris stock exchange
GDP	Gross domestic product
GTIs	Large Technological Institutes
HICP	Harmonised Index of Consumer Prices
IBO	"Back-to-Work Report"
ICT	Information and Communication Technology
ID jobs	Subsidised jobs for long-term unemployed
ILO	International Labour Organisation
ISCED	International Standard Classification of Education
MDW	Market Forces, Deregulation and Legislative Quality Project
METR	Marginal Effective Tax Rate
MFP	Multi-factor productivity
NAIRU	Non-accelerating inflation rate of unemployment
NMa	Competition Agency
NSRI	The Dutch Railways
OECD	Organisation for Economic Co-operation and Development
OPTA	Regulator of the telecommunication sector
PAYG	Pay-as-you-go basis
PES	Public Employment Service

© OECD 2002

PSW	Pension and Savings Fund Act
R&D	Research and development
RTC	Regional Training Centre
SMEs	Small and medium-sized enterprises
SN	Statistics Netherlands
SPAK	Reduced remittances of taxes and social security contributions for low-paid workers
TNO	Netherlands Organisation for Applied Scientific Research
UI	Unemployment insurance
VLW	Additional reductions in employers' social security contributions for hiring older long-term unemployed
VUT	Pay-as-you-go voluntary early retirement schemes
WAO	Disability insurance
WIW	Sheltered Employment Act
WKA	Indexing Conditions Suspension Act
WSW	Social Employment Act
WTZ	Standard private health insurance package for persons aged 65 and over
WWV	Unemployment Provisions Act
ZFW	Sickness Fund Act

© OECD 2002

Bibliography

Arnal, E., O. Wooseok and R. Torres (2001),
"Knowledge, Work Organisation and Economic Growth", OECD *Occasional Paper* No. 50.

Auer, Peter (2000),
Employment Revival in Europe, International Labour Office, Geneva.

Baljé, S. and P.M. Waasdorp (2001),
Entrepreneurship in the 21st Century, the role of public policy, in EZ/EIM Entrepeneurship in the Netherlands, 2001, New Economy: New Entrepreneurs.

Bertola, G. (1992),
"Labour Turnover Costs and Average Labour Demand", *Journal of Labour Economics*, Vol. 10, pp. 389-411.

Boeri, T., G. Nicoletti and S. Scarpetta (2000),
"Regulation and Labour Market Performance" in G. Galli and J. Pelkmans (eds), *Regulatory Reforms and Competitiveness in Europe*, Cheltenham, Elgar.

Bouthevillain, C., P. Cour-Thimann, G. van den Dool, P. Hernández de Cos, G. Langenus, M. Mohr, S. Momigliano and M. Tujula (2001),
"Cyclically adjusted budget balances: an alternative approach", ECB *Working Paper* No. 77.

Broer, D. Peter (2001),
"Growth and welfare distribution in an ageing society: an applied general equilibrium analysis for the Netherlands", *De Economist* 149, No. 1.

Brooks, Robin (2000),
"What will happen to financial markets when the baby boomers retire?", IMF *Working Paper* WP/00/18.

Colecchia, Alessandra and Paul Schreyer (2001),
"ICT Investment and Economic Growth in the 1990s: Is the United States a Unique Case? A Comparative Study of Nine OECD Countries", OECD STI *Working Papers* 2001/7.

CPB (1997),
Centraal Economisch Plan, CPB Netherlands Bureau for Economic Analysis.

CPB (2001*a*),
Macro-economische verkenning 2002.

CPB (2001*b*),
Centraal Economisch Plan, CPB Netherlands Bureau for Economic Analysis. Chan L.K.C., J. Karceski and J. Lakonishok (2001), "The level and persistence of earnings", NBER *Working Paper* No. 8282.

© OECD 2002

Dang, Thai Thanh, Pablo Antolin and Howard Oxley (2001),
"Fiscal Implications of Ageing: Projections of Age-Related Spending", OECD *Economics Department Working Paper* No. 305.

De Nederlandsche Bank (2000),
"Population ageing and public finance in the longer term", *Quarterly Bulletin*, September.

De Nederlandsche Bank (2001),
Annual Report 2000.

Don, F.J.H (2001),
"Het Nederlandse groeipotentieel op middellange termijn", CPB Document Nr. 1, p. 11, March.

Eichholtz, P.M.A., C.G. Koedijk and R. Otten (2000),
"De eeuw van het aandeel", *Economische Statistische Berichten*, pp. 24-27.

Ewijk, C. van, B. Kuipers, H. ter Rele, M. van de Ven and Ed. Westerhout (2000),
Ageing in the Netherlands, CPB Netherlands Bureau for Economic Policy Analysis.

Feldstein, M. and E. Ranguelova (1998),
"Individual Risk and Intergenerational Risk Sharing in an Investment Based Social Security System", NBER *Working Paper* 6839, December.

Fogel, Robert W. (1994),
"Economic growth, population theory, and physiology: The bearing of long-term processes on the making of economic policy", *The American Economic Review*, Vol. 84, No. 3.

Ford, Robert and Douglas Laxton (1999),
"World Public Debt and Real Interest Rates", *Oxford Review of Economic Policy*, Vol. 15, No. 12.

Jansen, C., P. Besseling and F. Huizinga (2001),
"Boekhoudkundige berekening budgettaire ruimte 2003-2006", CPB Document Nr. 3, June.

Jorgenson, Dale W. (2001),
"Information Technology and the US Economy", *The American Economic Review*, Vol. 91, No. 1.

Kerkhofs, M., M. Lindeboom and J. Theeuwes (1999),
"Retirement, financial incentives and health", *Labour Economics*, Vol. 6, No. 2.

Leuven, E. and H. Oosterbeek (1999),
"Demand and supply of work-related training", *Research in Labor Economics*, 18, pp. 303-330.

Levine, R. (1997),
"Financial development and economic growth: views and agendas", *Journal of Economic Literature*, Vol. XXXV, June.

Levine, R., N. Loayza and T. Beck (2000),
"Financial intermediation and growth: causality and causes", *Journal of Monetary Economics*, Vol. 46.

Macurdy, T., and J. Shoven (1992),
"Stocks, Bonds and Pension Wealth", *Topics in the Economics of Aging*, NBER.

Masson, Paul R. and Ralph W. Tryon (1990),
"Macroeconomic effects of projected population ageing in industrial countries". Staff Papers of the IMF, 37:453-85, September, Washington DC.

McGratten, Ellen R. and Edward C. Prescott (2001),
"Taxes, Regulations and Asset Prices", NBER *Working Paper* 8623.

© OECD 2002

McMorrow, Kieran and Werner Roeger (1999),
"The Economic Consequences of Ageing Populations" (A comparison of the EU, US and Japan). Economic Papers of the Directorate-General for Economic and Financial Affairs, No .138. Brussels, Belgium: European Commission, November.

Ministerie van Sociale Zaken en Werkgelegenheid (2001),
"The Preventive Approach", April.

Ministry of Finance (2001),
"Taxes in the Netherlands".

Moore, Gordon E. (1965),
"Cramming More Components onto Integrated Circuits", *Electronics*, 19 April 1965, 38(8), pp. 114-117.

Nicoletti, Giuseppe, Stefano Scarpetta and Olivier Boylaud (1999),
"Summary indicators of product market regulation with an extension to employment protection legislation", OECD *Economics Department Working Paper*, No. 226.

Nicoletti, G., R. C. G. Haffner, S. Nickell, S. Scarpetta, and G. Zoega (2001),
"European Integration, Liberalization, and Labor-Market Performance", in *Welfare and Employment in a United Europe*, edited by G. Bertola, T. Boeri and G. Nicoletti, The MIT Press.

Nicoletti, Giuseppe (2001),
"Regulation in Services: OECD patterns and economic implications", OECD *Economics Department Working Paper*, No. 287.

OECD (1995),
The Transition from Work to Retirement, Paris.

OECD (1997),
Employment Outlook, Paris.

OECD (1999),
Regulatory Reform in the Netherlands, Paris.

OECD (2000*a*),
Economic Studies Special Issue: Regulatory Reform, No. 32, 2000/1, Paris.

OECD (2000*b*),
Economic Outlook No. 68, December, Paris.

OECD (2000*c*),
Economic Survey of the Netherlands, Paris.

OECD (2000*d*),
STI *Outlook*, Paris.

OECD (2001*a*),
The New Economy: Beyond the Hype, Paris.

OECD (2001*b*),
Market Policies that Work, Policy Brief, July, Paris.

Oliner, Stephen D. and Daniel E. Sichel (2000),
"The Resurgence of Growth in the late 1990s: Is Information Technology the Story?", *Journal of Economic Perspectives*, Fall, 14(4) pp. 3-22.

Oliveira, Martins, S. Scarpetta and D. Pilat (1996),
"Mark-up Ratios in Manufacturing Industries; Estimates for fourteen OECD Countries", OECD *Economics Department Working Papers*, No. 162.

© OECD 2002

Opstal, van R., R. Waaijers, G. Wiggers (1997),
"Wage growth of high and low skilled workers", CPB *Report* 1997/2.

Pilat D., and F.C. Lee (2001),
"Productivity growth in ICT-producing and ICT-using industries: a source of growth differentials in the OECD?", OECD STI *Working Papers* 2001/4.

Poterba, James M. (2000),
"Demographic Structure and Asset Returns". Delivered as a *Review of Economics and Statistics* lecture at Harvard University, March.

Reinout D. Vriesendorp, Joseph A. McCahery, Frank M.J. Verstijlen, Boom Juridische uitgevers Den Haag, (2000),
"Comparative and international perspectives on bankruptcy law reform in the Netherlands".

Scherer, Peter (2001),
"Withdrawal from the Labour Force in OECD Countries", OECD *Occasional Paper*, No. 49.

Siegel, Jeremy J. (1999),
"The shrinking equity premium", *Journal of Portfolio Management* 26.

Sociaal-Economische Raad (2000),
"Pensioenkaart Nederland".

Sociaal en Cultureel Planbureau (2001),
"Rapportage onderen 2001".

Stegeman, H. (2000),
Individual Remuneration, *Research Memorandum*, No. 160, CPB National Bureau for Economic Policy Analysis.

Studiegroep Begrotingsrumte (2001),
"Stabiel en duurzaam begroten", Kamerstukken II 27805.

Temple, J. (1999),
"The new growth evidence", *Journal of Economic Literature*, Vol. XXXVII, March.

Teulings, C. and J. Hartog (1998),
Corporatism or Competition, Ch. 6: "Tenure wage profile", Cambridge University Press.

Viceira, Luis M. (2001),
"Optimal Portfolio Choice for Long-Horizon Investors with Nontradeable Labor Income", *The Journal of Finance*, Vol. LVI, No. 2, April 2001.

Wetenschappelijke Raad voor het Regeringsbeleid (1997),
Volksgezondheidszorg, Rapporten aan de Regering 52, Sdu, The Hague.

Wetenschappelijke Raad voor het Regeringsbeleid (1999),
"Generatiebewust beleid".

Wiel, van der, Henry (2000),
"ICT important for growth", CPB *Report* 2000/2, pp. 17-22.

Wiel, van der, Henry (2001*a*),
"Sectorale arbeidsproductiviteitontwikkeling op middellange termijn" CPB *Memorandum*, April.

Wiel, van der, Henry (2001*b*),
"Innovation and productivity in services", CPB *Report* 2001/1, pp. 29-36.

© OECD 2002

Annex I

Retirement income arrangements

The old age pension

First pillar: the public old age pension (AOW)

The public age pension provides a flat rate benefit to all inhabitants of the Netherlands from age 65. Entitlement to the benefit accumulates at the rate of 2 per cent for each year of residence in the Netherlands between the ages of 15 and 65. For persons who meet this residence requirement in full, the benefit for two persons living together is equal to the net minimum wage (€ 1 145 per month on 1 January 2001) while a pensioner living alone receives 70 per cent of this amount.[1] The net minimum wage is presently 55 per cent of the average wage and is indexed to average growth in collective labour agreement (CAO) wages. Normally, the age pension is adjusted in line with developments in the minimum wage twice a year. However, the Indexing Conditions Suspension Act (WKA) allows indexation to be suspended for any period of time. This was done in the early 1990s owing to unfavourable economic conditions. Indexation has been fully restored since 1996.

The public old age pension is financed through contributions which are built into the tax system. The contribution rate is 17.9 per cent of taxable earnings (except for earnings in the lowest income tax bracket) up to € 27 009 per year (indexed to growth in average wages) and is paid solely by employees and the self employed. The government has set an upper limit on the AOW contribution rate of 18.25 per cent. Consequently, contributions will eventually fall short of pension outlays owing to population ageing. Part of this shortfall will be financed from the AOW savings fund. This fund receives annual deposits from general tax revenues; this amounts to an accounting exercise within the general government sector comparable to that concerning the social security fund in the United States. It is not possible to draw from this fund until 2020. The authorities expect that the financial manoeuvring space afforded by reducing the national debt, combined with increasing tax revenues from pensioners will be sufficient to pay for the AOW, without the need to increase tax rates or AOW-social security contributions.

Second pillar: occupational (or supplementary) pensions

Occupational pensions play a major role in the retirement income system with around 50 per cent of pensioners receiving occupational pension income and 90 per cent of employees participating in such a scheme. Although there is no general statutory obligation for employers to make pension commitments to employees, almost all (98 per cent) do so. A contributing factor to the almost universal nature of these commitments is that individual employers can be obliged to offer such schemes owing to the extension of branch (industry-wide) agreements made between the social partners.[2] Once pension commitments have been made, they are subject to the Pension and Savings Fund Act (PSW) which contains safeguards to ensure that they are

© OECD 2002

respected. The most important safeguard is that pension contributions must be placed outside the employer's company. This must be done by concluding an insurance agreement with an insurance company (direct insurance), establishing a company pension fund (a separate legal entity not liable to the debts of the employer[3]) or by joining a branch pension fund.

The normal retirement age in these schemes is 65, as for the AOW pension.[4] Almost all (95 per cent) occupational pension schemes are defined benefit. Most aim to pay an old age pension of 70 per cent of final salary after 40 years of contributions, but a number of schemes, in which 31 per cent of employees participate, aim at 70 per cent of the average career salary. This replacement rate takes into account the AOW pension through an adjustment known as the AOW franchise; in view of this relationship between the two pillars, occupational pensions are also known as supplementary pensions. Until recently, the franchise was usually based on the AOW pension for a couple with one breadwinner, with the result that low income persons, dual income couples and single persons in fact had much lower replacement rates.[5] This was changed in the Pension Covenant of 1997 in which the covenant parties agreed to lower the franchise substantially if it was high. Pensions in payment are indexed to wages (60 per cent of participants), prices (20 per cent) or through other mechanisms (20 per cent), although there is no legal indexing requirement. An unusual feature of these arrangements by international comparison is that there is no upper income limit on mandatory participation: everyone with a complete contributions record gets a pension at age 65 that is 70 per cent of earnings, regardless of how high those earnings were.

Occupational pension payments (4.0 per cent of GDP) are almost as great as AOW outlays (4.3 per cent of GDP). As a large proportion of occupational pension payments go to high income earners, the AOW pension accounts for a much higher proportion (around three-quarters) of the average pensioner's total age pension. Pension fund assets amount to around 115 per cent of GDP in 2000, with around 40 per cent of those assets invested in equities.

Taxation of occupational pensions is on the basis of exempt-exempt-tax (EET) rules. This implies that there will be a substantial increase in tax receipts when the baby boom generation draws its pensions. To qualify for this tax treatment, pension funds must meet the criteria spelled out in the Pension and Savings Fund Act (PSW) including, notably, a maximum pension accrual rate of 2 per cent of final salary per year. Taxation rules allow accruals of up to 100 per cent of final salary for people who work longer than 35 years or retire later than 60. It also permitted to pay an occupational pension before age 60 provided that there is an actuarial adjustment downwards in the pension.

Third pillar (private provisions)

Individuals can enter into a private pension arrangement with an insurer to top up their old age pension. This can be done by annuity insurance as well as by endowment insurance. Annuity insurance receives the same tax treatment as occupational pensions up to various limits depending on individual circumstances. In particular, contributions are tax deductible provided that they do not result in a total pension-entitlement being built up over 40 years that exceeds 70 per cent of final salary at age 65. Contributions to endowment insurance are not tax deductible but the interest component of the pay-out is tax free up to certain limits. In 2000, these were € 28 134 after 15 years of premium payments and € 95 293 after 20 years of premium payments.

Aggregate income replacement rates

Total disposable income for persons aged 65-74 was around 80 per cent of that for people aged 51-64 in the mid-1990s, as in many other countries (Figure A1). This ratio has fallen

© OECD 2002

Figure A1. **Aggregate replacement rates for persons aged 65-74**[1]

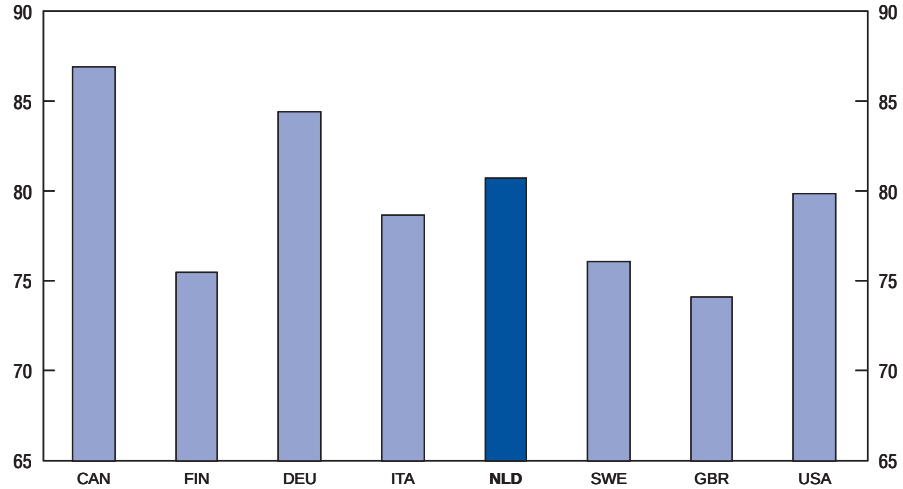
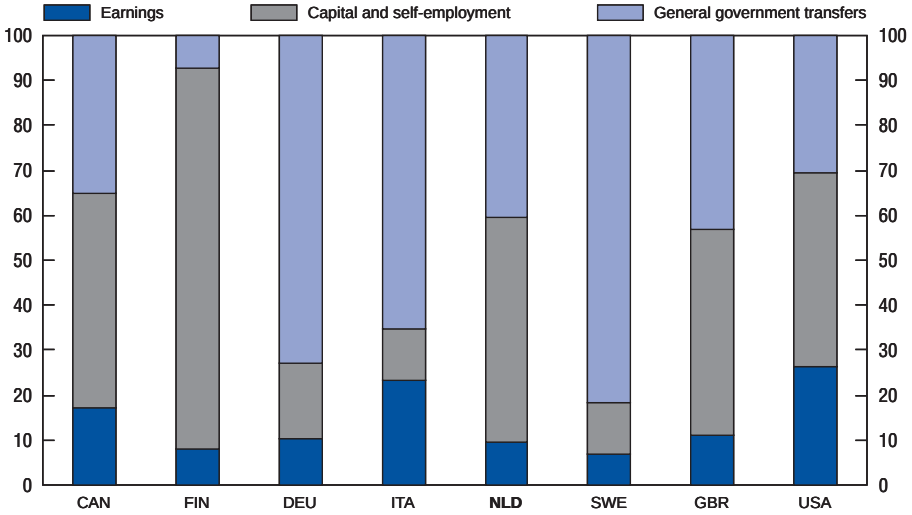


Figure A2. **Composition of disposable income of persons aged over 65 years**[2]



1. Mean disposable income of people aged 65-74 as a proportion of mean disposable income of people aged 51-64.
2. Disposable income of an individual is the adjusted real disposable income per equivalent household member, allowing for economies of scale in household needs (an equivalence factor of 0.5 is used). It is calculated as (total disposable income of household)/(number of persons in household).$^{0.5}$

Source: Calculations from the OECD questionnaire on distribution of household incomes (1999) presented in OECD (2001), *Ageing and Income: Financial Resources and Retirement in 9 OECD Countries.*

© OECD 2002

somewhat in the Netherlands in the past two decades. Capital is a more important source of income for retired people in the Netherlands than in most other countries (Figure A2).

Early retirement income arrangements

The three main routes to early retirement are voluntary early retirement (ER) schemes, disability insurance (DI) and unemployment insurance (UI). ER (*vervroegd uittreden*, VUT) schemes have been included in collective agreements on terms and conditions of employment since the 1970s. They generally offer gross (net) benefits of around 80 per cent (90 per cent) of last gross (net) earnings to voluntary early retirees. The fact that some 80 per cent of ER recipients retire directly through an ER scheme as soon as they become eligible suggests that these schemes are indeed a very attractive retirement option for the average worker (Kerkhofs *et al.*, 1999). It seems that a rapidly increasing number of individuals meet the age and tenure eligibility conditions for ER from age 58, making it the dominant exit route by age 59 (*ibid.*). Presently, around 70 per cent of the private sector labour force[6] and all public sector employees are covered by such schemes. Clearly, the government has played a major role in propagating these schemes, both directly as an employer and indirectly through legal extension to all employees in the relevant industrial sector. A major problem with them has been that, in general, neither party deciding to use them bears any serious financial penalty for doing so. To correct this incentive problem, there has been a move towards early retirement arrangements that are funded and that make actuarial adjustments to benefits that depend on the age of early retirement. The government is encouraging this development by phasing out tax deductibility for ER (VUT) schemes and restricting it to pre-pension schemes that provide for actuarially neutral adjustments to pensions for early or late retirement. Some pre-pension schemes have been integrated with occupational pensions systems so that pension benefits can be drawn at any age above a minimum with the amount varying by the age of exit.

DI provides benefits based on a disabled person's residual earning capacity. Most older disability recipients are declared fully disabled. DI provides a benefit to a fully disabled person of 70 per cent of the last wage (up to a maximum benefit of €35 000) for a period that is positively related to age,[7] after which the benefit declines to a level that is based on the minimum wage.[8] This second stage payment is higher for older persons than for younger persons. Collective agreements generally provide for the topping up of (first-stage) DI benefits to 85 per cent of the last wage.

UI also provides benefits that are 70 per cent of the last wage (up to a maximum benefit of € 40 000) and are generally topped up to 85 per cent under collective agreements. Again, benefit duration is effectively related to age, rising to five years after 40 years of employment and to the period remaining until age 65 is reached for persons aged 57½ or over. Unemployed persons aged 57½ or over are exempt from job search requirements, although if a suitable job is offered it must be accepted. After UI rights have been exhausted, unemployed persons may be eligible for social assistance. This second stage benefit is the same flat rate for all age groups.

Pension rights continue to accrue under DI and most ER schemes as though beneficiaries were still working. People who become unemployed over age 40 also continue to accrue pension rights for the period that they receive an income-related benefit.

By age 55-59, the ratio of persons with principal income coming from one of these sources (or some smaller scale schemes)[9] to those with labour income or profits as a principal source rises approximately to one while in the 60-64 age group, the inactive sources of income predominate (Table A1). ER schemes account for most of the increase in the proportion of the population relying on inactive income sources in the older age group. DI is by far the most important of the inactive income sources other than ER: DI benefit claimants

© OECD 2002

Table A1. **Population aged 55-64 by source of income**

Per cent of total

	WW/WAO/ABW/ IOAW/ABP wachtgeld/ABP disability[1]	Early retirement various pre-pensioning schemes	Wages/profits	Other income	No income
Men					
55-59	39	9	48	2	1
60-64	46	38	12	1	2
Women					
55-59	25	4	25	6	41
60-64	27	15	6	9	42

1. These schemes are as follows:
WW = unemployment insurance; WAO = disability insurance; ABW= social assistance; IOAW= income support for older, partially disabled unemployed persons who no longer qualify for UI benefits; ABP wachtgeld= civil servants' unemployment insurance; ABP disability = civil servants' disability insurance.

Source: Woningbehoefte onderzoek, bewerking SZW.

comprise 60 per cent of the population aged 55-64 with income principally from an inactive source other than an ER scheme.[10] The proportion of the population claiming DI benefits rises sharply after age 45, notwithstanding the progress made in the 1990s in reducing benefit claimants aged 45-54, reaching about 20 per cent by age 55-64 (Table A2).

Table A2. **Disability benefits claimants by age group**

Percentage of population

	1990	1995	1999
25-34	2.5	1.7	2.4
35-44	6.2	4.9	5.1
45-54	13.2	11.5	10.8
55-64	21.4	20.9	20.1
Average	9.2	8.3	8.4

Source: Ministry of Social Affairs, Eurostat.

© OECD 2002

Notes

1. A single parent with an unmarried child under the age of 18 is entitled to 90 per cent of the net minimum wage if they satisfy the residency requirement.
2. When employers' organisations and trade unions together set up a branch pension fund, they may ask the government to impose an obligation on all employers and employees within the branch to participate in the fund. For participation to be declared mandatory, the employers and employees affiliated to it must form an adequate representation of their branch or industry. For employers, this requires that they employ at least 60 per cent of employees in the branch or industry. For the organised employees, no supporting percentage is required. A general condition for an employer to be exempt form participating in a branch scheme is that he must have a similar or better scheme in force for his personnel.
3. In addition, a company pension fund may not invest more than 5 per cent of its assets in the employer's company.
4. Approximately 2 per cent of employees are in schemes with a retirement age of 63 or 64 years and 1 per cent are in schemes with a lower retirement age (OECD, 2000, p. 3).
5. Ministry of Social Affairs and Employment (2001, p.17) provides an example which is reproduced here:
   - ***Case* 1.** Single income couple, final salary €31 765, target pension € 22 235 (*i.e.* 70 per cent of € 31 765). Assuming the franchise is € 14 975, the pensionable salary is € 16 790 (*i.e.* salary – franchise). The supplementary pension will be 70 per cent of € 16 790 = € 11 753. The AOW pension for a couple € 10 482 (= 70 per cent of the franchise) plus the supplementary pension (€ 11 753) gives a pension of € 22 235, which equals 70 per cent of final salary.
   - ***Case* 2.** Dual income partners with the same total income (€ 31 765). Each partner earns € 15 882. Because the franchise is still € 14 975, each partner's pensionable salary is only € 908 (*i.e.* salary – franchise) and supplementary pension is only € 635. This gives a combined old age pension for the household of € 11 753 (AOW of € 10 482 plus supplementary pensions of € 1 271), which is not even 40 per cent of final salary.
6. This includes employees in many educational institutions who are nevertheless paid out of central government funds.
7. The duration of first stage DI benefits depends on age, as follows:

Age	Year of first-stage benefits
32 or less	0
33-37	0.5
38-42	1
43-47	1.5
48-52	2
53-57	3
58	6
59-65	6 or less if age 65 is reached sooner

© OECD 2002

8. This second stage benefit is determined as follows:

   Benefit level = minimum wage + (the age at the moment one became disabled – 15) × 0.02 × (final wage – minimum wage).

   The final wage is not really the final wage but the wage the disabled person could have earned if he had not become disabled (it is the median wage taken from a distribution consisting of at least 30 jobs, representing the three best paid functions he could have got).

9. The schemes other than ER, DI and UI referred to in the first column of Table A1 are social assistance (ABW), income support for older, partially disabled persons who are unemployed and no longer qualify for UI benefits (IOAW), unemployment insurance for civil servants (ABP wachtgeld) and DI for civil servants (ABP disability).

10. Note that the proportion of UI beneficiaries in these age groups is higher than indicated by standardised unemployment statistics because beneficiaries aged 57½ or more are exempt from job search requirements (see below). Accordingly, they are unlikely to be actively searching for a job and hence, included in the unemployment statistics.

Bibliography

Kerkhofs, M., M. Lindeboom and J. Theeuwes (1999), "Retirement, financial incentives and health", *Labour Economics*, Vol. 6, No. 2.

Ministry of Social Affairs and Employment (2001), *The old age pension system in the Netherlands*.

OECD (2000), "Retirement Income Systems in the Netherlands", *Background Paper* 3f, unpublished document, Paris.

OECD (2001), *Ageing and Income: Financial Resources and Retirement in Nine Countries*, Paris.

© OECD 2002

Annex II

Calendar of main economic events

2000

May

The Spring Memorandum 2000 announces extra expenditures of some € 2.7 billion in the 2000 Budget, which is expected to show a general government surplus of 0.6 per cent – the first surplus in 25 years. The extra expenditures are to be used for education, health care, safety, and the environment.

Parliament approves the government's position paper on the Work and Income Implementation Structure (SUWI).

July

The government sends plans for a major reform of the health care system to Parliament. The plan proposes the introduction of a universal insurance system for basic health care. This insurance will replace the current public and private health insurance systems in 2005. It will be a public insurance (rooted in the law like the current sickness insurance).

September

The government presents the 2000 Budget to Parliament. It shows a general government surplus of 0.7 per cent of GDP, as a result of government policies and favourable conjunctural conditions.

November

The Autumn Memorandum 2000 is submitted to Parliament. The 2000 Budget is expected to show a surplus of 1.1 per cent of GDP.

2001

January

The Income Tax Act 2001 becomes effective.

The revised Establishment Law comes into effect. The revision reduces the scope of the Law.

© OECD 2002

May

The Spring Memorandum 2001 announces extra expenditures in the 2001 Budget of some € 3 billion for health care, education and safety. The surplus is expected to be of the order of ½ per cent of GDP.

June

The Study Group for the Budget Margin presents its views on the fiscal policy for the next coalition's term. It advocates the continuation of the trend-based fiscal policy applied by the current coalition albeit with a couple of modifications to take account of the successful consolidation of public finances and the ageing of the population.

July

Start of the evaluation of the Competition Act.

The liberalisation of the market for "green (durable) energy" comes into effect.

August

A number of government studies entitled E*nquiries: materials for future policies* are published. The studies cover: tax policies (exploring policy alternatives starting from the new tax system); health care policies; and policies concerning the Dutch knowledge infrastructure, social infrastructure and physical infrastructure (including environment).

September

The government presents the 2002 Budget (the first one to be denominated in euros). It shows a surplus of 1 per cent of GDP. The government debt-to-GDP ratio is expected to fall below 50 per cent for the first time since 1980.

November

The Autumn Memorandum 2001 is submitted to Parliament. The 2001 Budget is expected to show a surplus of 0.7 per cent of GDP.

December

The government sends to Parliament a bill to make the Dutch Competition Authority an independent body.

© OECD 2002

OECD PUBLICATIONS, 2, rue André-Pascal, 75775 PARIS CEDEX 16
PRINTED IN FRANCE
(10 2002 03 1 P) ISBN 92-64-19145 – No. 52343 2002
ISSN 0376-6438